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The African Bathroom Product Markets

- 2020 Edition -



Egypt

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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EGYPT

BACKGROUND

THE AFRICAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Egypt, officially the Arab Republic of Egypt, is a country situated in northeast Africa within the Sinai Peninsula, forming a land bridge to southwest Asia. Covering a land area of 1.01 million km², Egypt is bordered by the Mediterranean Sea to the north, the Gaza Strip and Israel to the northeast, the Red Sea to the east, Sudan to the south and Libya to the west. Most of its area, apart from the Nile valley, is desert, with a few oases located throughout the country. The large areas of the Sahara Desert are sparsely inhabited.

Egypt is split into 26 governorates, which include four city governorates (Alexandria, Cairo, Port Said and Suez), nine in Lower Egypt, eight in Upper Egypt, and the five frontier governorates covering Sinai and the deserts to the west and east of the Nile. The largest city in Egypt is the capital, Cairo, and other large cities and towns include Alexandria, Aswan, Asyut, El-Mahalla El-Kubra, Giza, Hurghada, Luxor, Kom Ombo, Port Safaga, Port Said, Sharm el Sheikh, Suez, Zagazig and Al-Minya.

In June 2015, the Egyptian government announced its intention to build a new capital to the east of Cairo. When completed, it should accommodate a population of around six million. The purpose of the project is to relieve the pressure on Cairo and its 20 million inhabitants. The new capital should cover an area of 700 km² and situated at around 50 km from Cairo.

About half of Egypt's residents live in urban areas, with most spread across the densely populated centres of Greater Cairo, Alexandria, and other major cities in the Nile Delta. Egypt is thus a transcontinental country and a major power in Africa, the Mediterranean Basin, the Middle East, and the Muslim world. Most of the population are ethnic Egyptians (more than 99%). Ethnic minorities include the Bedouin Arab tribes of the Sinai Peninsula, the Berber speaking tribe of the Siwa Oasis, and the Nubian people in the southernmost part of Egypt. Around 90% of the population is Muslim, and the remainder is predominantly Christian.

Egypt is the most populous country in the Middle East and North Africa (MENA) region. According to the Central Agency for Public Mobilisation and Statistics (CAPMAS), the population in Egypt rose to over 91 million as of June 2016. The population lives on just 5.3% of the country's land area, a smaller geographic surface than the emirate of Abu Dhabi in the UAE.

In August 2015, the new Suez Canal Corridor was inaugurated. This new canal, parallel to the Suez Canal, helps Egypt to increase its transportation capacity by allowing ships to sail in both directions at once.

In December 2013, Egypt signed an agreement with two of its neighbours, Israel, and Jordan, for the Red Sea–Dead Sea project, with the aim of building a pipeline or canal between the Red Sea and the Dead Sea. In November 2016, Jordan

shortlisted five consortiums to implement the project. Construction activities were expected to start in Q1 of 2018, but political issues involving Israel and Jordan have stopped the project from going ahead.

Macroeconomic Overview

Real GDP grew by 5.6% in 2019, the highest rate in 11 years. Inflation remained high but declined clearly to a single digit level. Fiscal and current account deficits shrank, and the unemployment rate declined to its lowest level in eight years.

However, the series of reforms put in place which lead to this high GDP growth rate for 2019 did not yet improve dramatically the overall purchase power of the population. In fact, poverty is rising in the country. From 28% in 2015 to 33% in 2018, the poverty rate of the population moved to the opposite direction than the government plan, which was to eliminate it by 2030.

According to CAPMAS, 32.5% of Egyptians lived below the poverty line in 2018 (at less than \$44 or EGP735.7 per month), compared to 27.8% (less than \$29 or EGP 482 per month) in 2015.

In 2019, Egypt was ranked 144th in the economic freedom index.

In 2020, Egypt began the construction of the largest private medical city in the Middle East. It should be completed within ten years. While the medical facilities should include 350 beds, a hotel next to it should also be built.

According to CAPMAS, the official authority for statistics, the inflation rate in 2019 declined to 9.2%.

In 2019, the government remains focussed on fiscal consolidation, after years of political and economic turmoil. The Egyptian institutions remained weak with little improvement, and the real economic reforms are slowed down by a strong opposition from powerful economic players that favour the status-quo.

The Egyptian Pound improved clearly in 2019, as one Euro was exchanged for EGP 18.84, compared to 21.034 in 2018, meaning importing goods became cheaper in 2019, but at the same time, goods coming out from Egypt were more expensive from the importers' perspective.

Egypt's foreign reserve has increased year-to-year, to reach \$45.51 billion in February 2020.

The low purchase power in Egypt constitutes one of the main issues that the real estate sector is facing. In 2019, the CBE (central bank of Egypt) allocated EGP 50 billion to develop the mortgage finance initiative for middle-income earners.

The army is heavily involved in the residential construction sector. This contributes to keeping the overall cost at its lowest level possible.

According to JONES LONG LASALLE, a real estate service company, 2019 experienced a drastic improvement in the hotel output.

The Egyptian economy is the second-largest economy in Africa after Nigeria, having surpassed South Africa. The Egyptian economy relies heavily on the agricultural sector (e.g. food, fibre, and other products), and this sector employs around 30% of Egypt's total labour force. Economic and social development is highly concentrated in Cairo and Alexandria, as well as in the Canal Governorates (e.g. Ismailia, Port Said and Suez), which are also the main business and residential hubs. Rural Egypt, in the upper part of the country, continues to be largely underdeveloped.

The Egyptian revolution of 2011 was a definitive turning point in the country's economic development. In January 2011, widespread anti-regime demonstrations took place, resulting in the resignation of President Mubarak and the downfall of a regime that had been in power for 30 years. Subsequently, in 2012 Mohamed Morsi was elected to fill the void in power but was deposed and replaced by the democratically-elected President Abdel Fattah el-Sisi in 2014. While the revolution led to economic instability, the Egyptian economic outlook turned around following the July 2014 presidential elections; this was consolidated in 2015. This temporary growth came from more political stability, the launch of the Suez Canal expansion, and the improved business sentiment that had resulted from major economic reforms. However, the country fell into severe economic difficulties and had to receive help from financial institutions such as the IMF and the World Bank.

In 2019, the economy continued to be largely driven by the real estate sector. After a few years of crisis, the Structural Adjustment Programmes (SAPs) from the two Bretton Wood institutions (IMF and the World Bank) has significantly helped the country to recover.

However, this recovery is often expressed in economic KPIs, such as GDP or foreign reserves of currencies, and these SAPs had a certain impact on the purchase power of the population. The government had to follow these programmes which include the cut of subsidies on fuel and electricity, the introduction of new taxes, and the flotation of the Egyptian pound to reach its real value, requested by the IMF to cleanse the economy of the country. Consequently, the Egyptian Pound has been devalued massively, and salaries, even though they increased, did not catch up with the purchase power lost during that period.

These infamous SAPs led to double-digit inflation, despite the government decision to increase the interest rate (that would normally limit the money in circulation). As these measures also impacted companies, the pauperisation increased, not only through the inflation but also through a higher rate of unemployment. This major and long decline of the economy led to an overall downgrade of social classes: the poor became poorer; the average medium social class became the low class and the upper social class became the new medium social class. As it represents the bulk of the consumption of bathroom and heating products, the size of the medium

class shrank, leading to a higher representation of low-end products.

Positive effects of these SAPs appeared quickly: the massive loan that Egypt received, in exchange for its agreement to go ahead with the SAPs, has boosted investment and public consumption. Also, the low Egyptian pound led the country to perform very well in the export sector, as goods became cheaper for foreign partners to import. Conversely, imports declined massively which, overall, helped the balance of payment to be put back on track. Finally, investors slowly returned to Egypt, mostly driven by a healthy construction sector.

Backed with a three-year 12 billion USD loan from the IMF, the Egyptian economy strengthened in 2019, after a strong sign of recovery in 2018. The unemployment rate dropped significantly, along with the stability of the exchange rate and a strong increase of the foreign exchange reserves; the inflation remains high but at a single-digit in 2019.

In Egypt, remittances constitute a significant source of foreign currency, as around 10 million Egyptians live abroad, mainly in Western and Gulf countries, so they have a much higher income than Egyptians living in Egypt. According to the CENTRAL BANK OF EGYPT, the top sources were the United States, Kuwait, UAE, and Saudi Arabia.

In the 2019 ranking, Egypt was ranked 116th in the Human Development Index, and for the ease-to-do-business rating the country was ranked 114th in 2018 (120th in 2018).

Since July 2014, the cuts in energy subsidies led to a significant increase in production costs. Indeed, the natural gas increased by over 500%, the electricity by over 200% and diesel by over 400%. Labour costs increased by around 20%. This had a dramatic effect on the production cost in Egypt, impacting its comparative advantage among nations.

The risk of another period of political and social instability is not excluded in Egypt. This depends on the ability of the government to improve the quality of life of Egyptians, in order to prevent another social uprising and maintain investment in the country. In parallel, a resurgence of political violence, beyond the political instability and foreign investors leaving the country, it will also affect the tourism, which is one of the main sources of the foreign currencies.

Residential Construction

According to the Egyptian Ministry of Housing, an estimated 40% of the population in Cairo lived in informal settlements in 2019 and for the last few years, the government has been focusing on eradicating unsafe slums through a vast and ambitious construction programme.

While the population has reached the symbolic 100 million in 2019, and living in 6% of the territory, the informal dwellings construction in Egypt is significant and

messy.

According to CAPMAS, the dwelling stock was 25 million units in 2006 and reached 43 million in 2017. In October 2018, CAPMAS stated that 13 million housing units were either under construction or completed but unoccupied, while there are 22.5 million housing units in the country inhabited.

The same source stated that while around 97% of the population is connected to a water network, only 56% of households were connected to a sanitation network. The rural population has remained surprisingly stable since the 1970s, with around 57% of the total population living in the countryside, almost 100% are connected to an electricity network.

Under the government programme to build one million residential units during 2015-2020, 37% were built, 21% under construction, 7% under planning and 35% still to be built by the end of 2019. The average income of those benefiting from the social houses is EGP 1,900 (around €100) per month.

57% of the demand comes from married couples with children, 22% from married people without children, 16% from singles, and the remainder comes from divorced and widowed women, with or without children.

Most new housing is well out of the reach of the bulk of the population, considering their low wages.

In 2019, the construction industry remained one of the most important contributors to the domestic economy.

With the devaluation of the Egyptian pound, the price for houses, when expressed in foreign currency, declined, leading many Egyptians based abroad to purchase houses, either for themselves or for investments.

A new capital city is currently under construction and should replace Cairo. It should include around 350,000 housing units and 10,000 hotel rooms. It is being built only 50 km from Cairo and spread over 700 km².

Following the turbulent post-revolutionary period, the government has launched a massive social housing development programme, which has led the country to intense construction activities in the residential sector. A significant number of these dwellings are semi-finished; bathroom and HVAC products were missing, which fall into the responsibility of the owner to equip its new dwelling.

On the other hand, many real estate expansions are rather more focused on high-end housing. As well as the lack of adequate mortgage financing schemes with low-interest loans for low-income families, the offer and demand for housing is not matching, which explains a dichotomy in the co-existence of vacant new dwellings and the shortage in housing.

New Housing

In 2019, the Egyptian government delivered 437,000 dwellings, but many were delivered unfinished. This includes social housing, middle-income and luxury housing units. This number includes 17,000 residential units built in partnership with the private sector, and 336,000 residential units were built on plots of land provided to citizens. Moreover, 84,000 residential units were completed, at a cost of EGP19.6 bn. This is split as follows:

- 64,000 social dwellings at a cost of EGP 10.5 bn
- 12,000 mid-range dwellings at a cost of EGP 4 bn
- 8,000 high-end dwellings at a cost of EGP 5.1 bn.

The costs of these dwellings is extremely low considering that, in Euros, it is the equivalent to around €8,700, €17,700, and €33,800, respectively. In fact, many of them are delivered unfinished, not even equipped with sanitary ware products, which will be done by the new owner, or more exactly, by the household that will move to this house. Indeed, some owners act as investors, and buy those affordable dwellings in order to be resold at a later stage.

According to CAPMAS, the total number of residential units signed off in 2018 raised by 2.9%.

CAPMAS mentioned that 0.8% of the existing dwelling stock needs to be replaced. It also says that 75.9% of Egyptians own their home, 17.5% is the average rate of family spending on housing. 42.2% of households live in urban areas, while 887,000 marriages were celebrated in 2018.

A typical dwelling is generally a 90m² apartments, paid on a 20-year instalments through the CBE's mortgage finance initiative.

The construction of the still unnamed new capital city continued to progress in 2019. By the end of June, the ministry of housing expected over 40,000 housing units to have been completed. A large number of government employees are anticipated to move to the new capital, as most ministries will be based there.

Regarding urban completions, economic housing accounts for the vast majority of completed units, followed by middle-income housing units. Today in Egypt, construction activity is mostly focused around providing both high-end and affordable homes, with less focus on supplying middle-income dwellings.

With the devaluation of the Egyptian pound, Egyptians living abroad have almost doubled their capacity of investing in real estate in the country.

Housing RMI

Egypt has 1,100 slum areas and 350 of them are in and around the capital city Cairo. Many of these slums have been defined as “unsafe zones”, and the government aims to eradicate those ones. “Unsafe zones” include four factors of threat to citizens: geological and environmental, conditions suitable for building (high risk of rockslides), proximity to high-voltage power cable / exposure to industrial pollution and those located on state-owned land (some slums are situated literally in cemeteries).

While many slums have been demolished and the population relocated to brand-new buildings, other less depraved slums have undergone a significant improvement (connection to sanitation / water / electricity) and this can be considered as RMI.

For those not classified as unsafe, the government has launched a project to urbanize the remaining slum areas, those that are fit for living. Indeed, the government plans to have a country that is slum-free by 2030.

For some time now, the ageing Egyptian dwelling park has been the main reason that the replacement market accounts for a large portion of construction activity. However, this segment is still limited by the relatively low purchasing power of most of the population. In more recent times, the government has taken steps to modify and update part of the current building stock to provide more social housing.

Rather than relocating, Egyptian households tend to focus on improving their homes. However, home improvement has a very different meaning in Egypt from that which is common in the West – mostly concerning the finishing of housing units that were already occupied by a family before full completion. Social and economic improvements, along with an increasing purchasing power of the population, should markedly increase the significance of this end-use sector over the forecast period.

Non-Residential Construction

An increasing number of hotels were built in 2019, as a result of the return of foreign investors as well as the return of tourism, thanks to the foreign exchange rate, largely in favour of tourists, as well as a relative return of the security in the country. Despite an overall decline of the bathroom market, the non-housing segment experienced a growth. The ACCOR GROUP has decided to open 30 new hotels in the coming years, which is part of their development in Africa, with a total of 60 new hotels in the whole continent.

II.2 Key Figures

EG - DEMOGRAPHICS AND HOUSEHOLDS

Value		Year
Segmentation	Category	2019
Demographics	Population (% Rural)	57.20
	Population (% Urban)	42.80
	Population ('000)	100 030.40
Households	Average Size (Persons h/h)	4.04
	Total ('000)	24 760.00

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

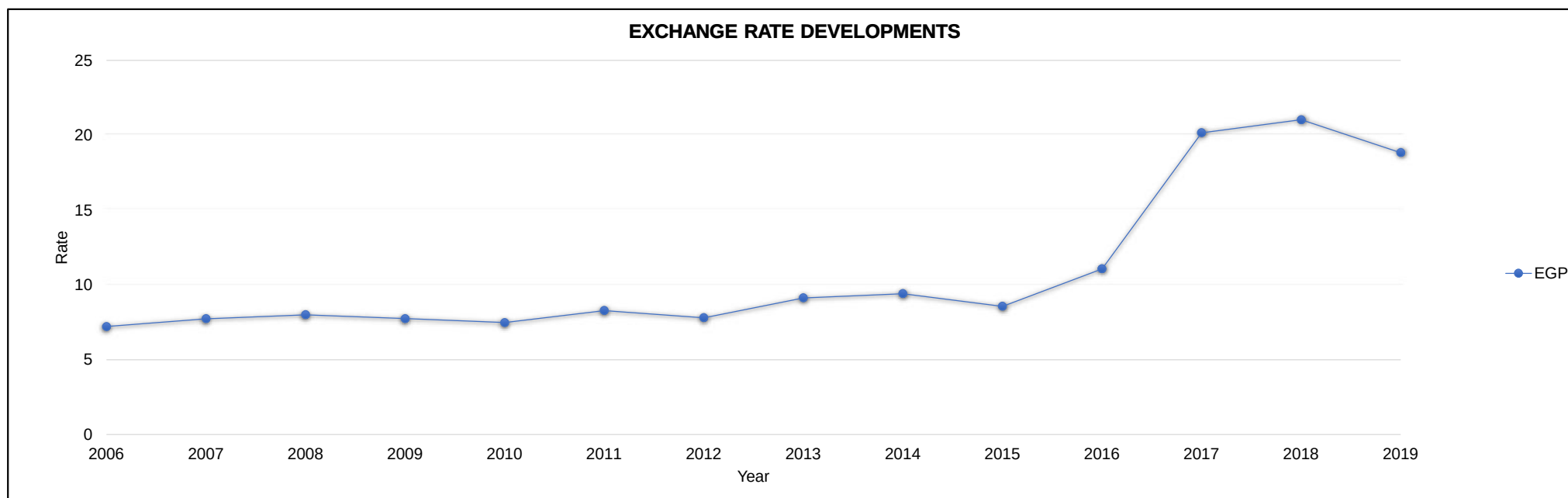
EG - MACROECONOMIC KEY INDICATORS

Value	Year															
Category	2005	2006	2007	2008	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	8.83	4.20	10.96	11.70	11.69	11.09	8.65	6.91	10.10	10.99	10.20	23.54	20.86	13.87	5.86	8.23
GDP (% change)	4.47	6.84	7.09	7.16	5.15	1.77	2.23	3.30	2.92	4.37	4.35	4.08	5.31	5.56	1.95	2.83
Government Balance (% of GDP)	- 6.69	- 7.36	- 4.90	- 6.05	- 7.45	- 9.60	- 10.01	- 12.93	- 11.29	- 10.93	- 12.47	- 10.43	- 9.41	- 7.41	- 7.68	- 6.62
Unemployment Rate (%)	11.47	10.92	9.21	8.68	9.21	10.38	12.37	12.99	13.37	12.86	12.71	12.25	10.93	8.61	10.29	11.61

Source : IMF

N.B. No data available beyond 2021 at the time of publication.

II.4 Historical and Current Exchange Rates
EG - EXCHANGE RATES : HISTORICAL AND CURRENT



Local Currency	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
EUR / EGP	7.21	7.73	8.00	7.74	7.48	8.28	7.80	9.13	9.41	8.56	11.07	20.16	21.03	18.84
% change	-	7.27%	3.46%	-3.22%	-3.41%	10.71%	-5.73%	16.96%	3.14%	-9.08%	29.34%	82.14%	4.33%	-10.43%

Source: OANDA

The Egyptian Pound (EGP) is the Currency of Egypt. The Exchange Rates Shown are the EGP to the EUR.

II.5 Overview of Impact of COVID-19 on Forecasts
EG – OVERVIEW OF IMPACT OF COVID-19 TO DATE

GENERAL

Start of the lockdown [expected start of easing]	Transport, restaurants, coffee shops and most shopping malls closed since mid-March.
Number of officially confirmed cases [fatalities] to date	5,000 cases and 360 deaths as of 28 th April ¹ .
General measures in place to support the economy	NA
Statistics on affected individuals (unemployed or temporarily off work)	NA
Measures in place to mitigate economic impact on INDIVIDUALS	NA
Statistics on affected companies (% of total forced to suspend activities)	NA
Specific measures affecting BUILDING CONSTRUCTION and RMI (including access to DIY stores)	Completion date for the new administrative capital postponed ² .
Measures in place to mitigate economic impact on COMPANIES	Natural gas and electricity prices reduced for industries. Property taxes on factories and tourism facilities delayed for three months. Key interest rates reduced by central bank and a six-month delay introduced for payments due on loans contracted by all consumers and small businesses. ³

¹ <https://www.worldometers.info/coronavirus/#countries>

² <https://www.constructionweekonline.com/projects-and-tenders/264282-covid-19-egypt-president-postpones-gem-administrative-capital-opening>

³ <https://www.al-monitor.com/pulse/originals/2020/03/egypt-economic-measures-industry-coronavirus-outbreak.html>

EGYPT

DISTRIBUTION

THE AFRICAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

Despite the Arab revolution that led Egypt to major political, economic, and financial crisis, the distribution of bathroom products remains unchanged. However, the sudden construction activities following the *coup d'Etat* that brought General el-Sisi to power in the country has led to an increasing share of direct supply.

In Egypt, the distribution structure is very different from the Western world. There are, for example, no independent national chains of wholesalers or retailers covering the entire territory. In fact, due to climate conditions the overwhelming majority of the population live in Greater Cairo, the Nile Delta, and the Nile Valley, which combined comprise only 5.3% of Egypt's land mass. The fast growth of the population, along with low government expenditure, has led the distribution of building products to be unstructured. However, the distribution of bathroom products in Egypt is not as chaotic as it often appears. The presence of strong distributors contributes significantly to giving some structure and stability. Moreover, these distributors have tight relationships with local manufacturers of ceramic sanitary ware products. These are foreign or Egyptian manufacturers, with factories based in Egypt.

Low production costs have created a strong barrier to entry for ceramic products coming from Asia. Thus, imports of ceramic sanitary ware products have declined over the last 20 years, further stabilising Egypt's distribution structure. At the same time, imports are mostly focused on non-ceramic products, and these are often integrated in the circuit of distribution for ceramic sanitary ware products. The taps and mixers market are the best example of a non-ceramic product sector that is overwhelmed by imports. The limited purchasing power of the population, low brand recognition and a near-absence of regulation has led to a flourishing market for bathroom products – supplied by original design manufacturers (ODMs), rather than OEMs. These products constitute the bulk of taps and mixers sold in the country and are available almost everywhere, not only in the *souq* (traditional Arab marketplace/commercial quarters).

In Egypt, the distribution channels for bathroom products are highly driven by the retail market. Indeed, many residential units are handed to owners without sanitary ware or taps and mixers, and it is the owner who needs to install these products. While it was previously believed that this concerned only low-end dwellings, it appears that it can also include other end ranges of dwellings for which the owner prefers to choose himself the products that will equip the bathroom. For these reasons, direct supply to contractors is much more limited compared to that of Europe. In Egypt, there are three types of new housing that are considered as 'completed': fully furnished (an estimated 35% of new housing output, including ceramic sanitary ware and taps and mixers); half-finished (40%, not including ceramic sanitary ware products or taps and mixers); and unfinished (25%, the infrastructure only without bathroom products or doors).

Most manufacturers sell to a wide range of distributors. Exclusive distribution is very limited in Egypt, due to a low brand reputation and a high price elasticity of the products that lead distributors to seek the cheapest suppliers. However, Egyptian distributors stick generally to the same supplier, thanks to the long-standing and strong relationships they have built over the years. Distributing multi-brand is common. The distribution channel for bathroom products in Egypt is moving towards a direct supply from manufacturer to end-user. This constitutes the preferred distribution channel for some manufacturers, such as LECICO (in the second half of 2015 the company decided to directly supply their products to customers). It is believed that, in the future, the share of manufacturers selling directly to end-users should increase, not only due to the potential to increase their margins, but also to cultivate a closer relationship with their consumers and so enable them to provide a better service and warranties.

Many construction projects as well as a large part of building products that are imported are dealt with by the army, which is increasingly involved in key economic sectors since the Arab Spring (a series of anti-government protests across several Arab countries that started at the end of 2010 in Tunisia). It is believed that they do not pay tax at customs, and are not subject to traditional economic drivers. This affects the supply structure, and the distribution routes for most bathroom and heating products.

Wholesale Level

Established distributors in Egypt have been structured around manufacturers that offer trusted legacy brands along with a wide product range, a high quality customer service and local key account managers.

There are around 30 large distributors in Egypt, but AL SALLAM and the MAHGOUB GROUP are the two main ones. They have tight relationships with manufacturers, and structure to a certain extent the distribution of bathroom products. Indeed, one of the company owners is also a shareholder in DURAVIT.

While the products offered in the market depend on the demand, the flexibility of being supplied easily increases the capacity of the distributor to display products that are not necessarily in stock.

EL SALLAB distributes a wide range of products such as NOKEN, part of PORCELANOSA.

Distributors generating high volume were supplied with products at a lower unit prices compared to small specialists.

For contractors, a high volume of faucets is negotiated at a lower price than the price bought by low income households.

The MAHGOUB GROUP has been present in the Egyptian market since 1948. Like EL SALLAB, the MAHGOUB GROUP imports several well-known brands from various countries in Europe. For both companies, their core business is ceramic sanitary ware. They distribute IDEAL STANDARD and DURAVIT. The company also imports taps and mixers from KLUDI, HANSGROHE, JACOB DELAFON and GROHE. EL SALLAB has been present in the market since 1912. The company imports several well-known brands from all over Europe, but also less-known brands such as the Italian HIDRA. For shower cubicles, EL SALLAB also imports from COLACRIL.

However, the main manufacturers that play a key role in the Egyptian market are those that have local manufacturing plants: IDEAL STANDARD, DURAVIT and the local Egyptian manufacturers. The absence of local manufacturers for taps and mixers gives a large opportunity for imports, mainly handled by these distributors. Somehow, these distributors have a certain influence on the market shares for manufacturers, which depend heavily on them. Market cannibalism is not a concern for these distributors.

These main distributors have a significant impact in Egypt, as they represent the backbone of the thousands of small distributors. Such distributors generally specialise in bathroom products only. No associations have been identified in Egypt which relate specifically to bathroom products.

In 2019, no changes were identified at the wholesale level for the distribution of bathroom products in Egypt.

Retail Level

The Egyptian population is relatively poor and, therefore, low-end products overwhelm the Egyptian bathroom market. Translated into the distribution flow, a significant share of bathroom products is sold through the *souq*. Highly informal, the *souq* offer a wide range of prices and services. For instance, some shops offer the installation, but rather than look for a certified installer, 'word-of-mouth' is often the golden rule to finding a good installer. Indeed, it is very easy and affordable to find a cheap sub-dealer (street plumber) to undertake any required installation. Most of the time, the concierge in any building knows which plumber to refer to.

Many houses that were delivered in 2019 did not have any sanitary ware products installed, neither baths nor shower trays. Egyptians had to finish themselves the completion of the house. This singular phenomenon had an impact on the distribution routes, as new owners had to purchase their bathroom products themselves on the retail market.

Highly flexible, the *souq* can be very confusing or even baffling at first sight, as many shops are very small and very old, but altogether they represent a tremendous volume of sales that is often neglected by manufacturers – which prefer to track projects. Significant economic development, along with tighter regulation, should lead to a more organised retail market. In return, the market

should appear more transparent, which should help manufacturers to assess its real potential.

Increasing activity in the retail level occurred in the *souq*, where the cheapest products are found. This was due to the high inflation rate that hit the country. Also, a larger volume of second-hand bathroom products was sold during the year.

DIY Retailers

No DIY retailers – in the Western conception of the term – have been identified in Egypt, despite a huge amount of new residential units being delivered each year without either plumbing or sanitary ware. The presence of affordable installers in the *souq*, along with the Middle Eastern practice of having the purchased product installed and ready-to-use, represents the main barrier to entry for DIY retailers. In Europe, mass-production has led to a significant decline in retail prices, while the development of technology, better housing standards and higher education has caused the cost of installation to increase significantly. This has created the right environment for DIY in Europe to flourish, which is not the case in Egypt. For this reason, sales of bathroom products through DIY stores are unlikely to happen in the coming years.

Specialist/Other Retailers

Specialist retailers in Egypt are generally showrooms. They sell high-end products from Western brands in order to enhance their product differentiation, as well as strengthen their value-proposition. They are generally based in high-end areas in Cairo and, while they do act as retailers selling to high income householders, they are often solicited for small projects. In Egypt, the most important type of specialist retailers is those identified as the *souq* (described above). They are often concentrated in the same area; the shops are next to each other. Most of these retailers source their products from local manufacturers, whether the products are manufactured locally, or they are imported.

Internet Retailers

Within the bathroom market, sales through the internet channel are extremely limited in Egypt. Online sales are not likely to develop over the forecast period due to the many technical barriers present in Egypt, such as internet speed issues and the availability of online payment systems. E-commerce in Egypt is mostly limited to services rather than products. The number of internet users is in constant increase and is largely represented by smart phone use. The development of the smart phone has increased the number of online transactions (mostly electronic products, airlines, and entertainment). Among non-technical issues, other barriers to entry include the lack of knowledge on how to deal with e-commerce, the lack of legal recognition of electronic contracts, the fear of disclosures of financial transactions, and the lack of familiarity with foreign languages.

It is important to note that, despite the absence of e-commerce regarding bathroom products, it has a certain impact on the distribution of bathroom products. E-commerce and e-business are often perceived as interchangeable, and this lack of discernment leads to misunderstanding, resulting in an overstatement of the influence of the Internet in the Egyptian bathroom industry. According to the US Census Bureau, while e-commerce is any transaction completed over an online network involving the transfer of ownership or rights to use goods and services, e-business has a broader definition, including information provided by manufacturers about products so that consumers can decide whether to purchase a product and where. This aspect should grow in the future and influence buyers in selecting the brand to purchase from, even if physical distribution routes remain unchanged.

JUMIA is the best-known internet retailer in Egypt; still, it represents only a tiny proportion of volumes sold within the country. SOUQ.COM, often referred to as 'the AMAZON of the Middle East', is the largest e-commerce platform in the Arab world. SOUQ.COM has delivered to Egypt since 2014 and has localised operations within the country. Sales through internet channels might expand with the rise of worldwide online retailers such as the Chinese ALIBABA – the platform that helps importers and distributors to be directly in touch with suppliers (B2B) – and its sister company ALIEXPRESS, which is specifically dedicated to customers (B2C). In addition to its own online payment system, customers can pay through bank transfer or even Western Union. Online sales are more effective for companies offering an easy app for mobile phones, as most Egyptians use the Internet from their smart phones.

EGYPT

BATHS AND SHOWER TRAYS

THE AFRICAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Egypt, the most populous Arab country, is also the one with the largest population living under poor living conditions; this affects the level of demand and structure of the bath and shower tray market. According to CAPMAS (the Egyptian Statistic Authority), in 2017, 90.6% of Egyptians living in urban areas had access to sanitation. However, this number falls to only 29% in rural areas, where 57.8% of the population is located. CAPMAS also indicates that 90.5% of families use shared bathrooms. As a result, although the baths and shower trays market have wide scope to develop in a country of around 100 million inhabitants, the market remains relatively limited by the above structural factors.

Furthermore, Egypt is characterised by a huge shortage of housing, fuelled by a growing population overrepresented by young adults who are struggling to find a decent place to live once married. This growing population absorbs the economic growth needed to improve the living conditions of the population and, consequently, the expansion of the market potential for baths and shower trays.

Until recently, the bath and shower tray market were mostly driven by replacement demand. In the last few years, the construction market has taken off in Egypt, with the country becoming one of the most attractive in the region in terms of housing construction. The return on investment appears to be attracting many companies – especially construction companies – from the Gulf countries. This in turn has had a positive influence on the bath and shower tray market, and sales of baths and shower trays to the new housing segment have been increasing over the last few years.

Within the construction market, private investors focus mostly on medium to high end dwellings, which are intended for citizens with the highest incomes (the top 10% of the population). These dwellings are equipped with baths and shower trays. In contrast, the social housing programme led by the government (dedicated to the bulk of the population) typically delivers basic dwellings; many of them do not have any bathroom products installed, once delivered. Due to low purchasing power, the low-end segment is largely dominant in Egypt. The growing middle class constitutes the largest sales opportunity within new construction.

As in many other countries, synthetic products largely dominate the overall volume sales of baths and shower trays. Synthetic baths and shower trays now lead the high-end segment and are increasingly penetrating the lower end of the market. Demand for cast iron and steel baths and shower trays has gradually been replaced by that for synthetic models. While steel baths and shower trays have proved to be resilient over the years, cast iron baths have lost popularity quickly and are not estimated to be primarily used for single projects. However, cast iron models seem to be stronger in keeping a certain position in the luxury sector, even though their volume sales within the bath and shower tray market are small.

Traditionally, hydromassage baths were mostly found in spas and wellness centres in Egypt. However, over the last decade these products have penetrated the residential sector to become a key sales opportunity for manufacturers. The combination of a growing middle-class, and an increasing number of selling points, has led the market for hydromassage baths to grow over the years, with a market potential in constant expansion and this despite the economic crisis that hit the country severely in the past few years.

Recent Market Trends

In 2019, sales of baths in Egypt increased, thanks to strong construction activities in both residential and non-residential segments.

Despite a clear slowdown of the price growth, the purchasing power of the population declined further in 2019, which led to a share of economy/low product ranges to increase during that year.

Sales of hydromassage baths were limited to high- end dwellings, owned by the upper-class of the population as well as by hotels and spas.

A high number of Egyptians living abroad purchased a dwelling in 2019, thanks to their higher purchase (particularly when they live in the West), enhanced by favourable exchange rate (despite a stronger Egyptian Pound in 2019). This constitutes a significant factor for the sales of medium/high product ranges.

Standard steel baths continued to be the most popular, thanks to their lower price generated by economies of scale. Some freestanding cast iron baths were replaced by similar product made of steel. However, freestanding baths remains largely made of cast iron material. Despite the versatility of the synthetic baths that, due to the fabrication process, allows a multiple form, most baths sold in Egypt in 2019 remain basic form and the cheapest, considering the purchase power of the population. However, wealthier households tend to install more corner synthetic baths or any other forms such as oval, for design purposes, for a better bathing experience or just due to space restrictions. With regards to shower trays, no trends were identified for those made of ceramic, except in terms of thickness: thinner layers are cheaper. For synthetic models, there is a trend towards larger models, those generally replacing a bath. Synthetic shower trays tend to be square although rectangular models are increasing. As said above however, the Egyptian market is mostly made of basic products as most dwellings are made of social residential units.

Egyptians belonging to the middle-class suffered from severe economic conditions in Egypt despite a strong GDP growth registered in 2019.

The hegemony of synthetic products in the total market leads the trends for steel baths to be very irregular from year to year, as well as in the split among end users. Demand comes mainly from one-off projects, which can be amended at the

last minute. Cast iron baths became almost non-existent in 2019.

Prices and Market Values

The price increase in 2019 was high for the baths or shower trays manufactured in the country, but the increase was slowed down compared to last year's double-digit increase.

Importers of baths and shower trays enjoyed a stronger Egyptian Pound, which means, cheaper buying price. This has softened partially the overall MSP growth, as the MSP include prices paid by importers. Because of the exchange rate, the selling price of imported products enjoyed a deflation (in Euros). What also reduced the MSP growth, is the decline of the margin from local manufacturers, in order to keep up with imported products, in terms of price competitiveness.

New Housing

Sales of baths increased clearly in 2019, while the number of shower trays declined, despite a high number of dwellings completed during that year.

This was due to several reasons:

- First of all, many houses were not fully completed once delivered, particularly with shower trays, allowing some new owners to opt for a walk-in shower.
- Secondly, many of them were purchased only speculatively and remained uninstalled.

The vast majority of new homes built in 2019 had only one bathroom. When fully equipped, a bath is generally installed, and the vast majority of baths installed during that year were made of synthetic materials.

Housing RMI

In Egypt, sales of baths to the replacement market increased slightly in 2019 while for shower trays, it was almost stable (slight decrease).

The pauperisation of the population led many Egyptians to delay the replacement of their baths or shower trays. Many of them preferred to install a walk-in shower. This displacement contained the replacement market for shower trays.

The "traditional" sales factors for the RMI segment were positive for houses that belong to the upper and luxury end ranges: their owners were suffering less from the astonishing price increase over the last few years (due to the devaluation of the Egyptian Pound that led to a double-digit inflation without a proportional wages adjustment).

In the last few years and since the construction market in Egypt became a major sector of the economy, the total number of dwellings increased drastically. According to CAPMAS, the dwelling stock was 25 million units in 2006 and reached 43 million in 2017. This growth in the dwelling stock can be correlated with the sales opportunities for baths and shower trays to the RMI segment.

In 2019, sales of hydromassage baths in RMI increased, thanks to the quasi-absence of price elasticity for this type of product, principles that violate the basic law of demand. Moreover, this type of product is generally installed by wealthy Egyptian households, less affected by inflation, and by those living abroad.

Non-Housing

Demand for baths and shower trays in the non-housing sector in Egypt increased in 2019.

This was due to the strong return of the tourism sector with many hotels that have been built during the year.

Also, some existing hotels were refurbished, particularly those that were shut down during the economic crisis following the 2011 Egyptian Revolution.

Supply Structure

In 2019, IDEAL STANDARD announced that its production of baths from the UK (in Hull) will be moved to Egypt, which will consolidate its presence in this Middle Eastern country, while reducing the production cost in order to be more competitive in Europe.

Imports from Thailand are believed to come from SIAM SANITARY WARE, AMERICAN STANDARD, KOHLER, CRISTINA SANITARY, MOGEN. From Vietnam, VIGLACERA CORPORATION.

DURAVIT and IDEAL STANDARD remained the leaders in the supply of synthetic baths and shower trays, while CLEOPATRA, DURAVIT and LECICO lead the ceramic shower tray market. DURAVIT is the major shareholder of SANI ACRYLIC, the bath manufacturer.

Hydromassage baths are mostly supplied by DURAVIT and IDEAL STANDARD but a significant share is supplied by Chinese manufacturers.

To be able to provide a five-year warranty, some manufacturers – and assemblers – have claimed to be importing from Europe and supplying more reliable products, as one of the main concerns of householders is the maintenance that this product requires.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Sales of baths and shower trays are expected to increase over the forecast period.

However, sales for 2020 should clearly slowdown due to measures taken by the government to limit the spread of the COVID-19 pandemic. These measures have affected construction activities (for instance, the completion of the new capital has been postponed), and some manufacturing plants reduced their productivity. The curfew imposed by the government also impacted on the retail market.

As of mid-April 2020, it is difficult to estimate the impact of this sanitary crisis mid-term. As the country recovered from several years of major economic turmoil, the economy remained weak and keeping the right balance between fighting the pandemic and maintaining the economic development (which has also had an impact on the population's life), remains strategic for the government.

When looking at the whole forecast period which spread to several years, it is believed that the healthy construction sector should continue to represent the key driver for the baths and shower trays market in Egypt. The growing demand for housing, coming from its large and young population, should continue over the forecast period.

The government programme to provide social houses is proving successful. However, these social houses remain still very expensive for this population, of which some continue to live in slums with no private sanitary installation.

The pharaonic project, already started, of building a new capital should lead to massive sales of baths and shower trays in the coming years. Around 50,000 employees in public sectors should be transferred to the new Egyptian capital, postponed to 2021 (instead of 2020, due to the pandemic). Once completed, the new city aims to house 6.5 million people.

Although the market growth should be led by the new housing segment, retailers should become one of the main sales routes due to the number of unfinished houses delivered to households that would need to install their baths or shower trays themselves. The contribution from contractors concerns only dwellings that are fully completed, such as those that belong to the middle and upper ranges.

In the non-housing segment, mostly represented by the tourism sector, sales of baths and shower trays should recover over the forecast period, as long as the country strengthens its stability away from any form of violence that would push away tourists.

Uncertainty remains with regards to the type of dwellings that should be built in the coming years. The gap between the demand and the offer has increased in the recent years: the large offer does not match the demand (due to a low purchasing power) and many may remain empty longer than expected.

The bulk of the market should continue to be driven by low-end synthetic products, largely supplied by local manufacturers. Year-to-year sales growth will depend on how many new dwellings are effectively completed and equipped with baths or shower trays within the same year, and how dynamic the replacement market will be, considering the huge inflation affecting most Egyptians.

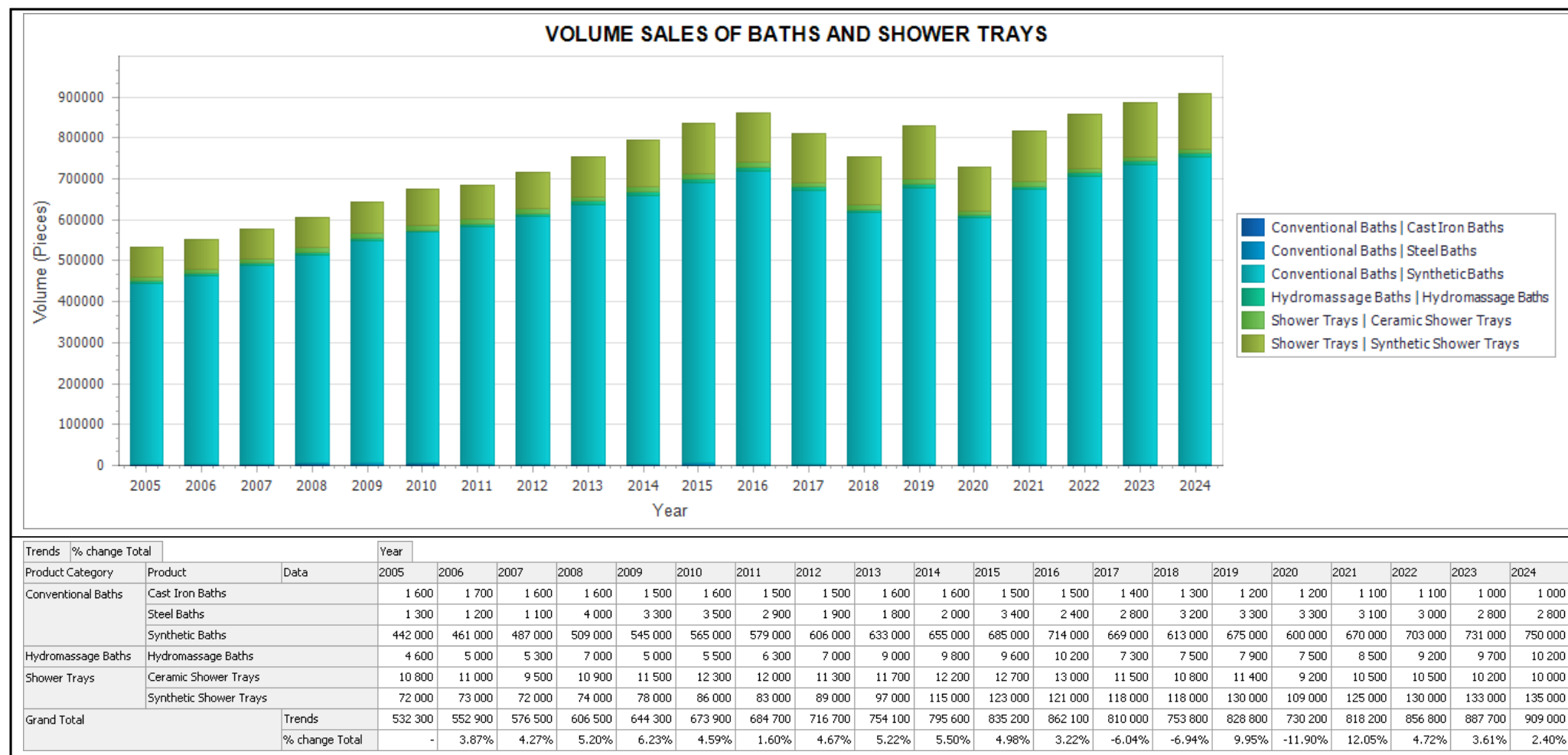
The ongoing poverty problems may lead the Egyptians to choose walk-in showers rather than the installation of baths or shower trays, which cost more.

BRG expects sales of baths and shower trays to develop positively in the coming years. The shortage in housing is still huge despite massive development in the last few years. In Egypt, over 900,000 weddings are celebrated every year, which constitute the core of the demand for housing.

Within the hydromassage bath segment, the growing upper-class should constitute the main driver. With an increasing number of selling points, this type of bath should continue to grow over the forecast period. Other sensitivities for hydrotherapy products concern the hardness of the water in some areas which may require a certain extra level of maintenance, and the absence of qualified installers which may lead to wrong installation, with leaking issues and premature lifespans that may, in turn, reduce the potential of the replacement market.

1.2 Historical Trends and Forecasts

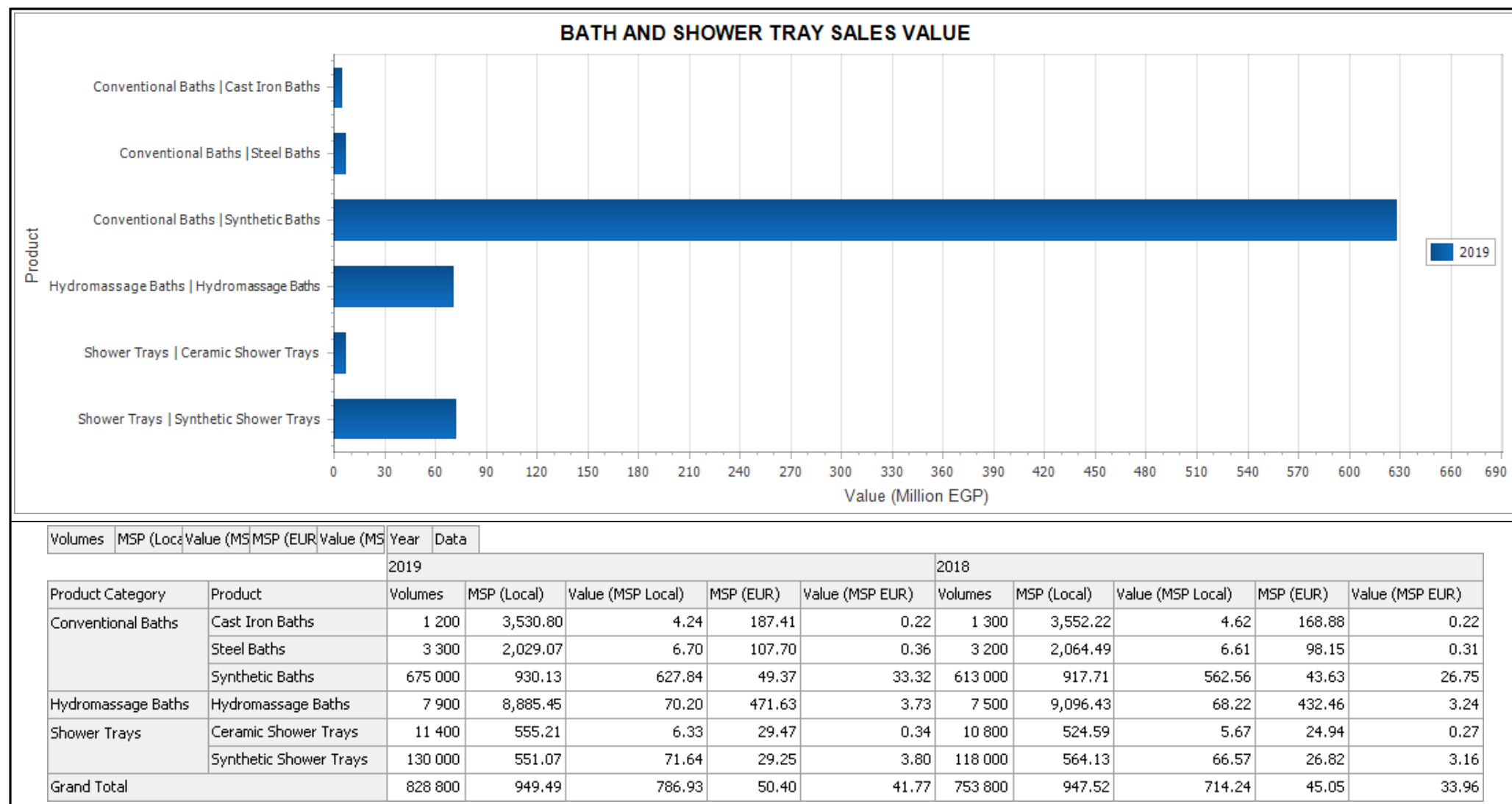
EG - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

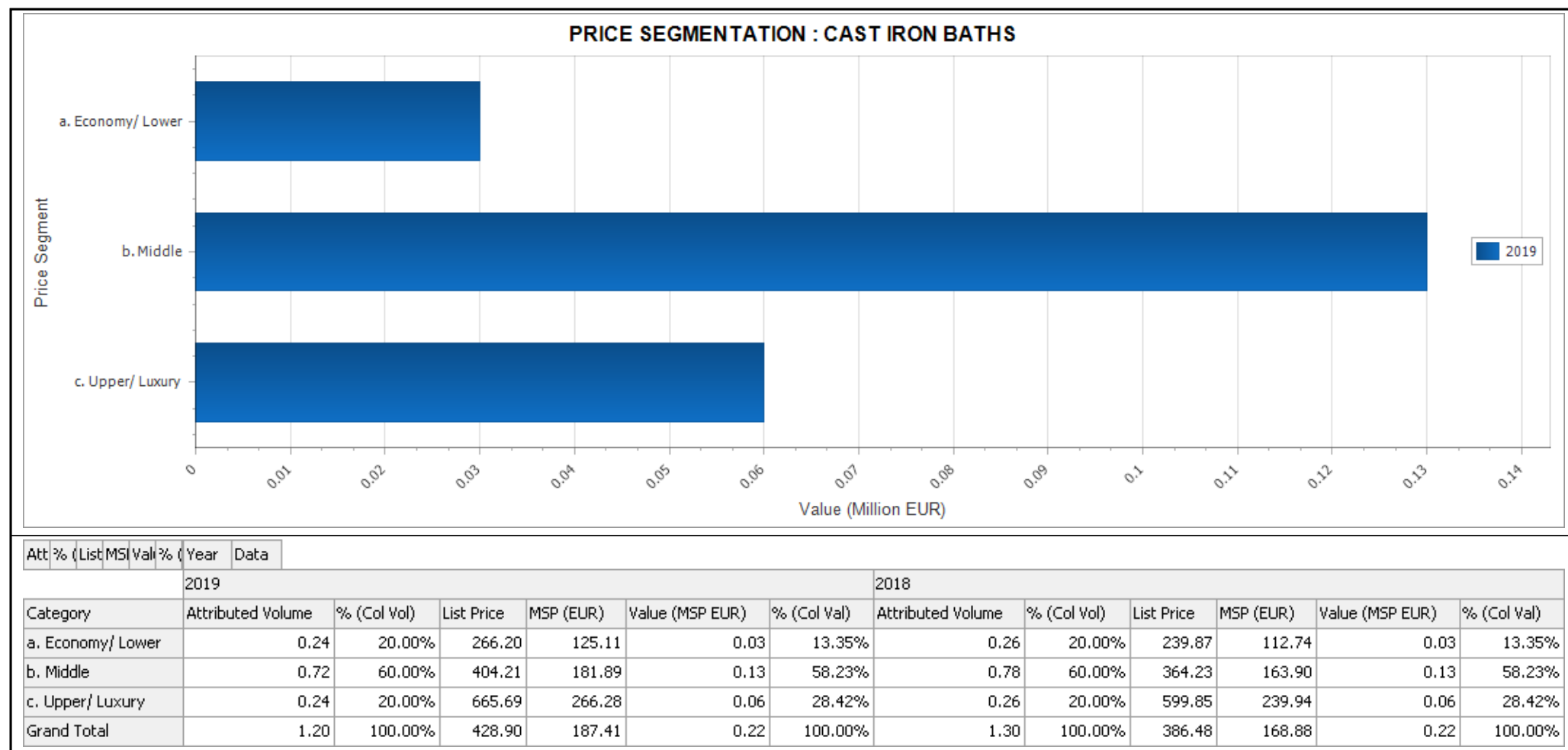
EG - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Local Prices in EGP. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Price Segmentation : Cast Iron Baths

EG - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

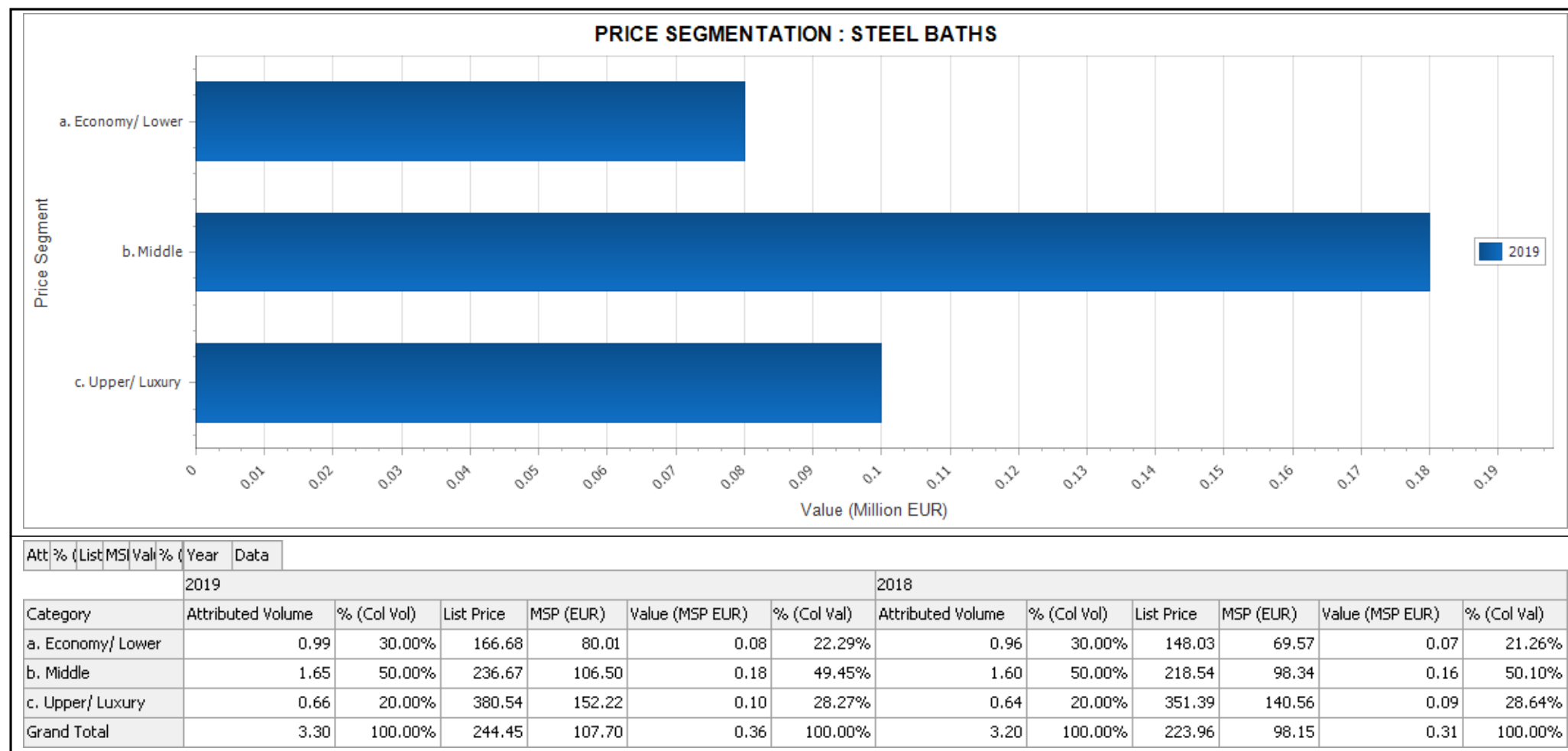


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€200, Upper/ Luxury >€200

1.3.3 Price Segmentation : Steel Baths

EG - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

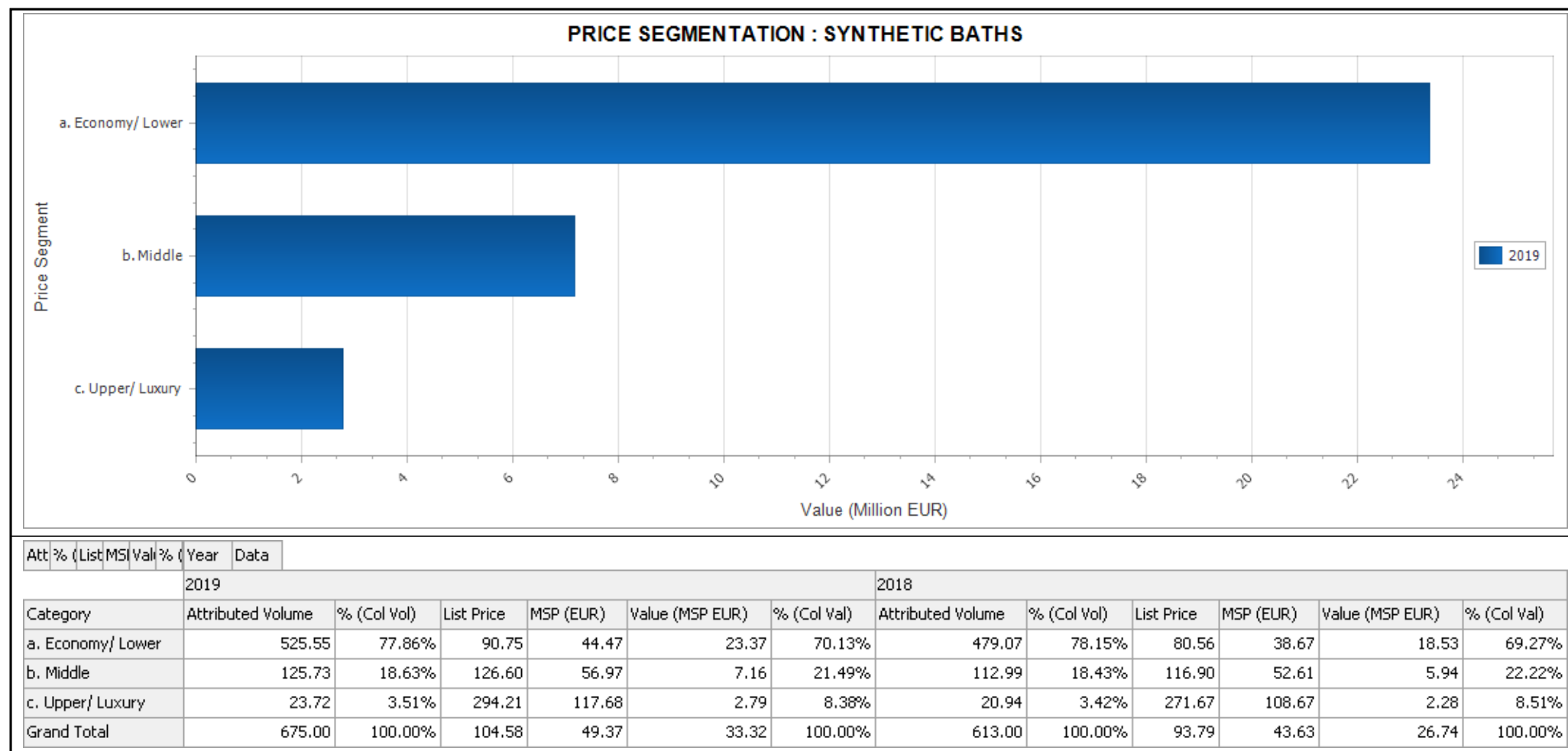


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€90, Middle €90-€140, Upper/ Luxury >€140

1.3.4 Price Segmentation : Synthetic Baths

EG - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

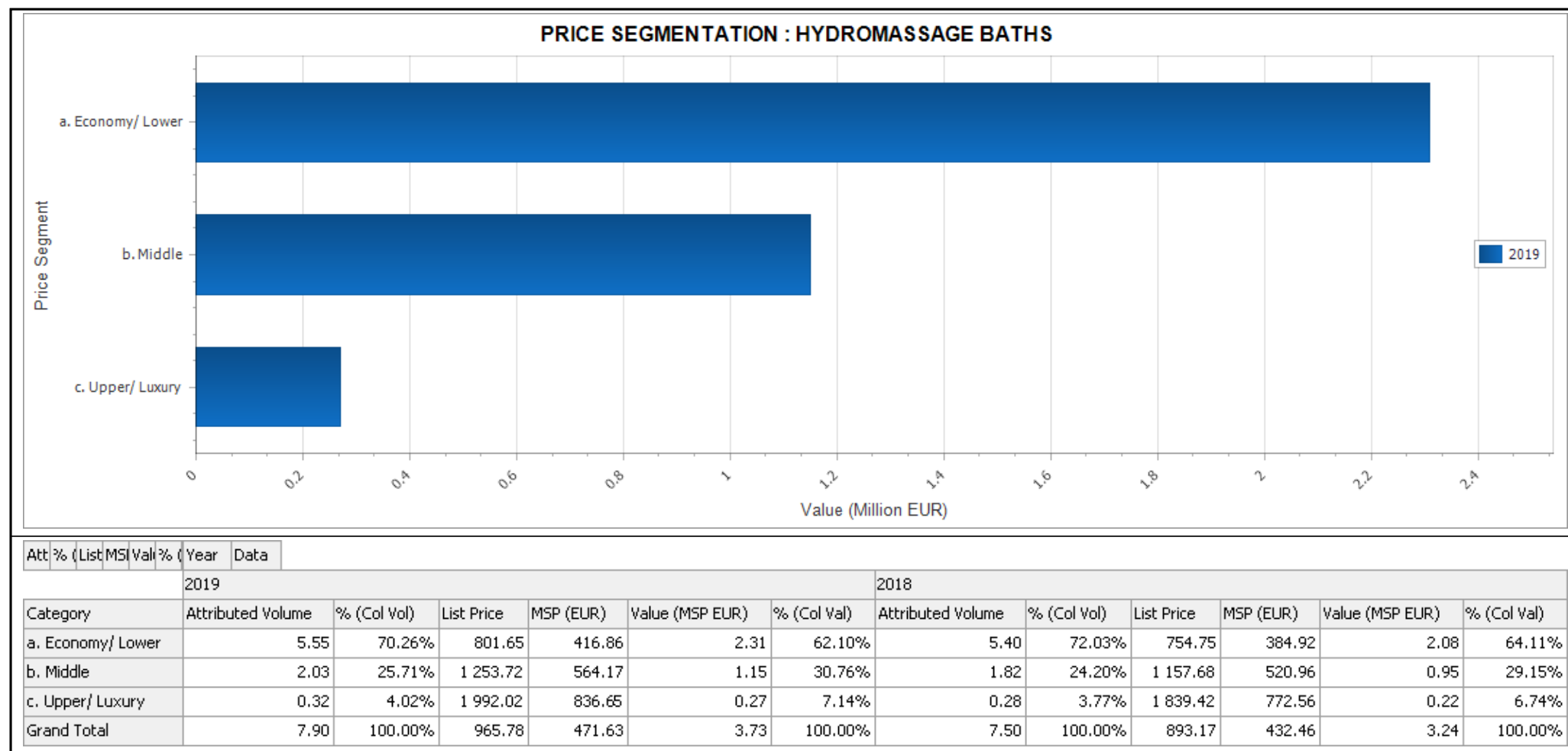


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

1.3.5 Price Segmentation : Hydromassage Baths

EG - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

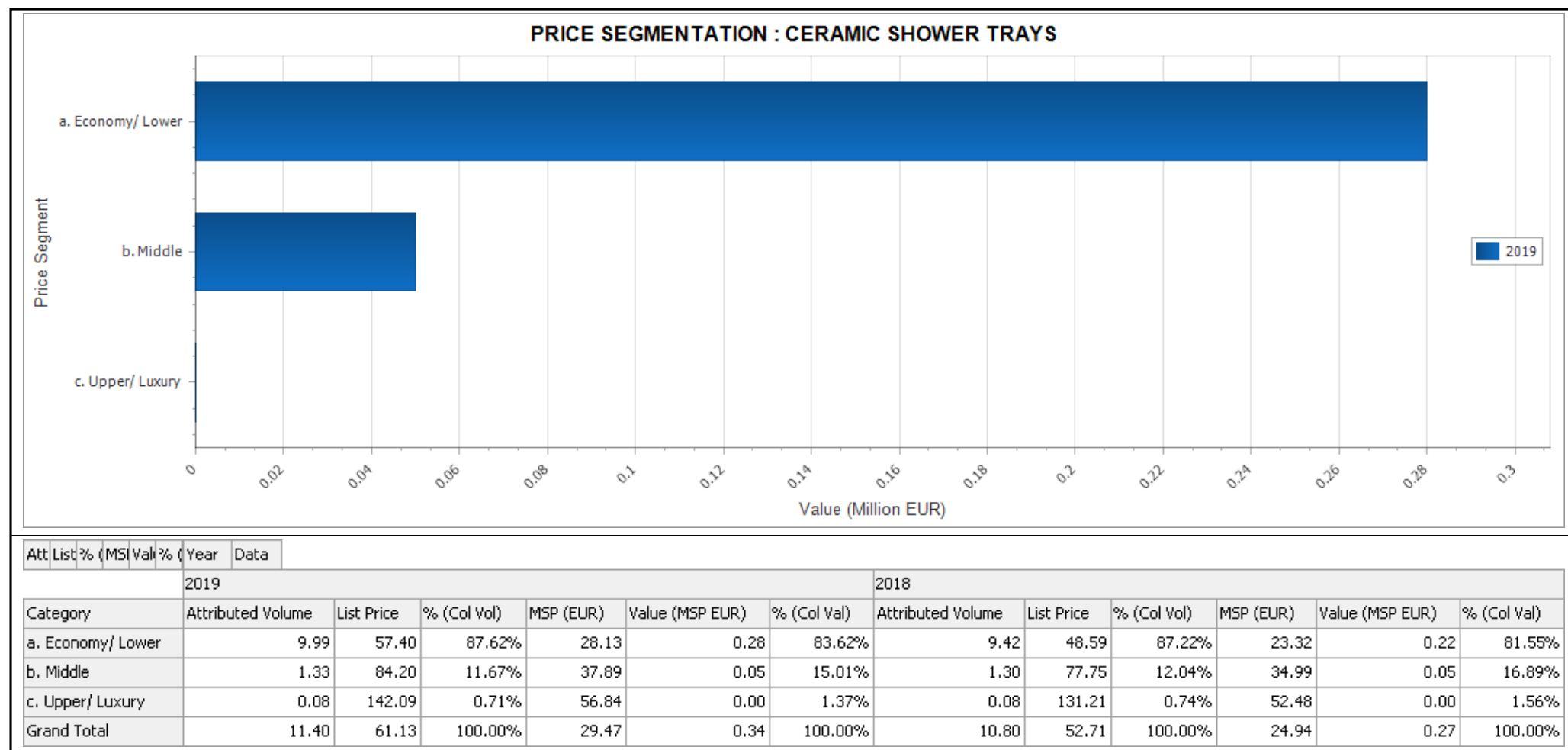


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€500, Middle €500-€700, Upper/ Luxury >€700

1.3.6 Price Segmentation : Ceramic Shower Trays

EG - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

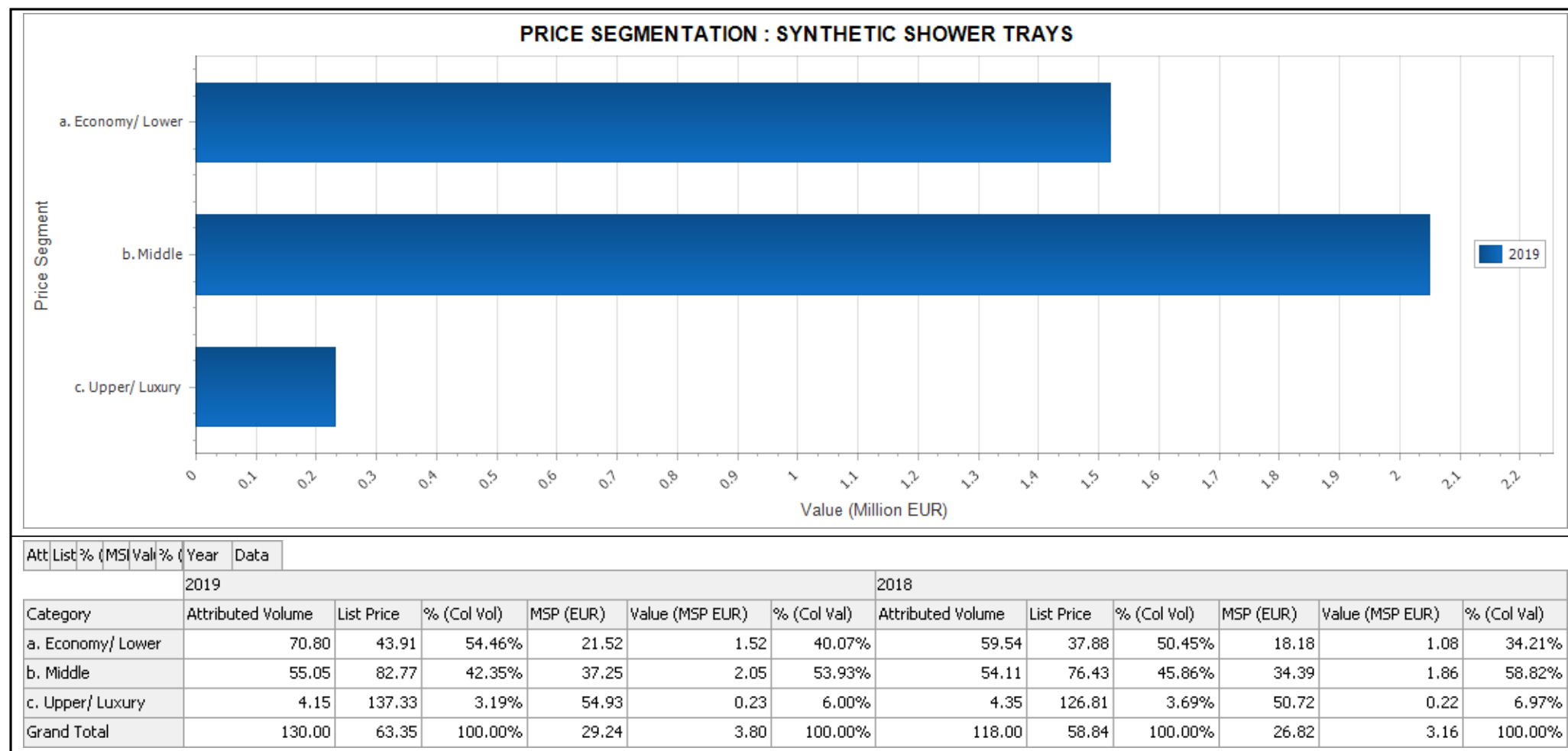


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€50, Upper/ Luxury >€50

1.3.7 Price Segmentation : Synthetic Shower Trays

EG - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

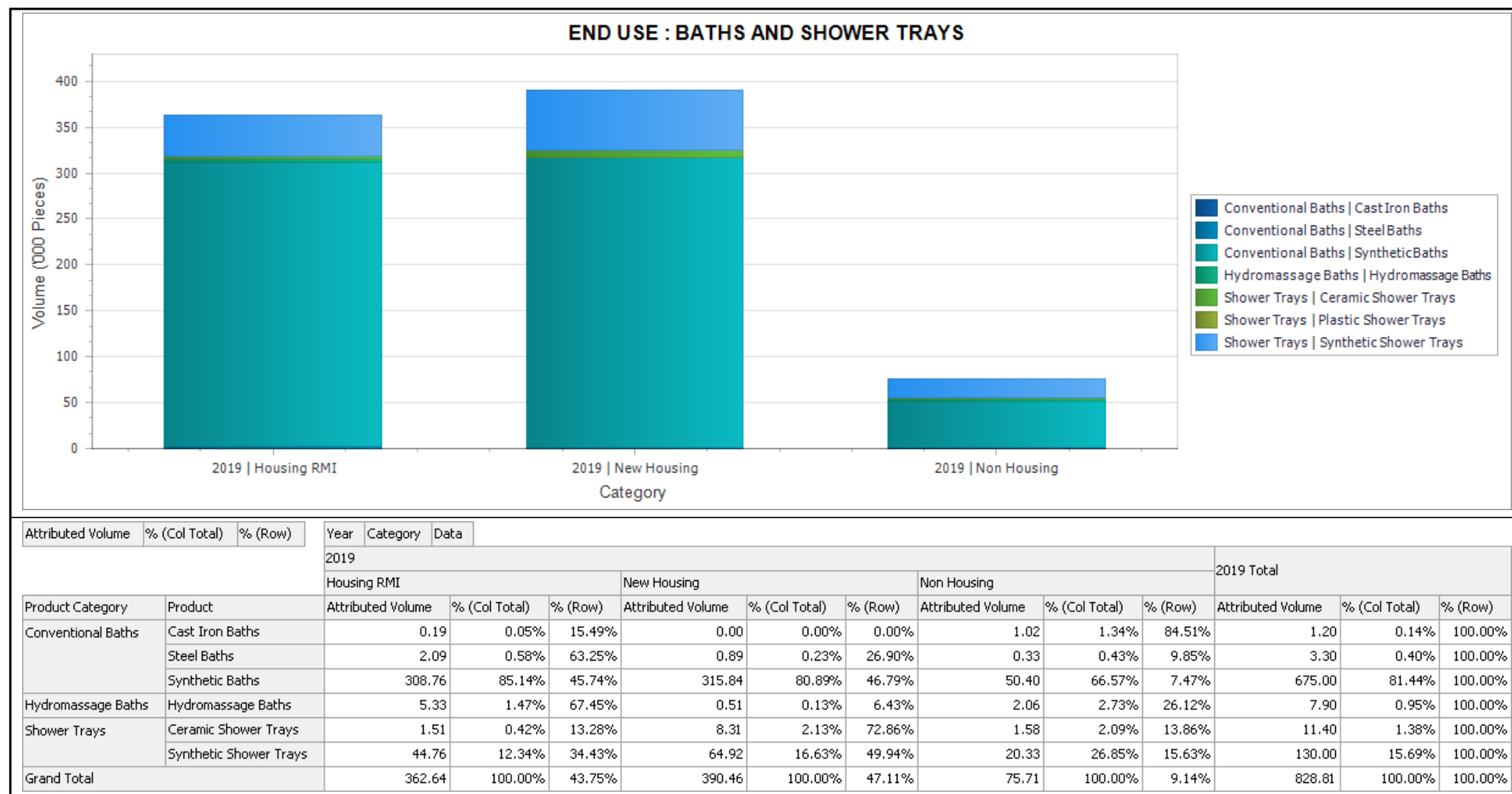


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€40, Upper/ Luxury >€40

1.4.1 End Use : Base Year

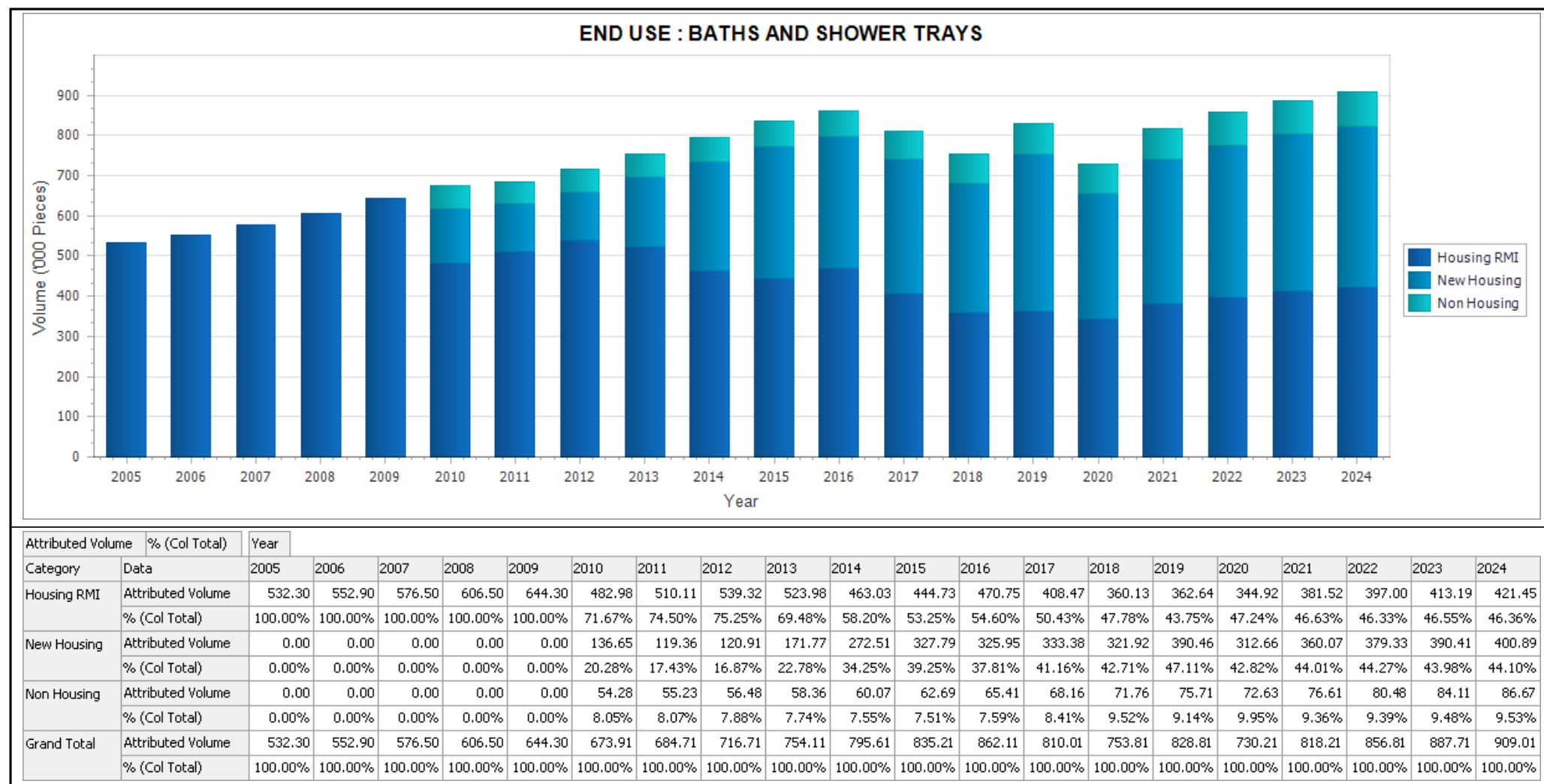
EG - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

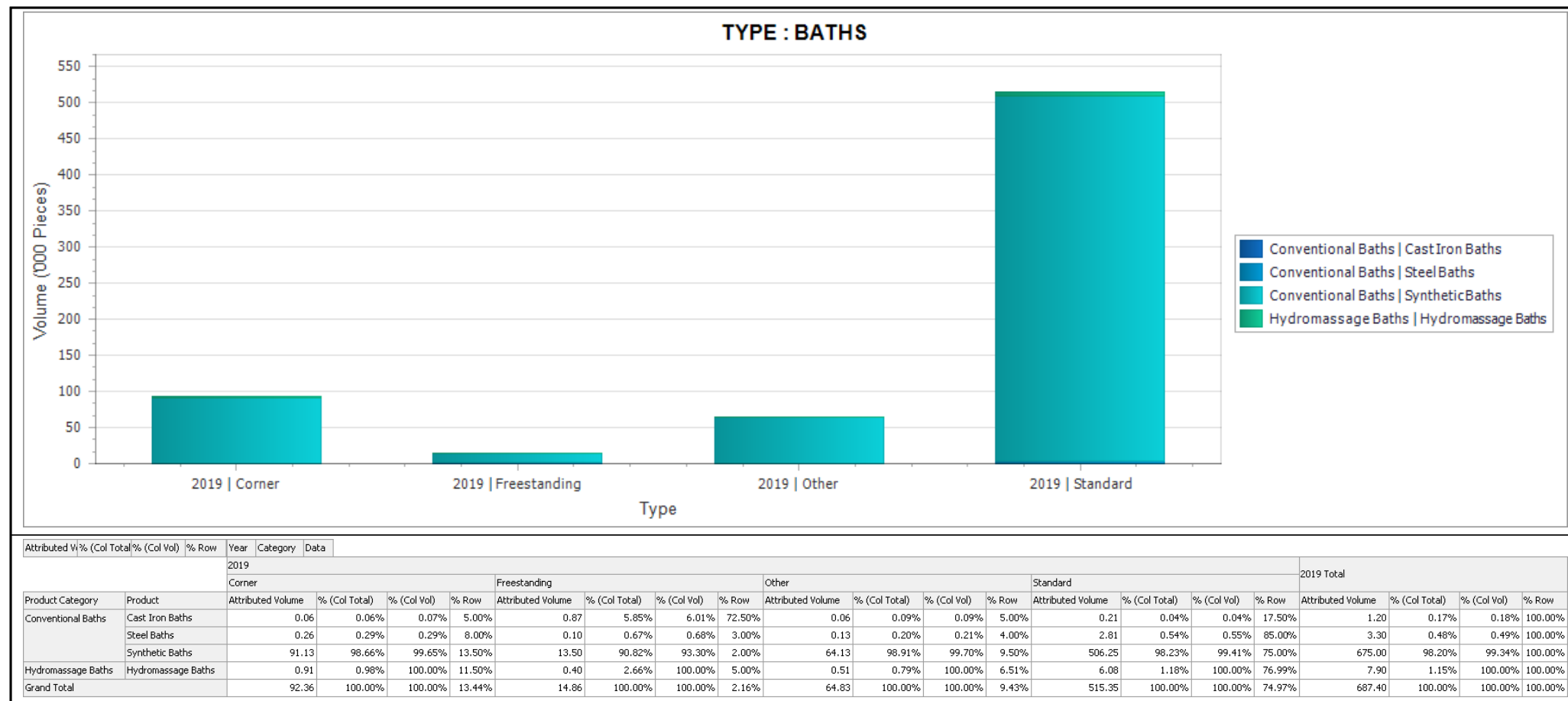
EG - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

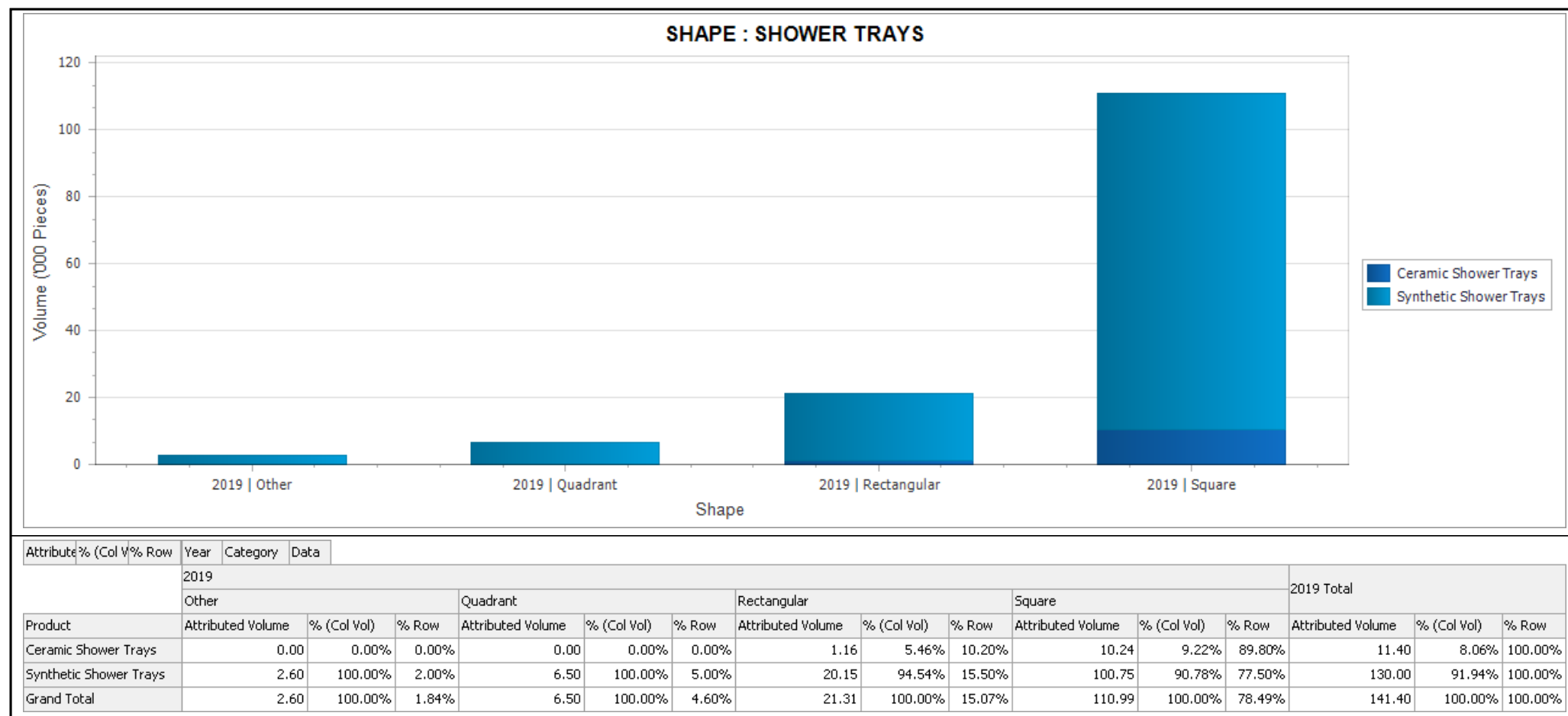
EG - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

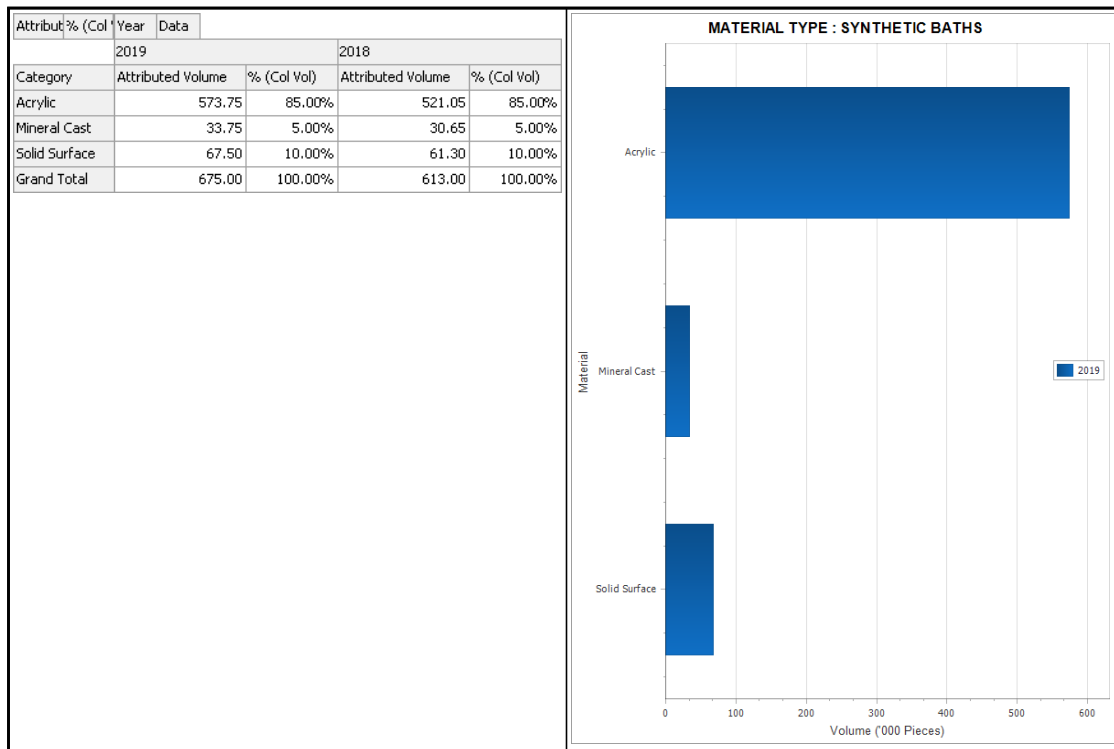
EG - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

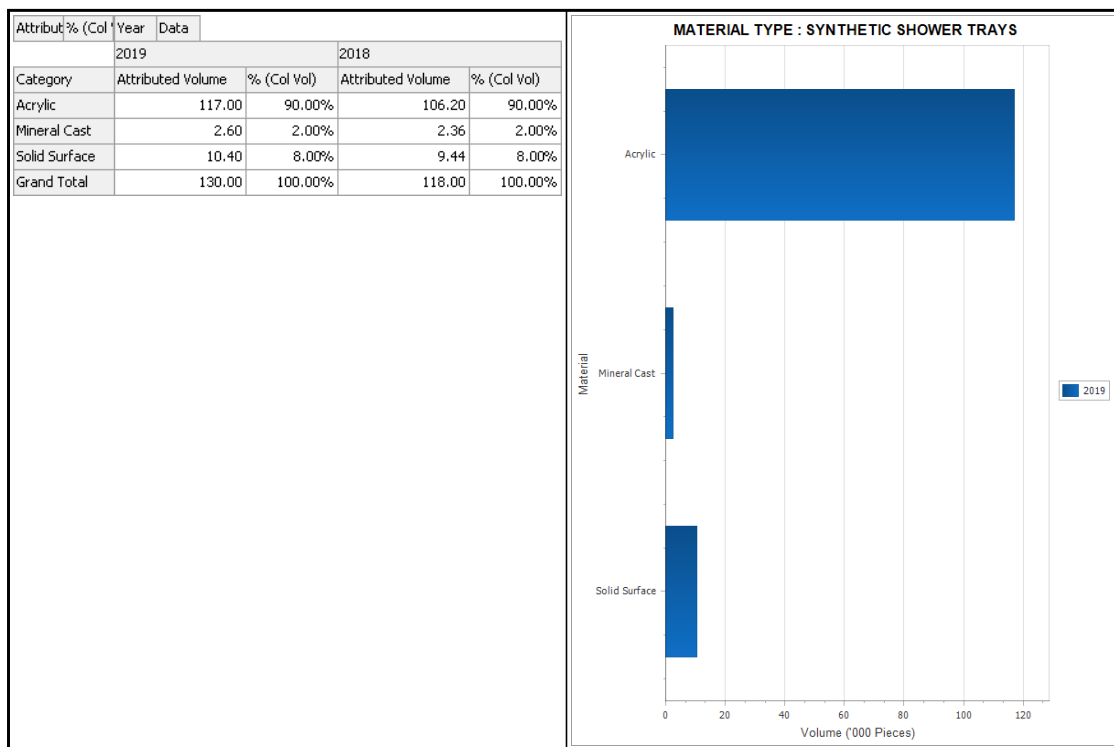
1.4.5 Sales by Material : Synthetic Baths

EG - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



1.4.6 Sales by Material : Synthetic Shower Trays

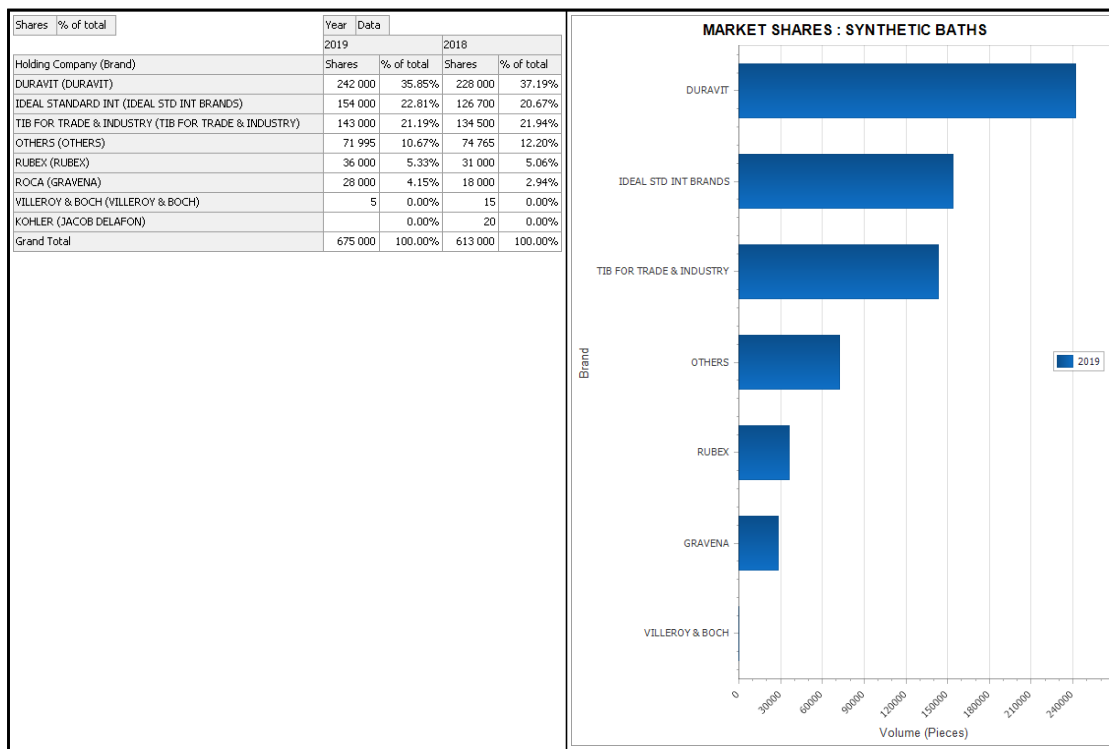
EG - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Synthetic Baths

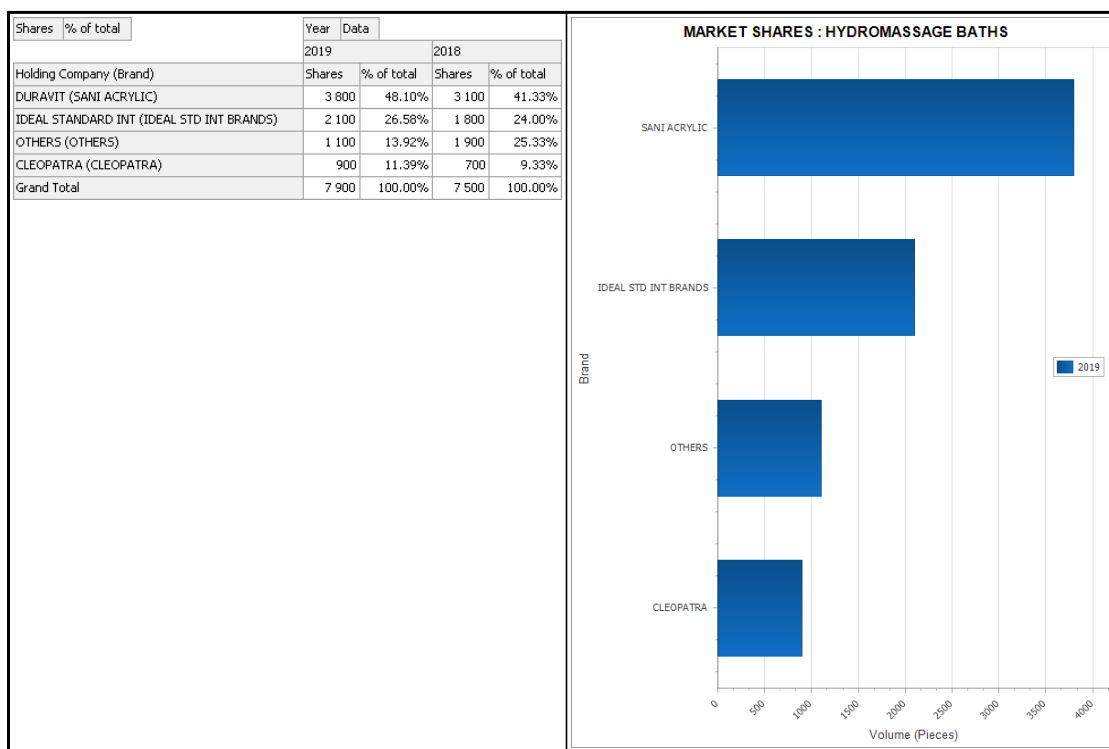
EG - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Hydromassage Baths

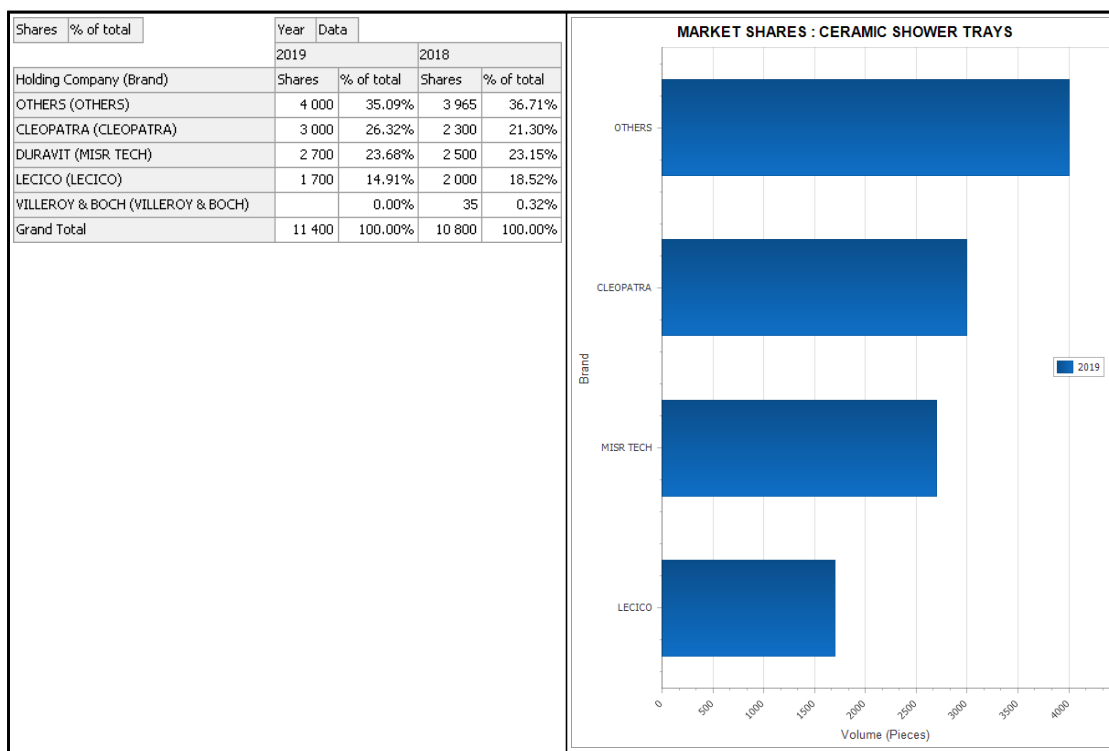
EG - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Ceramic Shower Trays

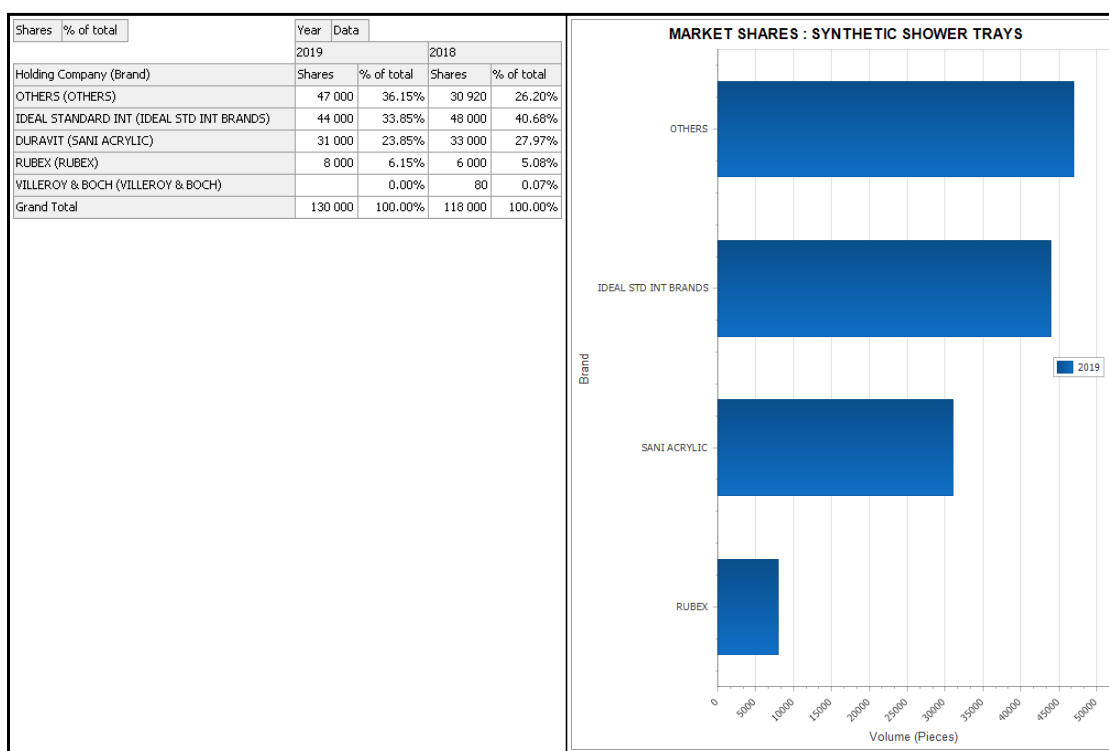
EG - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.4 Market Shares : Synthetic Shower Trays

EG - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1

Route to Market: Baths
EG - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	50.4%
	Wholesalers / Merchants
	50.4%

Retail Level	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 25.2%	Wholesaler 26.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		51.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	9.0%	0.0%	0.0%	19.2%
Installers				
28.2%				

End Use Level	Manufacturer 19.6%	Wholesaler 15.4%	Internet 0.0%	DIY 0.0%	Specialist 30.0%	Installer 27.1%	Manufacturer 4.8%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 2.0%	Installer 1.1%
	Residential						Non-Residential					
	92.2%						7.8%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	46.1%			46.0%			4.0%			3.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	20.0%		26.1%	15.0%		31.0%	2.0%		2.0%	1.7%		2.1%

1.6.2

Route to Market: Baths
EG - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	49.0%
	Wholesalers / Merchants
	49.0%

Retail Level	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 26.0%	Wholesaler 23.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		49.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.0%	8.0%	0.0%	0.0%	17.0%
Installers				
27.0%				

End Use Level	Manufacturer 18.0%	Wholesaler 18.0%	Internet 0.0%	DIY 0.0%	Specialist 30.0%	Installer 26.0%	Manufacturer 5.0%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 2.0%	Installer 1.0%
	Residential						Non-Residential					
	92.0%						8.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	43.4%			48.6%			4.0%			4.0%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	21.0%		22.4%	19.0%		29.6%	2.0%		2.0%	2.0%		2.0%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

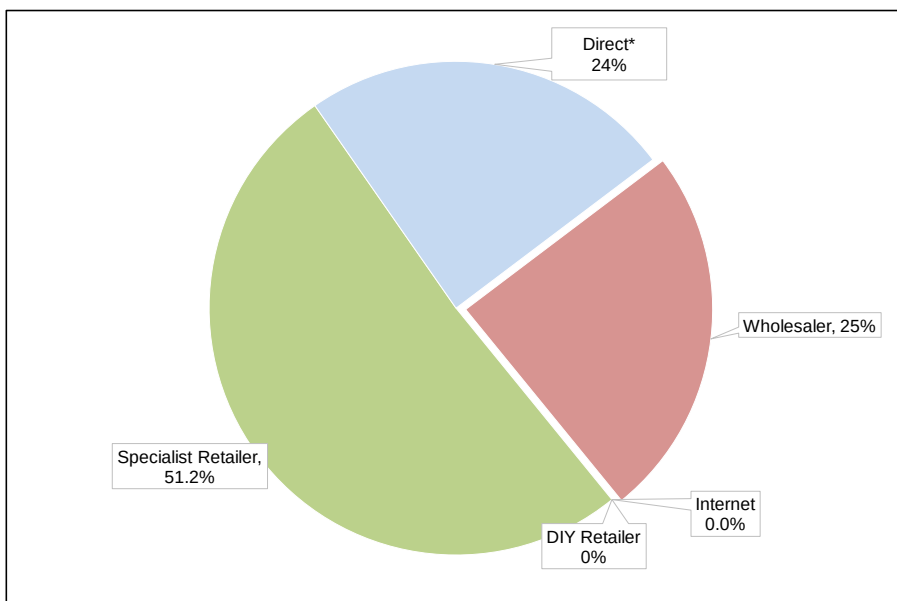
1.6.3 Route to Market - Consolidated View : Baths
EG - ESTIMATED DISTRIBUTION FOR BATHS : 2019

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
24.4%	0.0%	0.0%	51.2%	24.4%	35.0%	3.7%	57.2%	4.1%
100%					38.7%		61.3%	

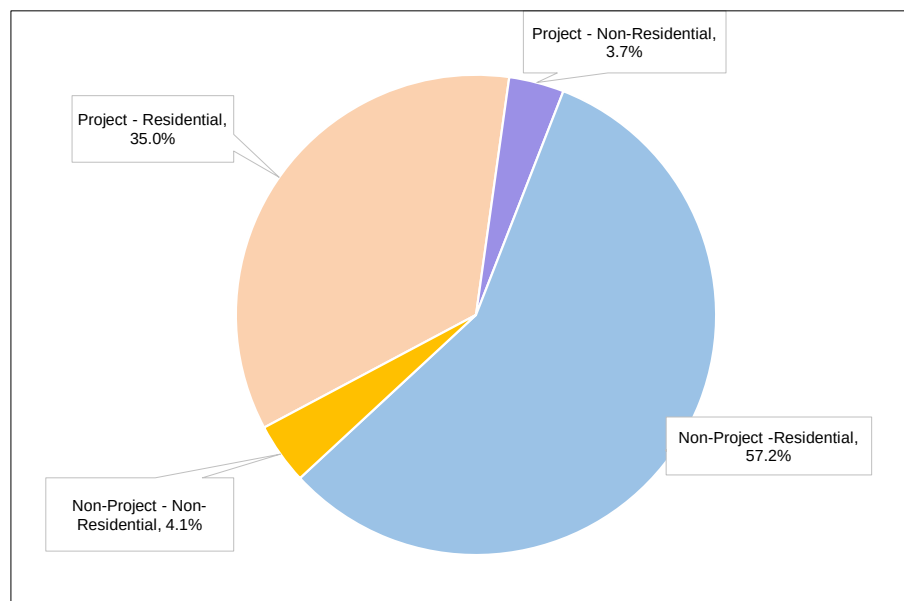
1.6.4 Route to Market - Consolidated View : Baths
EG - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
36.0%	0.0%	0.0%	39.0%	25.0%	40.0%	4.0%	52.0%	4.0%
100%					44.0%		56.0%	

EG - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



EG - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.6.5 Route to Market: Shower Trays
EG - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	54.2%
	Wholesalers / Merchants
	54.2%

Retail Level	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 22.3%	Wholesaler 30.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		52.3%	

Manufacturer 0.0%	Wholesaler 12.0%	Internet 0.0%	DIY 0.0%	Specialist 12.3%
Installers				
24.3%				

End Use Level	Manufacturer 19.8%	Wholesaler 12.2%	Internet 0.0%	DIY 0.0%	Specialist 36.0%	Installer 16.5%	Manufacturer 3.7%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 4.0%	Installer 7.8%
	Residential						Non-Residential					
	84.5%						15.5%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	51.8%			32.7%			9.0%			6.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	23.0%		28.8%	11.0%		21.7%	7.5%		1.5%	0.4%		6.1%

1.6.6 Route to Market: Shower Trays
EG - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	60.0%
	Wholesalers / Merchants
	60.0%

Retail Level	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 23.5%	Wholesaler 30.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		53.5%	

Manufacturer 2.0%	Wholesaler 11.0%	Internet 0.0%	DIY 0.0%	Specialist 12.5%
Installers				
25.5%				

End Use Level	Manufacturer 11.5%	Wholesaler 19.0%	Internet 0.0%	DIY 0.0%	Specialist 36.0%	Installer 16.1%	Manufacturer 3.0%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 5.0%	Installer 9.4%
	Residential						Non-Residential					
	82.6%						17.4%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	47.9%			34.7%			10.0%			7.4%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	29.0%		18.9%	11.0%		23.7%	9.0%		1.0%	1.0%		6.4%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.6.7 Route to Market - Consolidated View : Shower Trays

EG - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

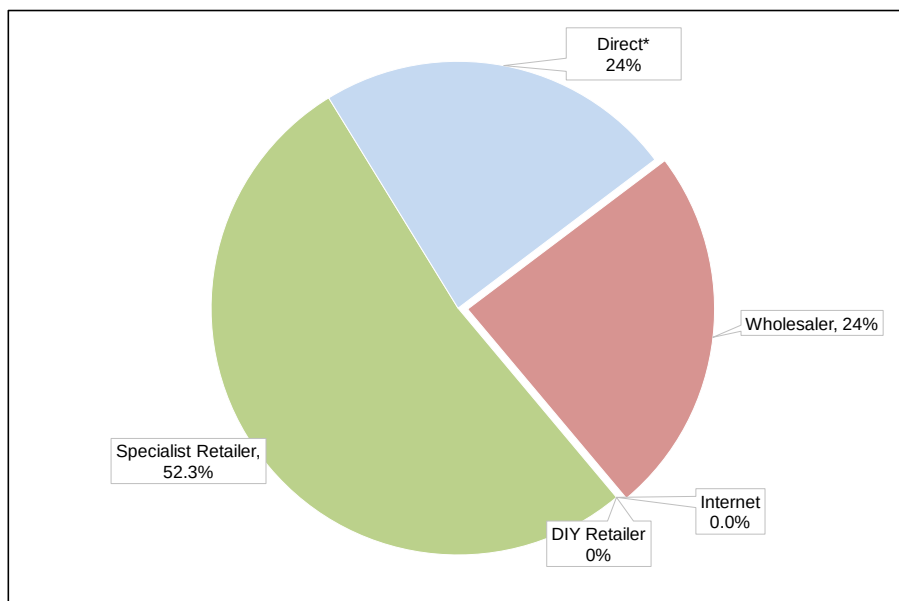
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
24.2%	0.0%	0.0%	52.3%	23.5%	34.0%	7.9%	50.5%	7.6%
100%					41.9%		58.1%	

1.6.8 Route to Market - Consolidated View : Shower Trays

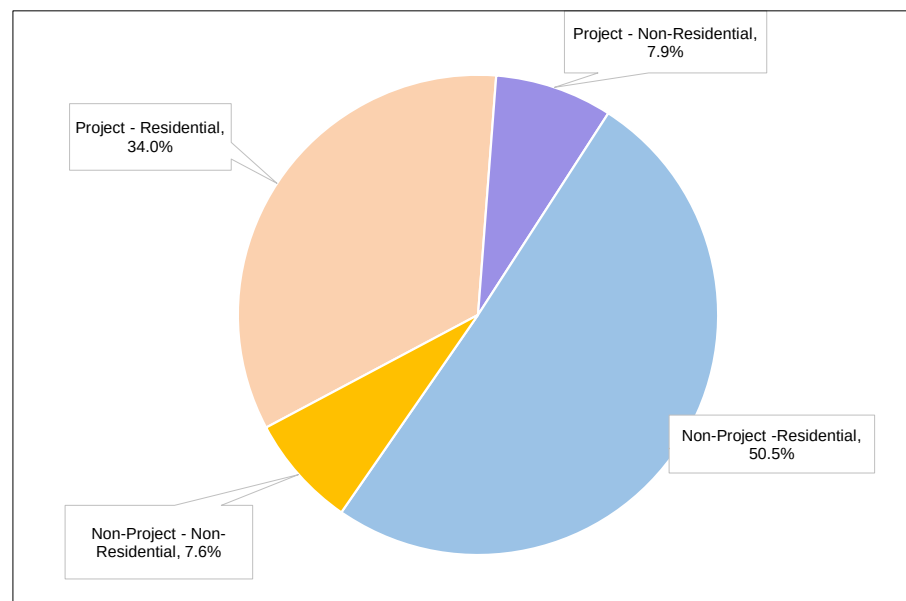
EG - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
30.0%	0.0%	0.0%	53.5%	16.5%	40.0%	10.0%	42.6%	7.4%
100%					50.0%		50.0%	

EG - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



EG - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



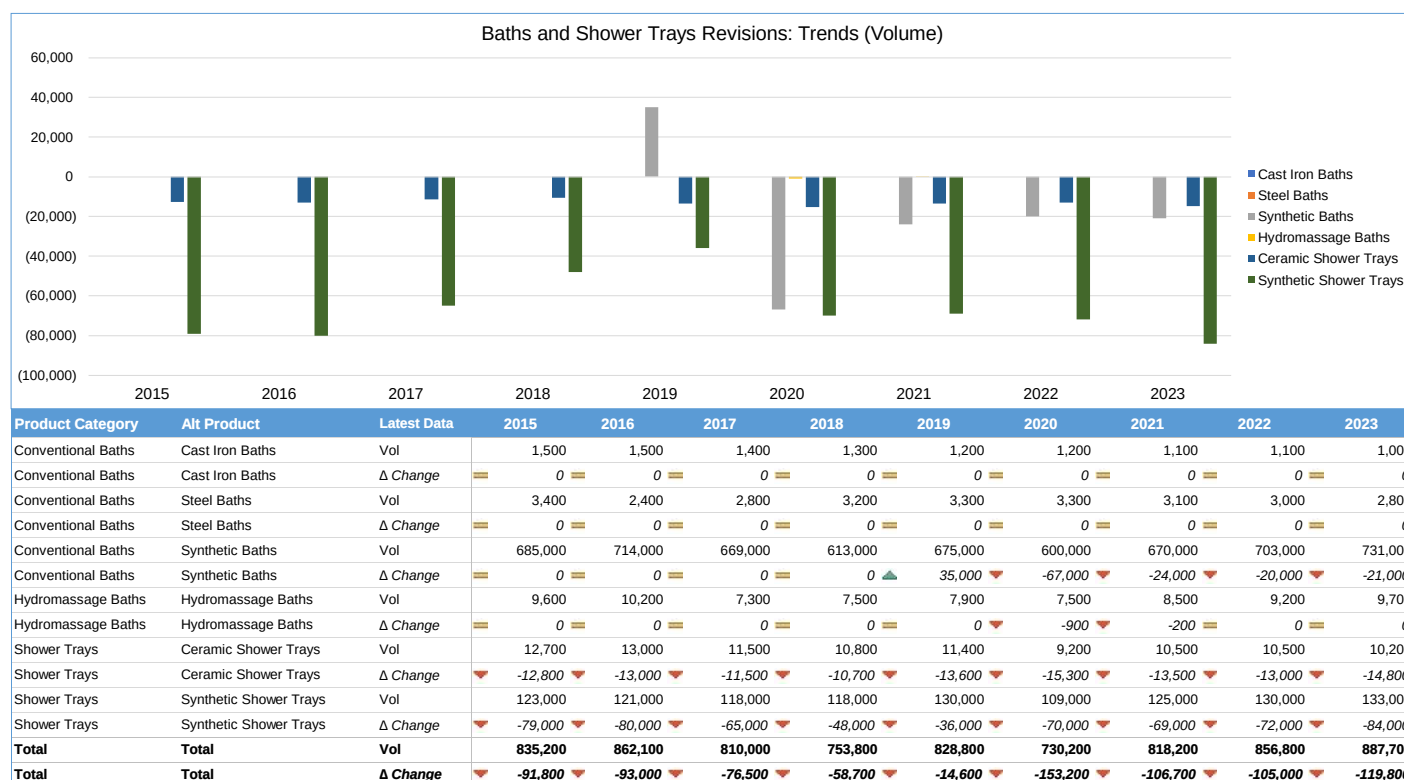
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7 Revisions in the Egyptian Baths and Shower Trays Market (April 2020)

EG - REVISIONS IN THE EGYPTIAN BATHS AND SHOWER TRAYS MARKET

Data Comparison: April 2019



Sales of baths were revised upward in 2019. This revision was based on a change regarding the type of dwellings that were built during that year, as some were equipped with a bath while other dwellings remained unfinished (as per the government programme to build social houses).

The MSP for hydromassage baths was revised downward from 2013 to 2018, except for the year 2015, and downward for 2012. These changes affecting the market value, was due to the fluctuation in price segmentation, with the rise of Chinese products as well as regional manufacturers. The supply structure for hydromassage baths remains unstable throughout these years, affecting the buying price and consequently, the MSP.

The historical and forecasting series for shower trays were revised downward, following a new estimate regarding the penetration of walk-in showers in Egypt, higher than previously thought.

The MSP for ceramic shower trays was revised downward from 2012 to 2018. This was due to a higher share of low-end range ceramic shower trays compared to what was previously thought. This demand of low-end range products results of the major economic crisis that affected the country during these years were higher than expected. This led to an overall MSP lower than previously thought.

EGYPT

SANITARY WARE

THE AFRICAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Sales of sanitary ware in Egypt are largely driven by the construction industry, itself boosted by the huge demand for social housing that has been seen in recent years. However, most of the volume sales are still captured by the housing RMI segment, as the country still has many old dwellings, mostly located in greater Cairo and along the Nile valley.

The sanitary ware market has grown continuously over the last five years. The 2007/2008 financial crisis did not prove to have a significant impact on the sanitary ware market in Egypt as domestic demand, fuelled by a huge shortage in housing, remained resilient. Although domestic manufacturers' exports, especially to the European market, declined in the aftermath of the 2007/2008 crisis, many local manufacturers have been able to offset somewhat their export losses – thanks to the ongoing increase of domestic demand. In Egypt, most WC sales have historically been floor standing and recent years have seen little change in demand, with demand for wall hung models increasing only slowly over the years as consumers have largely remained price-driven. This also explains why volume sales of concealed plastic cisterns have remained somewhat limited in Egypt. Most floor standing WCs are equipped with ceramic cisterns, even though there has been a growing demand for exposed plastic cisterns. The WC market is also characterised in recent times by a reduction in the demand for squat toilets. Due to the importance of ceramic cisterns in Egypt, it is not surprising to see such large volume sales (in proportion to the total volume sales of ceramic sanitary ware products).

Despite the size of the country, the whole surface area of urban centres is no bigger than the emirate of Abu Dhabi itself. Over-population in cities – especially Cairo – along with a heavy bureaucracy, has led many Egyptians to build houses under illegal circumstances.

Egypt has a strong presence of domestic manufacturers (e.g. LECICO, CLEOPATRA, ARACEMCO, etc.) that can supply affordable products to a predominantly poor population, and this also explains why most sales have historically been captured by the low-price segment.

Historically, the strength of the tourism industry led to a high share of sanitary ware sales to the non-housing segment, where products installed used generally to be of higher quality as opposed to those installed in the housing RMI market. This has changed over the years as the residential sector, both new and those under renovation, has developed.

In terms of product mix, certain changes have been noticeable in Egypt over the years. Demand for bidets has visibly decreased, these being replaced by the *shattaf* (a hand spray installed with virtually all WCs). The growing popularity of this spray has come from its cost and space-saving properties. Demand for half-

pedestals, against pedestals, has increased slowly over the years, along with increased demand for countertop washbasin models. Finally, demand for concealed plastic cisterns has grown slowly, in line with wall hung WCs and mostly within the non-housing segment.

The Arab Spring of 2011 has had a surprisingly positive effect on the sanitary ware market, as the population, but also some manufacturers, were largely thrilled by this long-awaited new era in the history of Egypt. This extreme optimism led to high consumer confidence, and the market continued to grow for two years. From 2013, the market slowed down due to major political instability. The return of a new form of authoritarianism through the figure of General el-Sisi led the country to more stability, but this transition had a severe economic cost that led the tourism sector, one of the main sources of foreign currencies, to collapse. Multiple devaluation of the Egyptian pound has led the country to experience double-digit inflation since then.

Recent Market Trends

In 2019, sales of sanitary ware products increased, thanks to the good performance of the construction sector, especially in the residential market, with a huge housing completion registered for that year.

During that year, measures of austerity were softened, and interest rates were reduced, leading to more money being available for sanitary market players (with better access to credit). However, the economic situation is still difficult despite this improvement.

As seen in previous years, prices again soared but this time, the price increase dropped to a (albeit high) single-digit inflation.

Some companies reduced their margin, which softened the price increase. However, some manufacturers, such as LECICO, reduced their production due to a weak foreign demand for their products, which led to diseconomies of scale and consequently, to a higher production cost, which affected their sales price in the domestic market.

Prices and Market Values

The MSP for sanitary ware products in Egypt remained very low in 2019, when expressed in Euros.

The price increase registered this year, an effect of the inflation rate, was partially contained by the fluctuation within the product ranges, with a higher share of low-end range products and a lower share of medium-end range products. Also, the fluctuation in the exchange rate has boosted the imports of upper and luxury products, as they were cheaper in 2019 (in local currency).

Sanitary ware products have no substitute and all bathrooms will be ultimately equipped with sanitary ware products. From year to year, the reduction of income or higher income impact less the volume of the demand, than the split by end-ranges.

The share of high-end remained stable due to the inelasticity of this type of product but also due to the foreign exchange rate in favour of Egypt, as high-end products are imported.

As importing became cheaper in 2019, it contributed to the containment of the MSP.

The market value for sanitary ware expanded at a lower growth rate than the market volume. The expanding dwelling park, the extension of the sanitation network in rural areas and the very low quality of sanitary products that led to a high replacement rate, contribute to boosting the market value, through volume rather than through the MSP, when expressed in Euros.

Most WC's sold in Egypt in 2019 were the close-coupled model, following by floor standing. The latter are often installed with a concealed plastic cistern.

New Housing

Sales of sanitary ware products increased in 2019, thanks to intense construction activities in the residential sector.

Some of these new dwellings, part of the social housing programme, were delivered unfinished: not equipped with sanitary ware products, which fall into the responsibility of the new owner. Other social houses were equipped with very low quality of sanitary ware products, which should constitute future sales opportunities for the RMI market.

Egyptians living abroad (based in the Western or Gulf countries) play a significant role in the real estate sector in Egypt as they drive the demand for medium to high-end dwellings (along with local wealthier Egyptians). The devaluation of the Egyptian Pounds and their higher income, compared to Egyptians living in Egypt, gave them opportunities to buy good quality dwellings in their home country.

Some houses that are not equipped with sanitary ware products are bought for investment purposes, to be resold at higher prices later, meaning some new dwellings remained without sanitary ware products during that time.

Housing RMI

Sales of sanitary ware to the RMI segment increased in 2019.

The large volume of social dwellings built in recent years equipped with low quality products constituted sales opportunities that took place in 2019.

Furthermore, the government launched a diverse programme for the refurbishment of dwellings (in their programme to eradicate slums), which includes the replacement of sanitary ware products and, for some, a first time installation, following connection to water network and sanitary improvement.

On the other side, and despite a very decent GDP growth that showed the recovery of the economy, many Egyptian households continued to suffer from a limited purchasing power. Their spending focused mainly on essential products such as food and transport, neglecting, when possible, other expenses such as the replacement of their sanitary ware products.

With a massive social housing development plan from the government, many Egyptians who have a plan to buy a new house preferred to save their money rather than renovating their bathroom.

During that year, Egyptians that used to buy middle-end range products opted for cheaper models, which affected the average MSP as mentioned in the section *Price and Market Values* section.

Non-Housing

In 2019, sales of ceramic sanitary ware products to non-housing continued to increase, thanks to the dynamic hospitality sector.

The refurbishment of hotels, following the return of tourism activities in the country and the construction of new hotels explains this increase.

With increasing construction activities, sales of concealed plastic cisterns experienced a positive development within the non-housing segment.

The non-housing captured, in 2019, a significant share of concealed plastic cisterns.

Supply Structure

Surprisingly, the army in Egypt plays a significant role in importing sanitary ware products, which are believed to be exempt of tax and resold at the market value, cutting off businesses from distributors as well as local manufacturers.

Sales volume declined for LECICO. According to their publication, the company enjoys a very low cost of production, which was around USD13.5 per piece in 2018. This pushed LECICO to be very competitive for importers that are particularly interested in OEM and white labels.

However, in 2019, the exchange rate was not in favour of Egyptian manufacturers when it comes to export. This reduced their competitiveness in the international market. For companies with a significant share of export in their sales revenues,

the lower foreign demand led to a lower production output, which led to diseconomies of scale and consequently, a higher average cost in 2019.

In 2019, local manufacturers continued to play the leading role in the supply of sanitary ware products in Egypt. LECICO, IDEAL STANDARD, ROCA, CLEOPATRA, CERAMICA REMAS and DURAVIT count among the main players in Egypt.

Local manufacturers were hit by sharp increases in energy, which constitute a significant part of the production cost for sanitary ware. Since 2014, the cost of natural gas has increased by over 500% (around 15% of the production cost), while electricity (6% of the production cost) and diesel (for transportation) increased by around 230% and 400%, respectively.

IDEAL STANDARD is also one of the leading suppliers of ceramic sanitary ware products on the Egyptian market. It entered the Egyptian market via a local distributor, approximately 30 years ago. Following this, the company decided to enter the marketplace by itself in 1984, by setting up a factory. Domestic production first occurred in 1985. The company is particularly strong in sales to five-star hotels and prestigious private projects within Egypt.

DURAVIT entered the Egyptian ceramic sanitary ware market in 1999, when the company bought a 51% stake in MISR TECH. DURAVIT and IDEAL STANDARD both share the same sector and compete mainly for large high-end installation projects. DURAVIT is the most innovative manufacturer in Egypt.

REMAS, previously known as ARACEMCO, has a production capacity of around one million pieces per annum. The company has gone through significant organisational restructuring in recent years and has now lost all the former government's shareholding. It supplies sanitary ware at a very low price. Their MSP is surprisingly in proportion to the weight of their products, with a ratio of 1.12 (one kilogramme of ceramic sanitary ware sold at US\$1.12).

GRAVENA has significantly raised its production capacity, from 1.2 million to 2.4 million pieces over the years. ROCA acquired 50% of the company in 2010 and is helping the company to manufacture entire product lines, including plastic components (flushing mechanisms and toilet seats). A large proportion of GRAVENA's production is also exported to Libya, Sudan, the Middle East, and Italy.

PHARAOH (the CERAMICA INNOVA GROUP) is mostly known on the Egyptian market for its production of ceramic tiles, but also produces sanitary ware products.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has

attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

The medium-term outlook is positive for the sanitary ware market in Egypt, with a healthy construction sector and the government focussed on tackling the huge shortage in housing, as well as developing the tourism sector, and the government's goal to eradicate slums. The construction of a new capital city, planned to be larger than Madrid, should contribute to a boost in the new housing segment.

These elements should contribute to a steady growth for the sanitary ware market in Egypt by the end of the forecasting period.

The pandemic of the coronavirus (COVID-19) should reduce sales of sanitary ware products in all segments, for 2020, as construction activities slowed down and the curfew imposed by the government reduced the retail market. By mid-April 2020, it remained difficult to estimate the impact of this pandemic for 2020 and 2021. Globally speaking, Egypt faces several challenges, of which the pauperisation is the main one that affects the sanitary ware market in Egypt. The pandemic constitutes another negative driver among others.

Some manufacturing plants or construction sites with employees affected by the coronavirus COVID-19 have stopped their operations for at least 15 days. For this reason, one of the main LECICO factories shut down one of its main manufacturing plants until further notice. This company has already witnessed a decline in the demand for sanitary ware products. As the Egyptian government introduced new laws against false information, in a way to control what information should be released, it became even more difficult to establish a forecast regarding the impact of the pandemic into the sanitary ware market.

Even though unequally split among the population, Structural Adjustment Plans (SAPs) imposed by the IMF and the World Bank led to a recovery of the economy, and positive CAGR of the GDP is expected by the end of the forecast period, driven by the construction sector, and so the sanitary ware market should be among the markets that may benefit the most from the GDP growth.

The current return of a new form of authoritarianism as a method of governance, along with ongoing and massive poverty, may lead to a dichotomy between an oversupply of residential units and a persistent shortage in housing, as sales of sanitary ware depend not only on the housing supply, but also on the purchasing power of the population to be able to afford these houses.

The end of the demographic transition, along with an advanced level of education, should lead to a further growth of the middle class. With a higher purchasing power, this new generation of Egyptians should contribute significantly to the

sanitary ware market's further growth, particularly for the middle end range products.

The housing shortage continues to be huge in Egypt and seems to be impossible to reduce, considering that demand is increasing faster than the population growth. Social housing constitutes one of the main priorities of the government for the next five years.

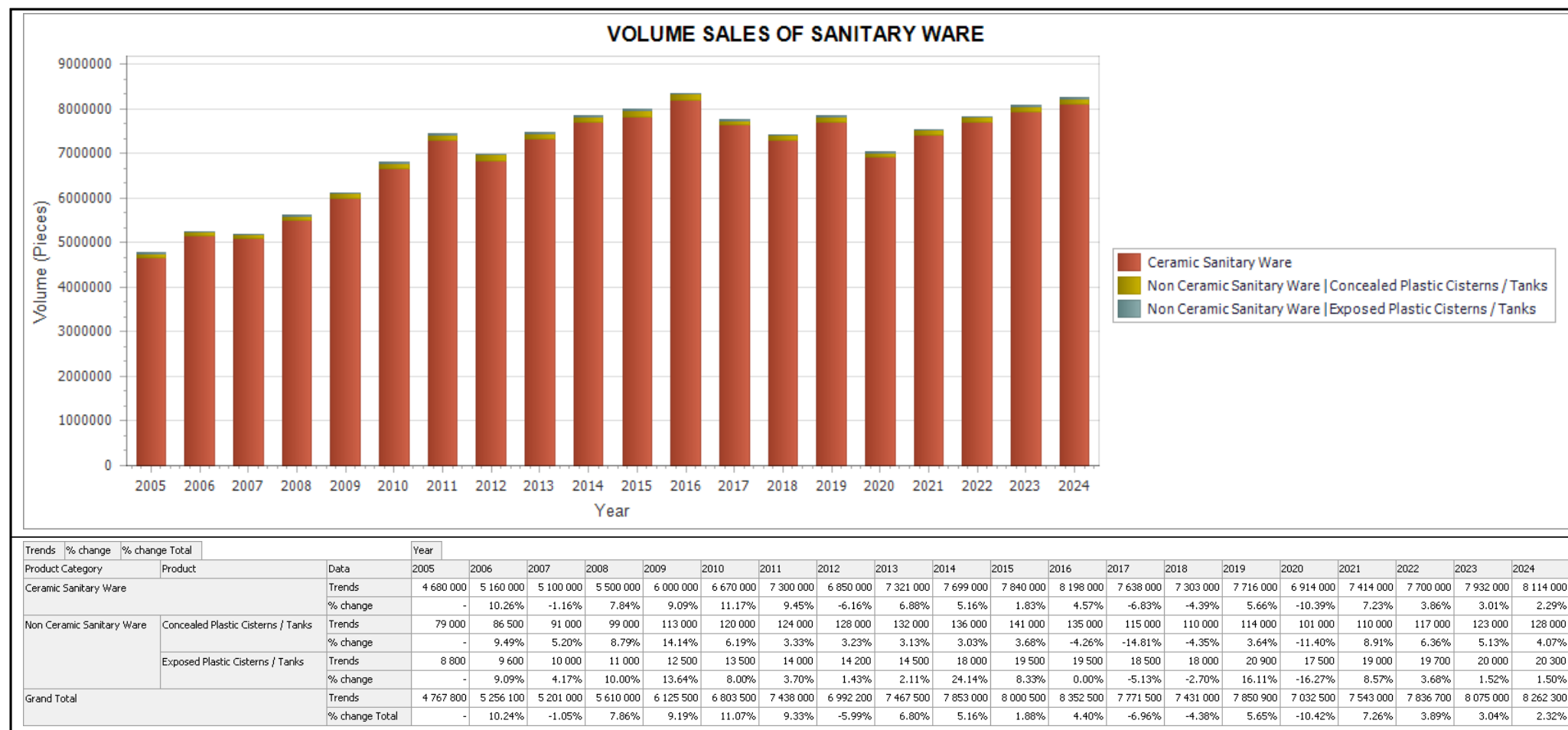
The capacity to sustain a positive environment from the government (security, political, societal, and fiscal) constitutes the main concern for the evolution of the sanitary ware market in the coming years. The replacement segment depends largely on the rise of the middle class and an overall increase of purchasing power of the population.

Also, the non-housing segment is strongly linked to the tourism sector, correlated to the ability of the government to secure the country, which also depends on the overall situation in the Middle East.

While international and regional investors (Gulf countries) have come back to Egypt after years of major political instability and social turmoil, the reasons that led the population to fight for a revolution remain, as the life quality of the population did not improve significantly. Back to instability, the construction of new dwellings and the return to chaos may occur, reducing the sales of sanitary ware products in the country.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

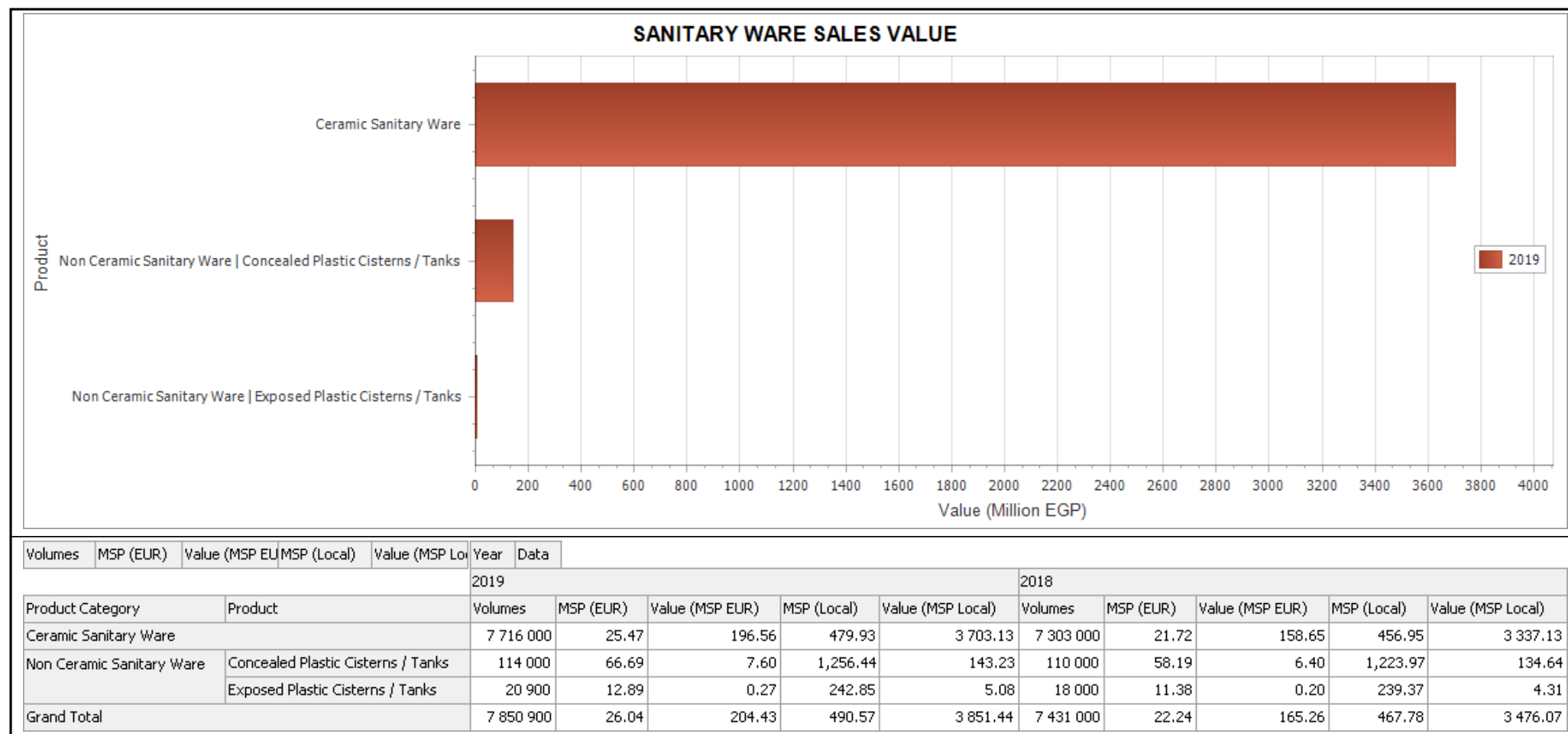
EG - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

2.3.1 Prices and Market Values : Sanitary Ware

EG - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Local Prices in EGP. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

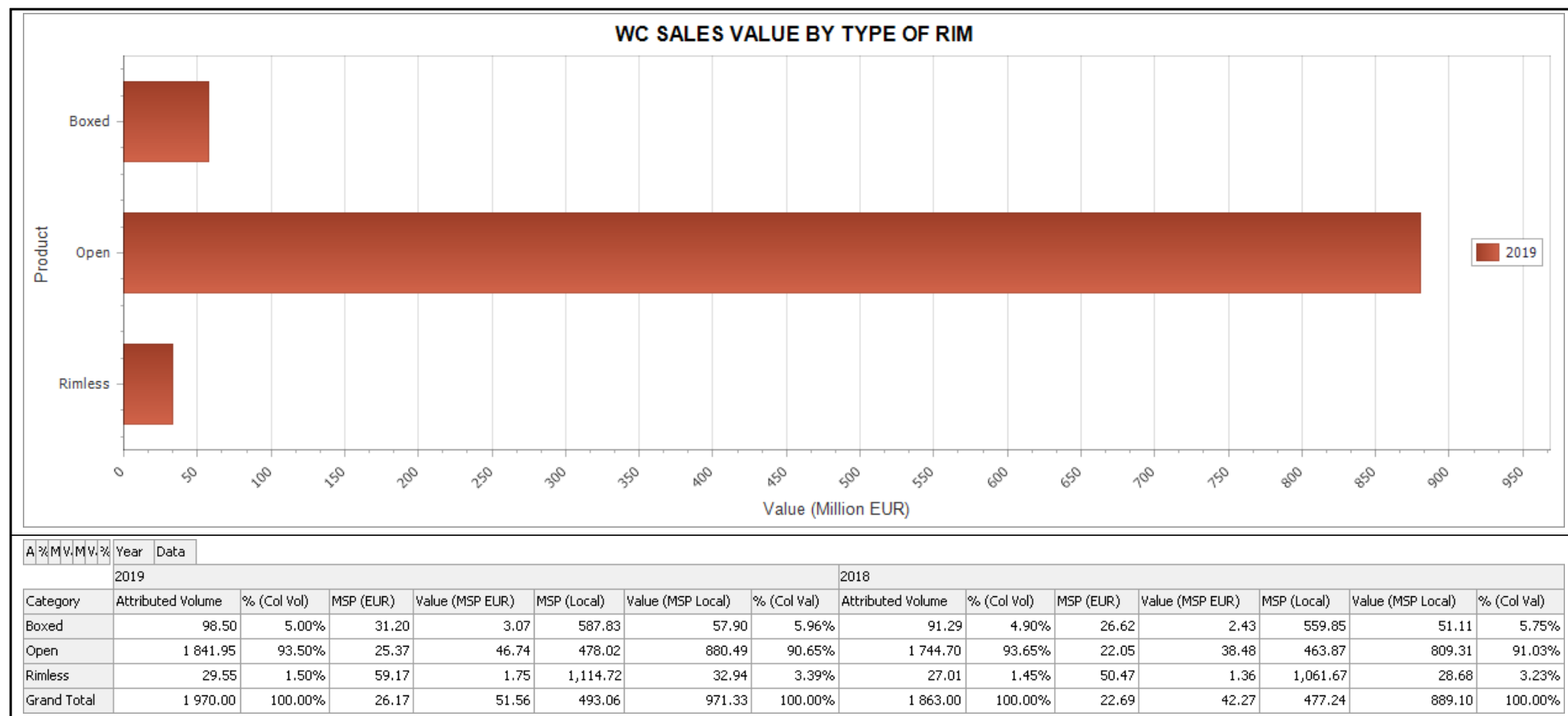
EG - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed	% (Col Vol)	MSP (EUR)	Value (MSP)	MSP (Local)	Value (MSP Local)	% (Col Val)	Year	Data								
2019									2018							
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (EUR)	Value (MSP EUR)	MSP (Local)	Value (MSP Local)	% (Col Val)	Attributed Volume	% (Col Vol)	MSP (EUR)	Value (MSP EUR)	MSP (Local)	Value (MSP Local)	% (Col Val)	
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	222.00	12.00%	31.05	6.89	585.04	129.88	14.25%	208.25	11.90%	26.49	5.52	557.13	116.02	14.13%	
	Hand Washbasins	64.75	3.50%	18.02	1.17	339.56	21.99	2.41%	61.25	3.50%	15.37	0.94	323.39	19.81	2.41%	
	Inset Washbasins	1.85	0.10%	27.61	0.05	520.17	0.96	0.11%	1.75	0.10%	23.48	0.04	493.85	0.86	0.11%	
	Pedestal Washbasins	1 295.00	70.00%	25.39	32.88	478.41	619.55	67.96%	1 228.50	70.20%	21.66	26.61	455.68	559.80	68.18%	
	Semi-Recessed Washbasins	129.50	7.00%	29.03	3.76	546.91	70.82	7.77%	120.75	6.90%	24.82	3.00	522.16	63.05	7.68%	
	Undermount Washbasins	1.85	0.10%	30.29	0.06	570.64	1.06	0.12%	1.75	0.10%	25.78	0.05	542.22	0.95	0.12%	
	Wall Hung Washbasins	135.05	7.30%	26.49	3.58	499.14	67.41	7.39%	127.75	7.30%	22.53	2.88	473.90	60.54	7.37%	
Other CSW	Bidets	155.84	4.00%	26.80	4.18	504.84	78.67	4.32%	147.60	4.00%	22.86	3.37	480.78	70.96	4.32%	
	Close-Coupled Cisterns	2 088.55	53.61%	25.67	53.62	483.70	1 010.23	55.50%	1 970.73	53.41%	21.90	43.16	460.60	907.73	55.30%	
	Others	97.40	2.50%	23.91	2.33	450.44	43.87	2.41%	92.25	2.50%	20.39	1.88	428.97	39.57	2.41%	
	Pedestals & Half Pedestals	1 503.86	38.60%	23.27	34.99	438.37	659.24	36.22%	1 431.72	38.80%	19.85	28.42	417.50	597.75	36.42%	
	Shower Trays	11.40	0.29%	29.48	0.34	555.41	6.33	0.35%	10.80	0.29%	24.88	0.27	523.34	5.65	0.34%	
	Urinals	38.96	1.00%	29.73	1.16	560.17	21.82	1.20%	36.90	1.00%	25.51	0.94	536.61	19.80	1.21%	
WCs / Toilets	Close-Coupled WC Bowls	1 547.44	78.55%	26.33	40.75	496.13	767.73	79.04%	1 469.91	78.90%	22.45	33.00	472.18	694.06	79.35%	
	Floor Standing WC Bowls	250.19	12.70%	27.89	6.98	525.35	131.44	13.53%	234.74	12.60%	23.82	5.59	500.96	117.59	13.44%	
	Squat Pans	88.65	4.50%	15.46	1.37	291.17	25.81	2.66%	83.84	4.50%	13.33	1.12	280.40	23.51	2.69%	
	Wall Hung WC Bowls	83.73	4.25%	29.36	2.46	553.12	46.31	4.77%	74.52	4.00%	25.18	1.88	529.73	39.48	4.51%	
Grand Total		7 716.00	100.00%	25.47	196.56	479.93	3 703.13	100.00%	7 303.01	100.00%	21.72	158.65	456.95	3 337.14	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands, Local Prices in EGP and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

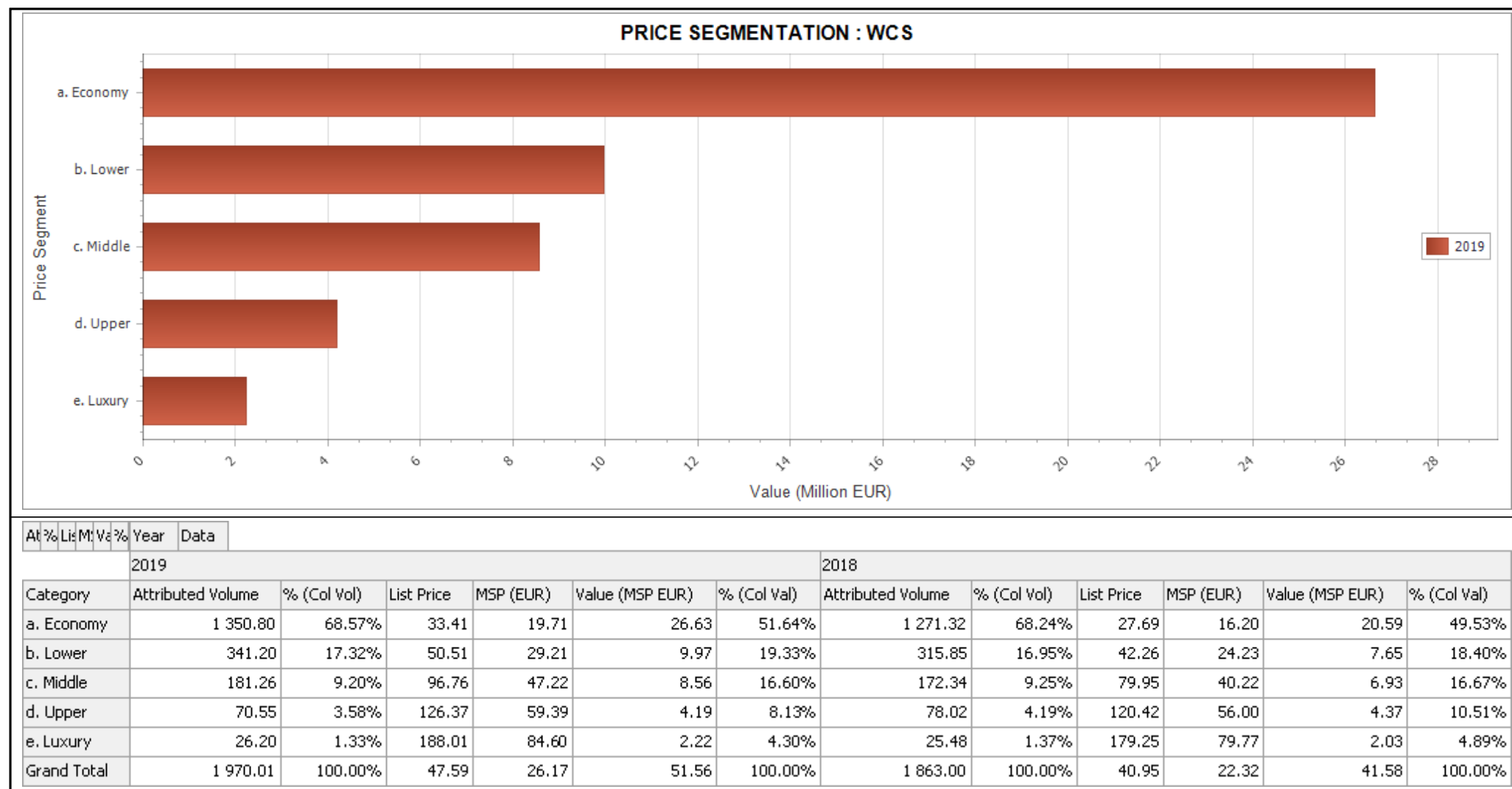
EG - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices in EGP. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Price Segmentation : WCs

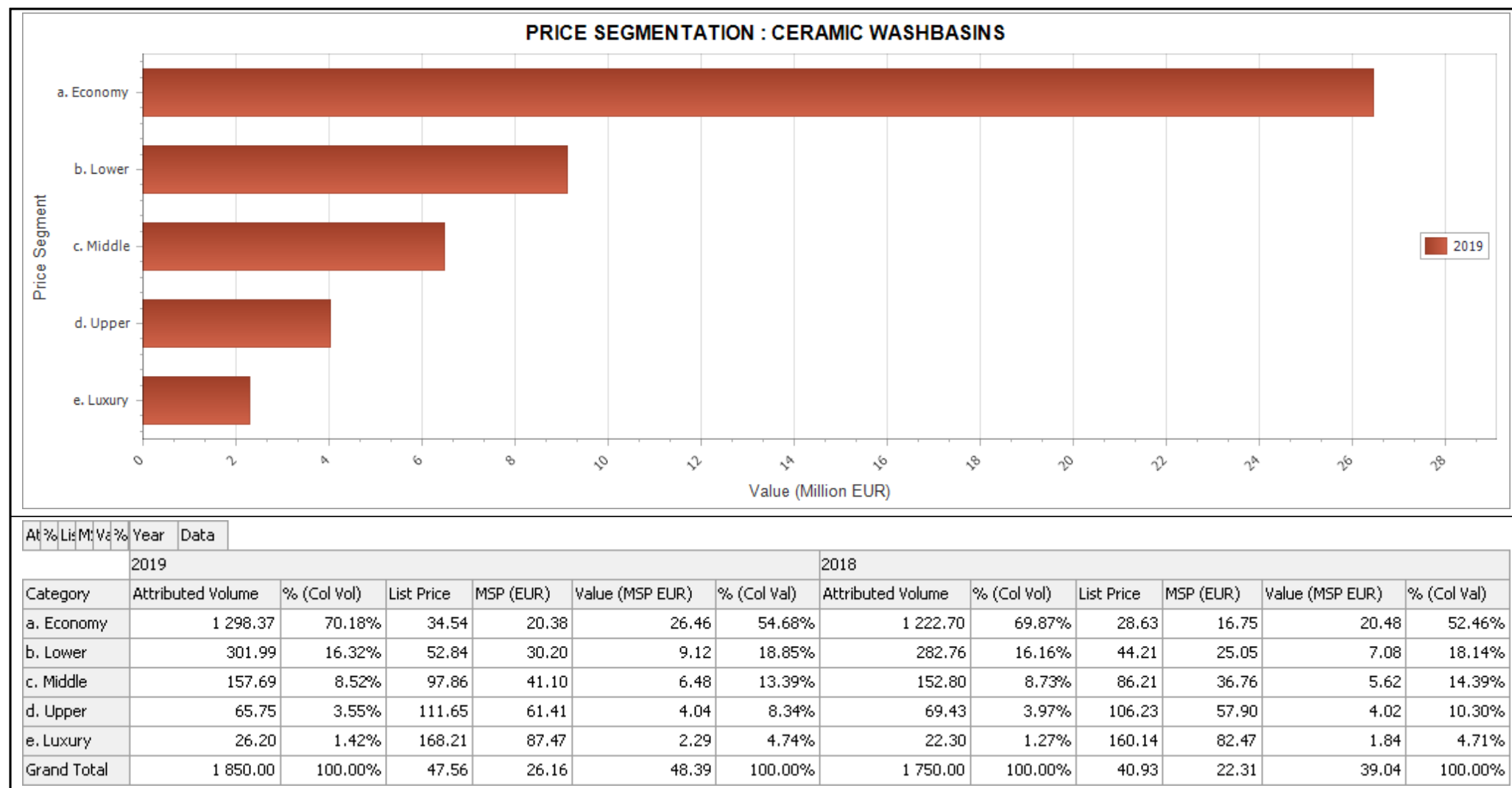
EG - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€75, Luxury >€75

2.3.5 Price Segmentation : Ceramic Washbasins

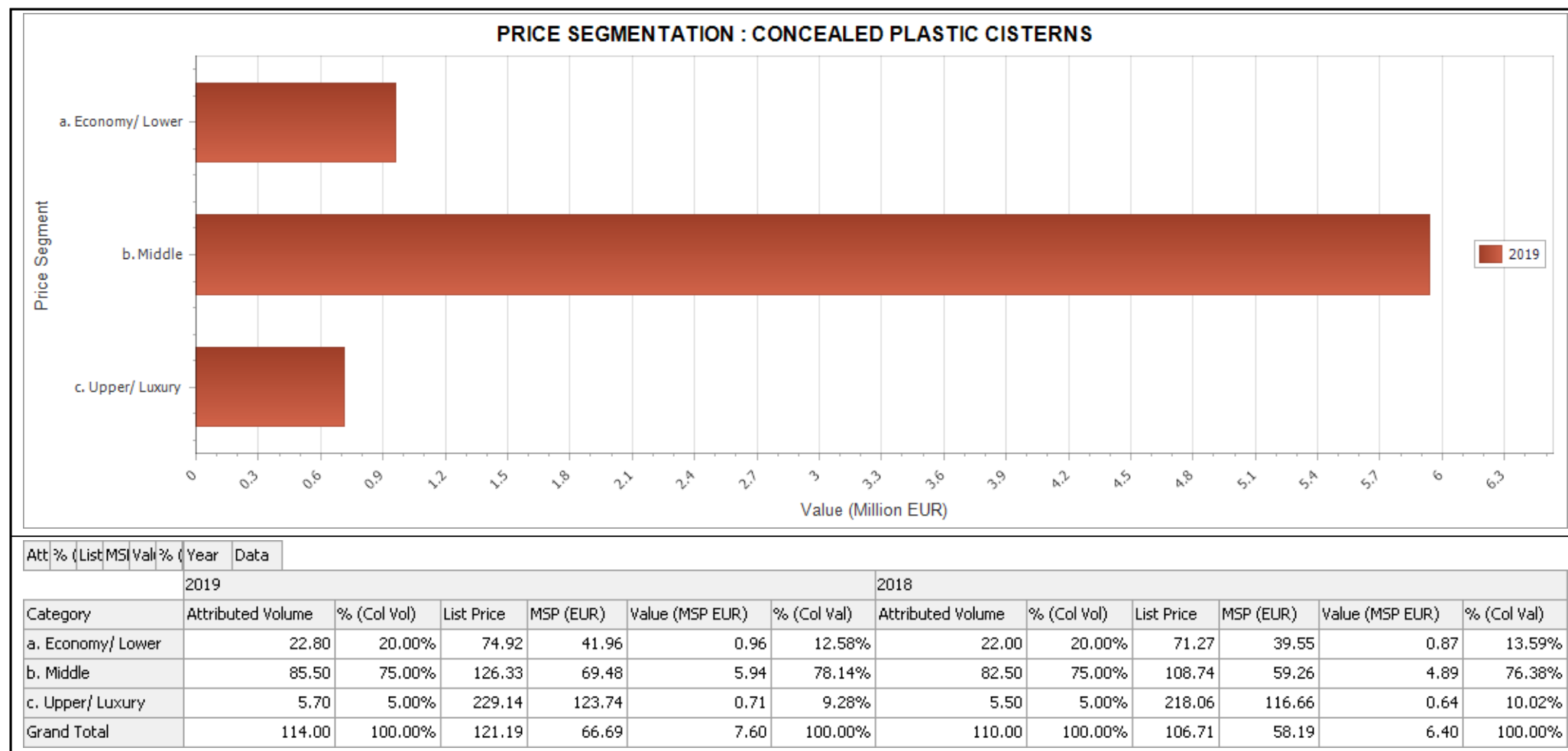
EG - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€25, Lower €25-€35, Middle €35-€50, Upper €50-€80, Luxury >€80

2.3.6 Price Segmentation : Concealed Plastic Cisterns

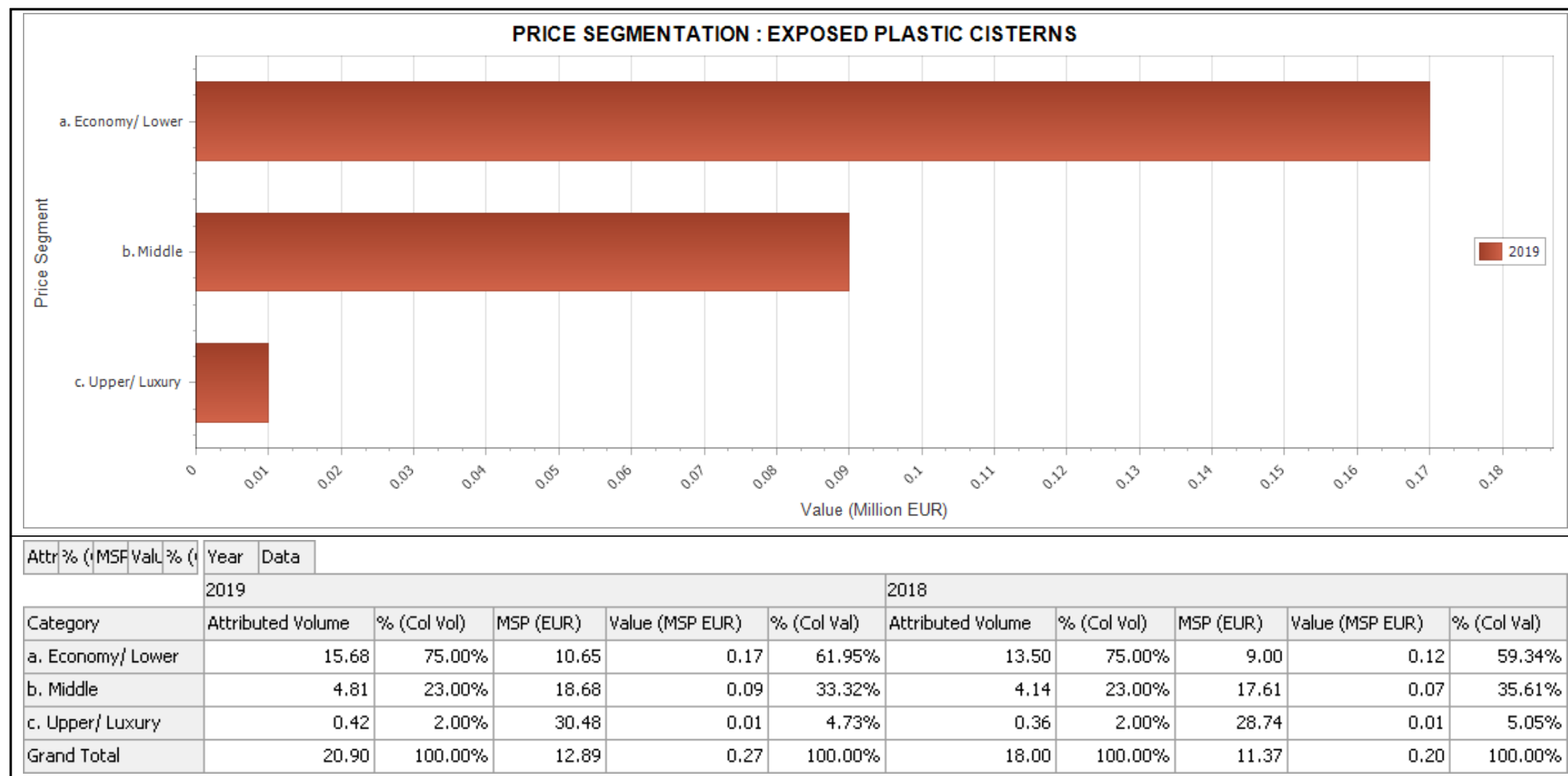
EG - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

2.3.7 Price Segmentation : Exposed Plastic Cisterns

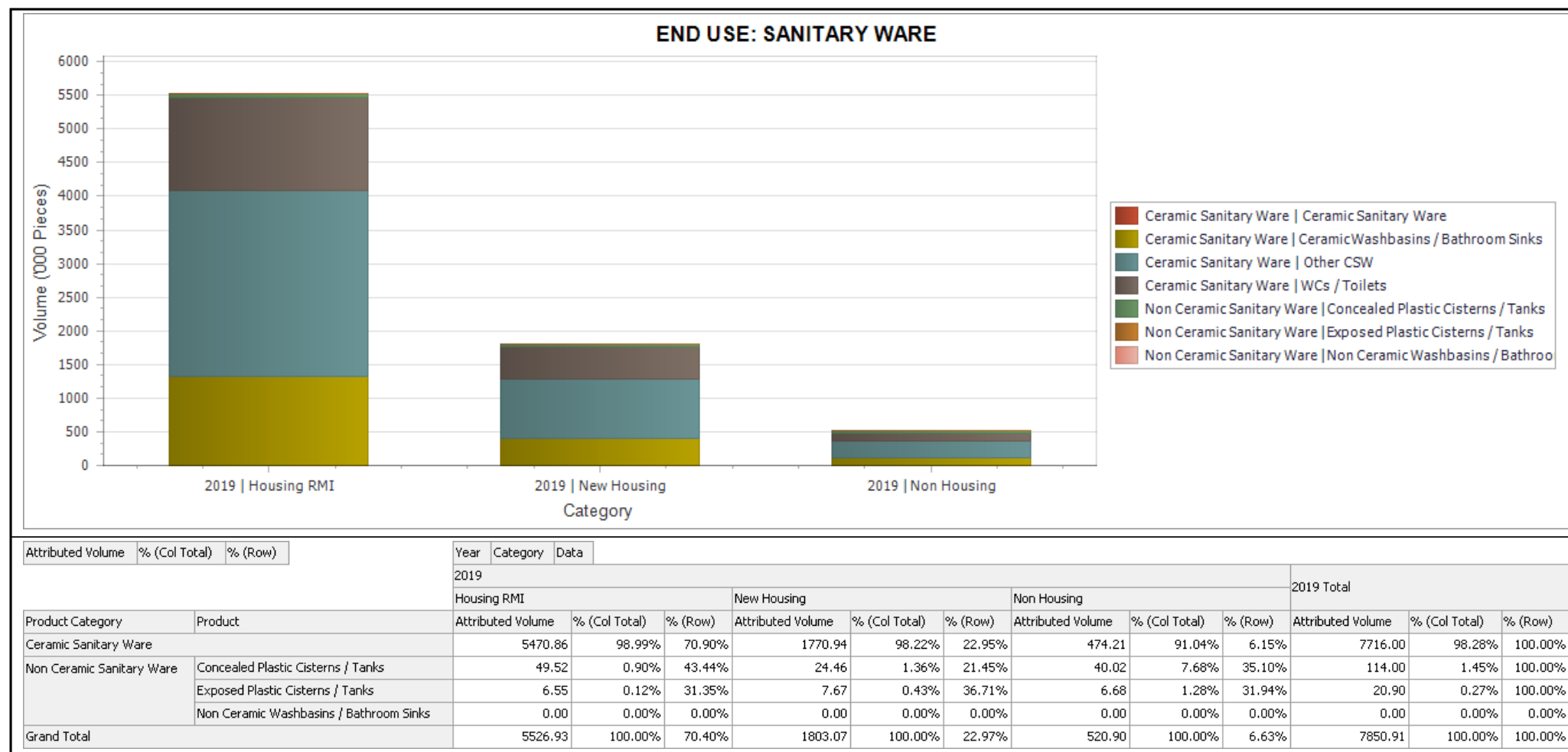
EG - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€15, Middle €15-€25, Upper/ Luxury >€25

2.4.1 End Use : Base Year

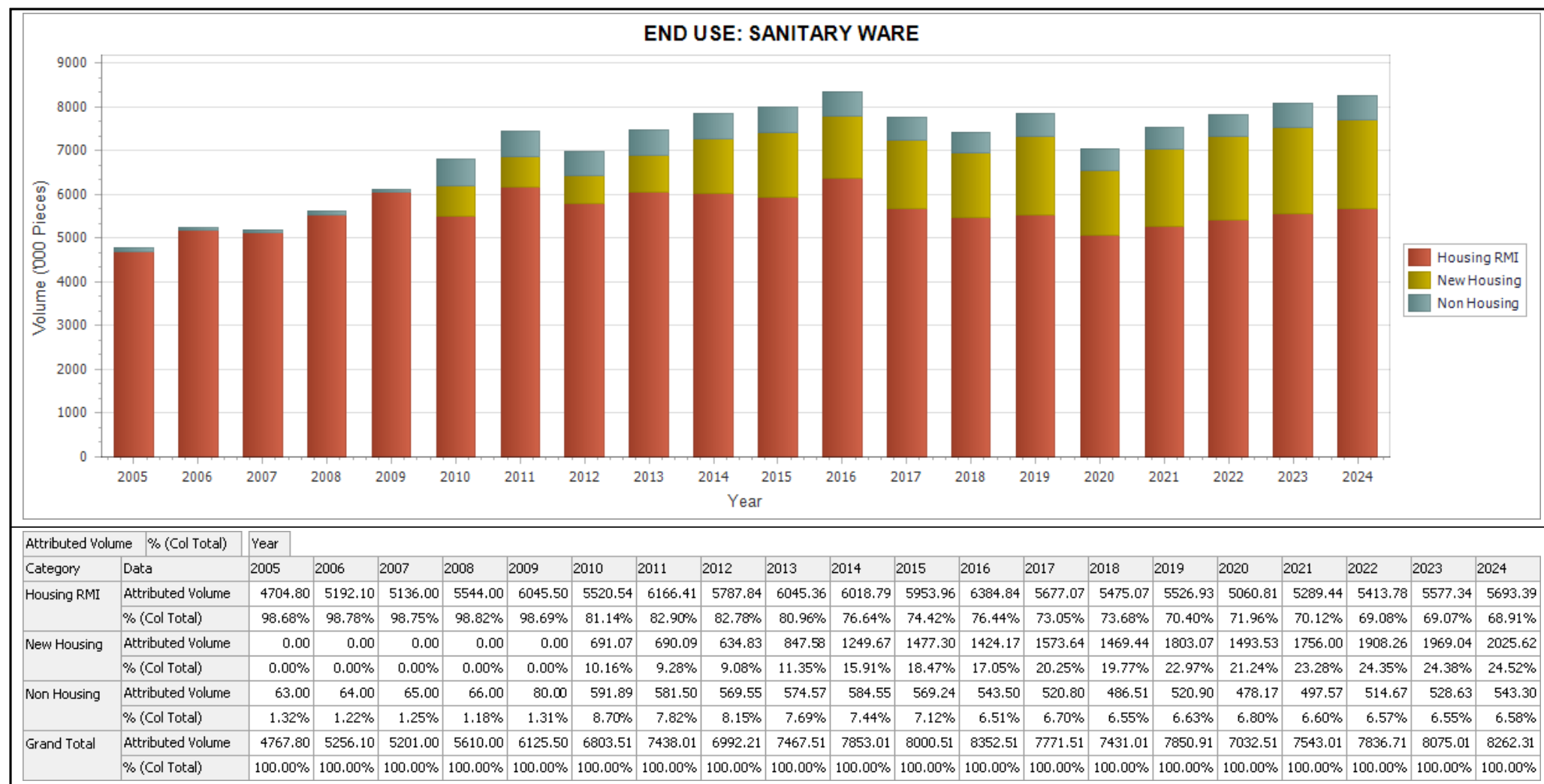
EG - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

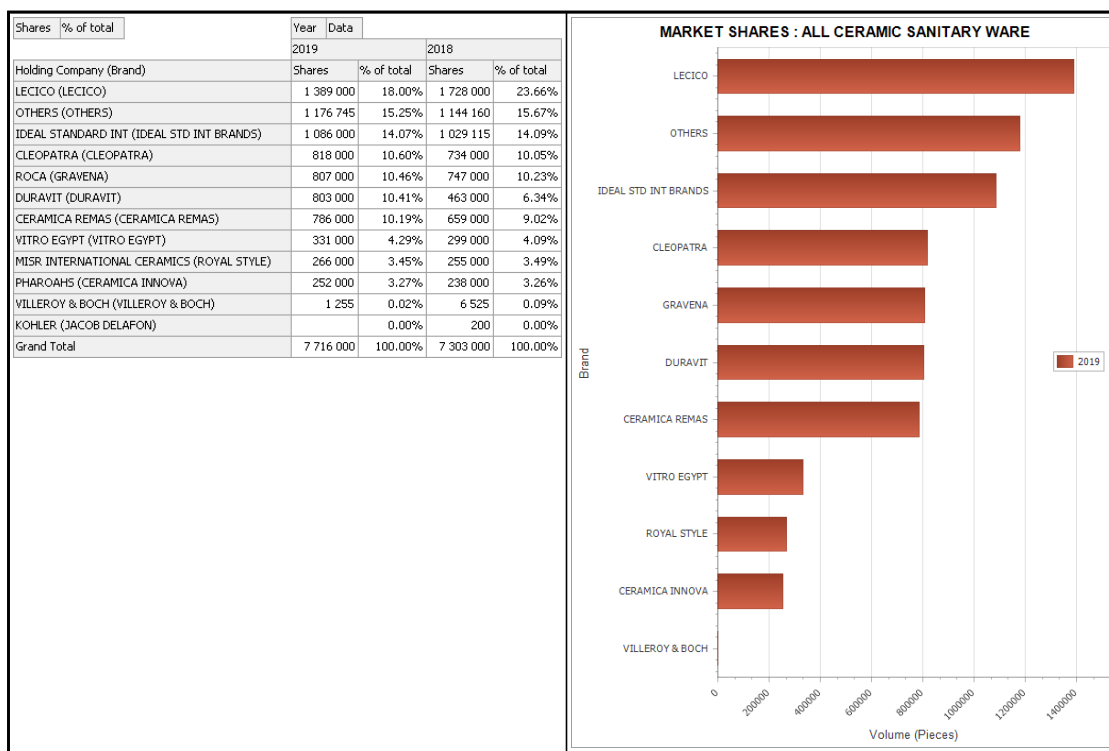
EG - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

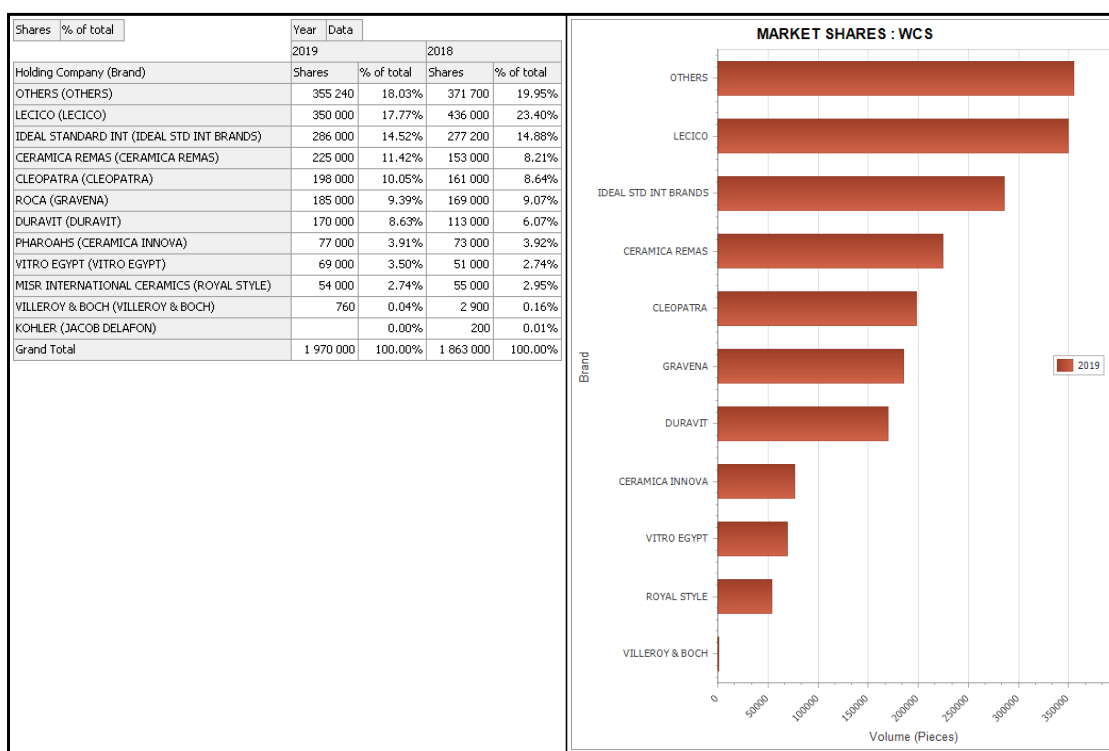
EG - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

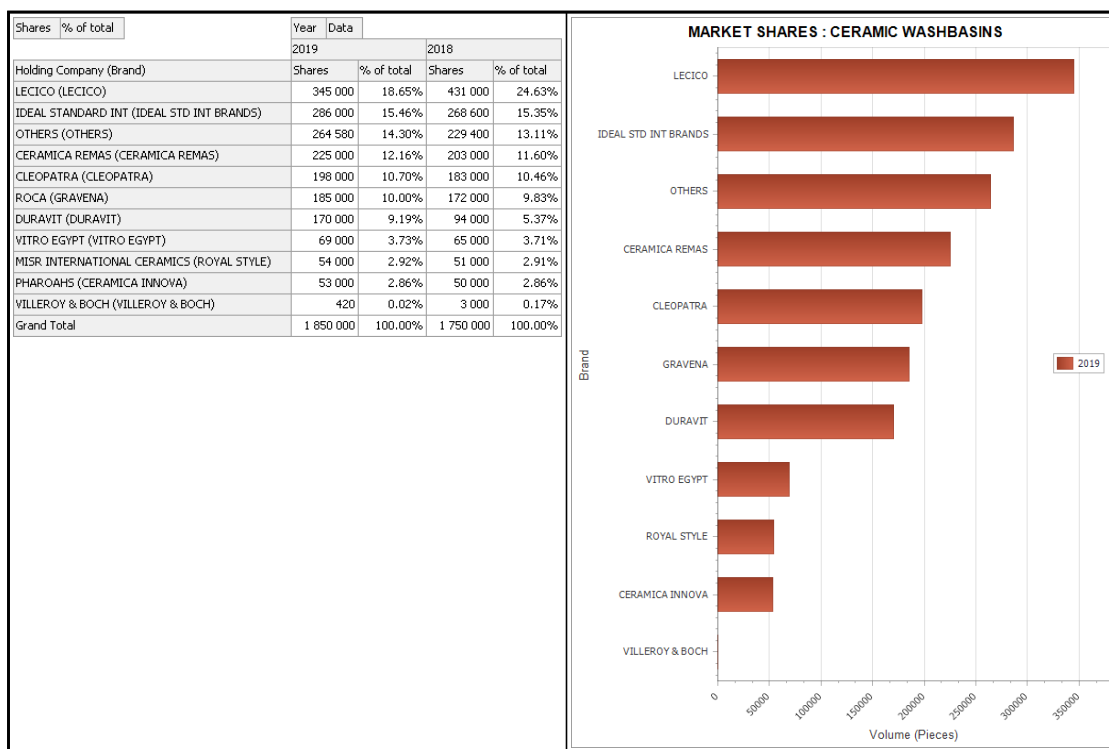
EG - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

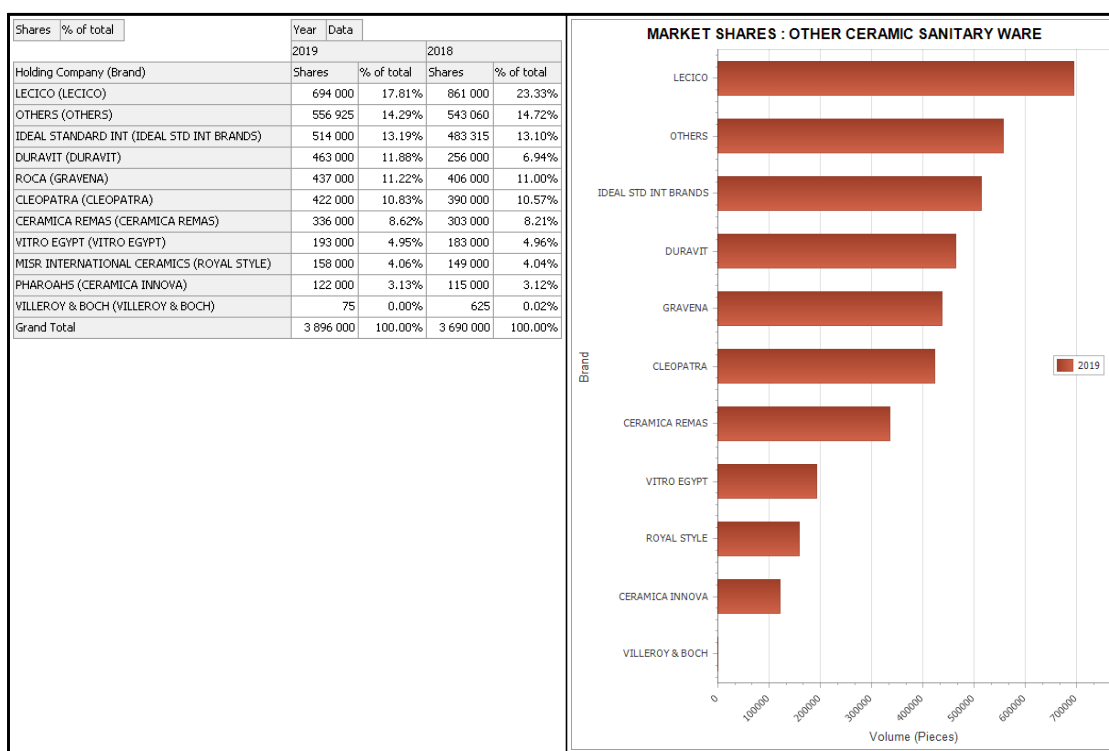
EG - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

EG - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.6.1 Route to Market: Ceramic Sanitary Ware
EG - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	57.1%
	Wholesalers / Merchants
	57.1%

Retail Level	<table> <tr> <td>Manufacturer</td><td>Wholesaler</td></tr> <tr> <td>0.0%</td><td>0.0%</td></tr> <tr> <td colspan="2">Internet Retailers</td></tr> <tr> <td colspan="2">0.0%</td></tr> </table> <table> <tr> <td>Manufacturer</td><td>Wholesaler</td></tr> <tr> <td>0.0%</td><td>0.0%</td></tr> <tr> <td colspan="2">DIY Retailers</td></tr> <tr> <td colspan="2">0.0%</td></tr> </table> <table> <tr> <td>Manufacturer</td><td>Wholesaler</td></tr> <tr> <td>28.1%</td><td>20.0%</td></tr> <tr> <td colspan="2">Specialist Retailers</td></tr> <tr> <td colspan="2">48.1%</td></tr> </table>	Manufacturer	Wholesaler	0.0%	0.0%	Internet Retailers		0.0%		Manufacturer	Wholesaler	0.0%	0.0%	DIY Retailers		0.0%		Manufacturer	Wholesaler	28.1%	20.0%	Specialist Retailers		48.1%	
Manufacturer	Wholesaler																								
0.0%	0.0%																								
Internet Retailers																									
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0.0%																									
Manufacturer	Wholesaler																								
28.1%	20.0%																								
Specialist Retailers																									
48.1%																									

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	17.0%	0.0%	0.0%	8.1%
Installers				
25.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	13.0%	20.1%	0.0%	0.0%	37.0%	23.7%
	Residential					
	93.9%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.4%	0.0%	0.0%	0.0%	3.0%	1.8%
Non-Residential					
6.1%					

New Build		Residential RMI	
23.0%		70.9%	
Project	Non-Project	Project	Non-Project
17.0%	6.0%	10.0%	60.9%

New Build		Non-Residential RMI	
4.0%		2.1%	
Project	Non-Project	Project	Non-Project
3.5%	0.5%	0.2%	1.9%

2.6.2 Route to Market: Ceramic Sanitary Ware
EG - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	57.0%
	Wholesalers / Merchants
	57.0%

Retail Level	<table> <tr> <td>Manufacturer</td><td>Wholesaler</td></tr> <tr> <td>0.0%</td><td>0.0%</td></tr> <tr> <td colspan="2">Internet Retailers</td></tr> <tr> <td colspan="2">0.0%</td></tr> </table> <table> <tr> <td>Manufacturer</td><td>Wholesaler</td></tr> <tr> <td>0.0%</td><td>0.0%</td></tr> <tr> <td colspan="2">DIY Retailers</td></tr> <tr> <td colspan="2">0.0%</td></tr> </table> <table> <tr> <td>Manufacturer</td><td>Wholesaler</td></tr> <tr> <td>27.0%</td><td>20.0%</td></tr> <tr> <td colspan="2">Specialist Retailers</td></tr> <tr> <td colspan="2">47.0%</td></tr> </table>	Manufacturer	Wholesaler	0.0%	0.0%	Internet Retailers		0.0%		Manufacturer	Wholesaler	0.0%	0.0%	DIY Retailers		0.0%		Manufacturer	Wholesaler	27.0%	20.0%	Specialist Retailers		47.0%	
Manufacturer	Wholesaler																								
0.0%	0.0%																								
Internet Retailers																									
0.0%																									
Manufacturer	Wholesaler																								
0.0%	0.0%																								
DIY Retailers																									
0.0%																									
Manufacturer	Wholesaler																								
27.0%	20.0%																								
Specialist Retailers																									
47.0%																									

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	17.0%	0.0%	0.0%	7.0%
Installers				
24.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	14.5%	20.0%	0.0%	0.0%	37.0%	22.4%
	Residential					
	93.9%					
New Build			Residential RMI			
24.5%			69.4%			
Project	Non-Project		Project	Non-Project		
16.0%	8.5%		10.6%	58.8%		

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.6.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

EG - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

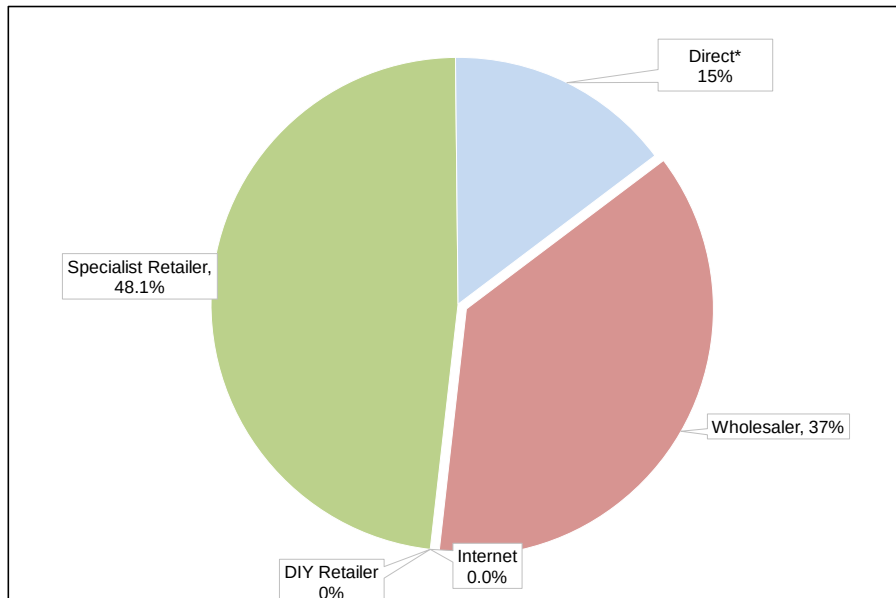
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
37.1%	0.0%	0.0%	48.1%	14.9%	27.0%	3.7%	66.9%	2.4%
100%					30.7%		69.3%	

2.6.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

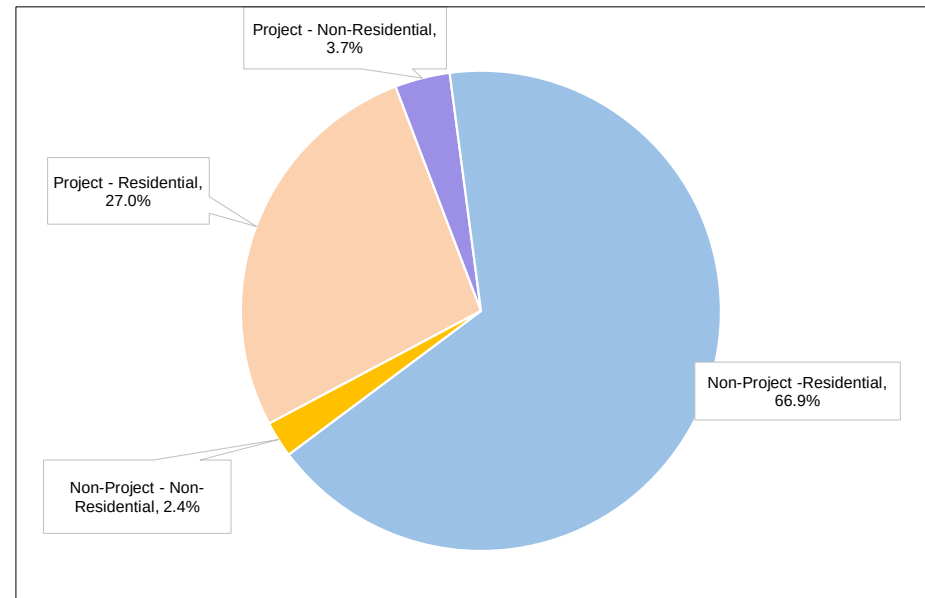
EG - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
37.0%	0.0%	0.0%	47.0%	16.0%	26.6%	3.7%	67.3%	2.4%
100%					30.3%		69.7%	

EG - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



EG - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.6.5

Route to Market: Plastic Cisterns
EG - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	52.0%
	Wholesalers / Merchants
	52.0%

Retail Level	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 25.0%	Wholesaler 21.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		46.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	17.0%	0.0%	0.0%	4.0%
Installers				
21.0%				

End Use Level	Manufacturer 18.0%	Wholesaler 14.0%	Internet 0.0%	DIY 0.0%	Specialist 33.0%	Installer 0.4%	Manufacturer 5.0%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 9.0%	Installer 20.6%
	Residential						Non-Residential					
	65.4%						34.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	23.8%			41.6%			6.0%			28.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	22.0%		1.8%	6.8%		34.8%	4.5%		1.5%	7.1%		21.5%

2.6.6

Route to Market: Plastic Cisterns
EG - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	66.0%
	Wholesalers / Merchants
	66.0%

Retail Level	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 26.0%	Wholesaler 20.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		46.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	17.0%	0.0%	0.0%	5.0%
Installers				
22.0%				

End Use Level	Manufacturer 3.0%	Wholesaler 29.0%	Internet 0.0%	DIY 0.0%	Specialist 33.0%	Installer 0.1%	Manufacturer 5.0%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 8.0%	Installer 21.9%
	Residential						Non-Residential					
	65.1%						34.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	23.4%			41.7%			5.0%			29.9%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	19.0%		4.4%	7.0%		34.7%	4.5%		0.5%	8.0%		21.9%

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.6.7 Route to Market - Consolidated View : Plastic Cisterns

EG - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

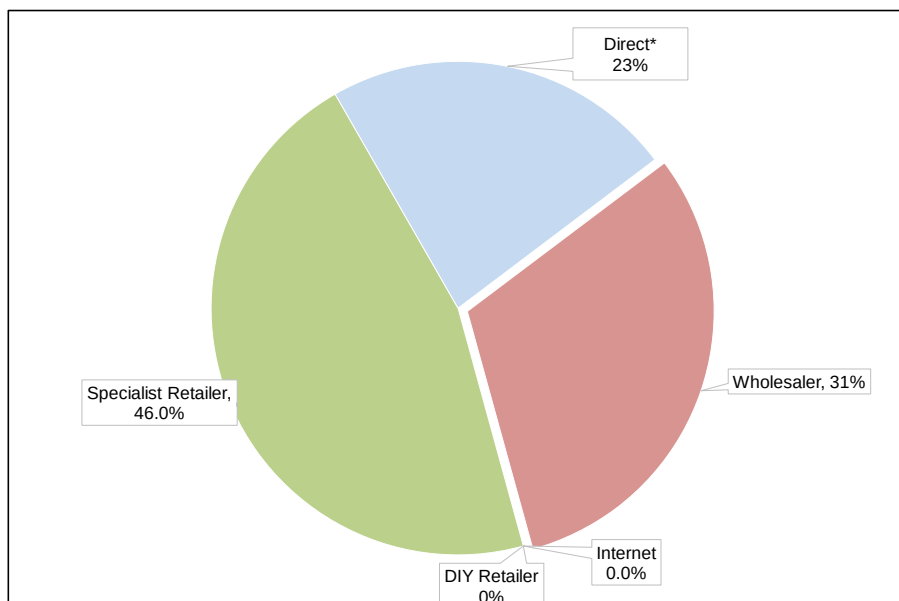
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
31.0%	0.0%	0.0%	46.0%	23.0%	28.8%	11.6%	36.6%	23.0%
100%					40.4%		59.6%	

2.6.8 Route to Market - Consolidated View : Plastic Cisterns

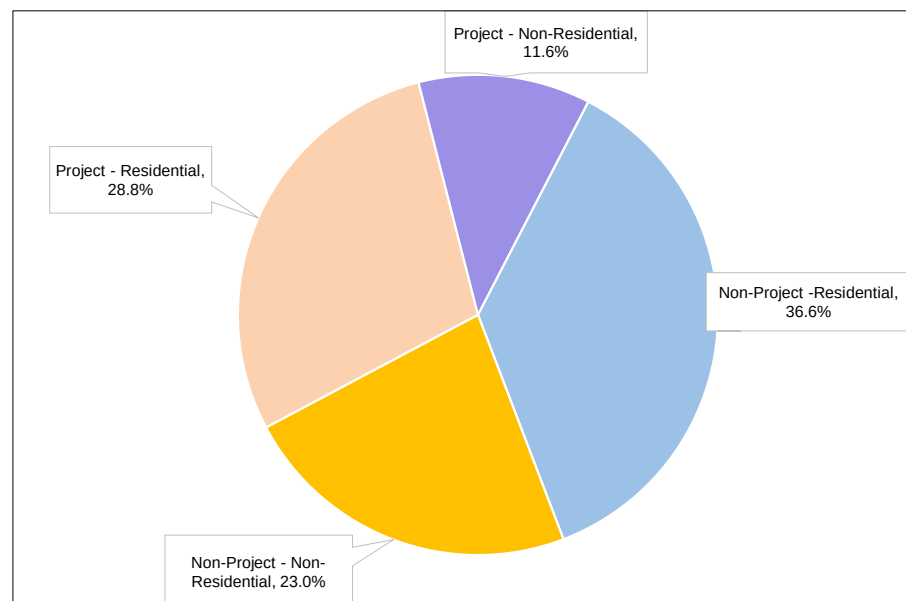
EG - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
46.0%	0.0%	0.0%	46.0%	8.0%	26.0%	12.5%	39.1%	22.4%
100%					38.5%		61.5%	

EG - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



EG - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



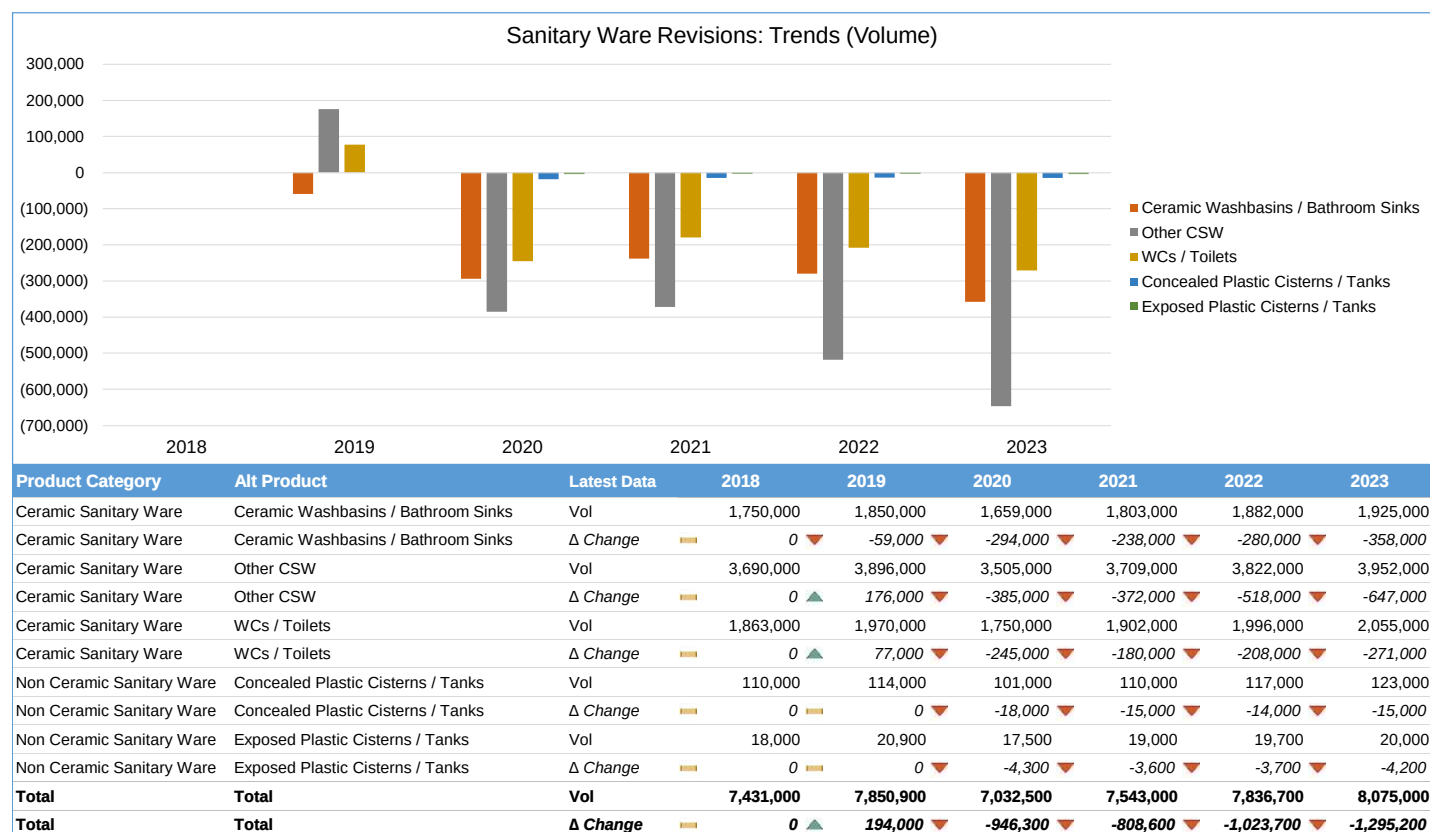
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7 Revisions in the Egyptian Sanitary Ware Market (April 2020)

EG - REVISIONS IN THE EGYPTIAN SANITARY WARE MARKET

Data Comparison: April 2019



Sales of WCs and Others CSWs were revised upward for 2019, thanks to the construction output during that year, higher than expected. Sales of washbasins were revised downward during that year. The new segmentation among different type of washbasins let appear that some type of washbasins was much less replaced than others.

The MSP for all type of CSWs were revised downward for the period 2012-2018. This was due to a new evaluation of the economic crisis and its impact on the consumers. Indeed, a larger number of Egyptians (more than previously thought) - that belongs to the middle-class - purchased low-end products, driven the share of low-end products higher than what was previously thought. Consequently, the average MSP was revised downward.

EGYPT

FAUCETS

THE AFRICAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Over the last decade, the market for faucets in Egypt has experienced continuous growth. Unlike other product types, volume sales of faucets have been particularly dynamic and only slightly influenced by external factors such as the global financial crisis. This is primarily because most faucets sold in the country are made to a very low standard and are replaced more frequently than other bathroom products (e.g. sanitary ware). The lifespan of faucets is very short compared to the average observed in the European market. Most faucets come from China, and the absence of any specific legislation with regards to faucets in Egypt allows importers to bring in some poorly designed and manufactured models.

The faucets market is primarily driven by RMI demand, along with new construction activity, of which a significant part of the new residential construction is built illegally and, consequently, it is difficult to quantify when considering the absence of any official statistics. There is a huge housing shortage in Egypt, with a significant number of young adults struggling to find a decent place to live. Housing projects are historically led by the government, but an increasing number of foreign companies are now present in the country.

More recently, the government has begun to focus on developing affordable dwellings for the population, where the cheapest faucets should be installed. However, most investors are not keen to invest in social housing – the real need of the population – as the return on equities is too low. Only medium to high end constructions, as well as non-housing construction, continue to attract such investors. This type of dwelling, therefore, creates the best sales opportunities for Western brands on the Egyptian market. Meanwhile, a small but significant middle class is gradually emerging; the result of the economic and social development experienced by the country in recent years but also because of the changes brought around by demographic transition. This middle class also contributes to the medium to high end segments.

In Egypt, there is a clear predominance of one-head faucets mostly installed in washbasins, and their share increases every year as demand for two head faucets is going down in this type of application. However, there is still a significant proportion of two head faucets installed in baths and showers. While the pillar faucet segment remains almost exclusively demanded in the countryside, internal migration of Egyptians in and around Cairo has fuelled further demand for this type of faucet in recent years. Still, a significant part of the population continues to live with basic amenities' equipment and many of them live in areas where there is not even an energy network, and so having another type of faucet without being able to get hot water is obviously not on their agenda. Sales of self-closing faucets are rather low (due to a lack of awareness in consumers for water savings) and there is also no specific legislation nationwide for the concern of water conservation. Sales of thermostatic and electronic faucets are growing slightly every year but continue to account for only a negligible share of the total market. This is because of the

relatively high prices for such products.

While the government has had to focus on major political and security issues in recent years, many Egyptians are believed to have built more houses illegally in the last five years, knowing they would not be controlled since the government had other urgent priorities on its agenda. This additional construction is reported to have generated additional sales of faucets, and has biased, somehow, the overall volume sales of faucets sold to the replacement market.

Most dwellings in Egypt suffer from low water pressure, which constitutes a barrier to entry for shower panels. Shower panels are designed to replace a classic shower system; rain showers represent a serious threat, as this product is more often displayed in showrooms and other specialist retailers than shower panels. It is often perceived as a substitution product.

Recent Market Trends

In Egypt, sales of faucets increased in 2019, thanks to a continuous healthy construction sector along with positive signs of recovery for the Egyptian economy. More money was available in 2019: the aggregate M2 registered a sharp increase, revealing signs of recovery in the economy.

Washbasin mixers continued to be the faucet most sold in the country in 2019.

In the last few years, sales of faucets were delayed due to measures of austerity, double-digit inflation, and unemployment. A part of these sales were rather made in 2019, as inflation declined to “only” one single digit, but closer to 10% than to 1%.

The Egyptian market does not yet offer a different colour range for faucets.

The most common type of finish sold in Egypt continued to be the basic silver colour. It is the most commonly produced, so it is the cheapest in the market. Alternative finish concerns only high-end dwellings and some hotels. Other finishes are rare, but chromed faucets come second, while stainless steel are often favoured for kitchens. In Egypt, gold colour is not rare, but those faucets are no longer appealing for the young generations that are well-travelled and modern: they are more and more aware of its kitsch appearance, as opposed to the older generations. However, it is believed that there is a new trend in less flashy gold colour, such as bronze.

Faucets equipped with a lighting system (that gives a colour to the water flow) is actually more common in Egypt than some type of finishes.

All type of faucets witnessed a sales increase in 2019.

In 2019, the vast majority of faucets sold were installed in washbasins, followed by kitchen sinks and baths. In terms of category of faucets, the one-head mixer was, by far, the most popular.

Most of the new dwellings were part of the government programme to provide houses for Egyptians with low incomes. These social dwellings constituted a flourishing business for investors as well as individuals. A completed house can be quickly resold to generate margins, considering the high demand for housing in Egypt. Some houses can be resold more than once without having any bathroom product installed, at least until an owner decides to move in or rent it out. As a result, sales of faucets to the new housing segment do not follow closely the trend for housing construction.

Prices and Market Values

For the second year, BRG continued to display its price and value estimates for faucets at an application level (mixers for baths, bidets, washbasins, showers and kitchens), as opposed to the previous segmentation used in reports that were published up to 2018 (based on 2017 figures), which was primarily based on the category level (pillar, one-head, two-head, thermostatic, and electronic mixers) rather than based on application level.

Favourable exchange rates along with higher share of low-end products led the overall MSP for faucets to decrease in 2019. Indeed, the large majority of faucets sold in Egypt are imported.

For faucets manufactured in Egypt, the MSP (in local currency) drastically increased. For instance, LECICO had to increase their price by around 17% due to the increasing manufacturing cost. As faucets have a high price elasticity, the sales volume for LECICO declined at a higher rate than the price increase, (around 25%). This means that cheaper faucets were bought, increasing the share of the economy range. This change in the price segmentation played a key role in the estimation of the average MSP as said in the above paragraph.

It is not a surprise that the economy range strengthened in 2019, considering the share of the population considered as poor in Egypt. This population had a higher access to the government programme for social houses, even though, for the poorest, these houses remained unaffordable. New financial plans that were put in place during that year have expanded the potential market for faucets in Egypt to those that were excluded in previous years due to their limited income.

The average price for faucets manufactured locally increased in 2019, as did the selling price. For instance, LECICO faucet average selling price in 2019 jumped from EGP 793.6 to EGP 931.3.

The MSP was also contained due to changes in product mix pricing. As shown in the distribution flow, faucets are sold to different partners. The higher share of direct sales and /or a 'greater average quantities per purchase' order had an impact on the overall MSP, as these faucets are sold at a lower unit price.

Shower/Bath faucets were the most expensive in 2019, as the average MSP was boosted by the increasing popularity of thermostatic mixers, which are the most expensive category of domestic faucets.

The improvement in strength of the Egyptian Pound along with measures of austerity that were softened with more liquidity available, led the imports for faucets to become easier and cheaper, after a year in which foreign currencies were exchanged on the black market to secure international payment.

The price segmentation is not the exact reflection of the purchasing power of the population and other variables should be taken into consideration.

Wealthy Egyptians expect a lower unit price for the faucets purchased, considering the higher number of faucets that are purchased (higher number of faucets in their dwellings but also more often replaced, compared to the average Egyptians). Many of them purchase low-end faucets. Low income households living in small dwellings would not get discounts, considering their small quantity purchased.

In other words, small specialists selling high-end products are most likely pressured for discounts from wealthy Egyptians than shops selling a high quantity of low-end products, to low-class Egyptians.

However, Egyptians with a limited purchasing power would not necessarily buy low-end faucets only. They are keen to purchase a good quality faucet in order to be sure that it will not be replaced too soon, which could cost more in the long term.

Wealthy Egyptians and Egyptians with low incomes are over represented in the price ranges other than what the common sense would let us think: many Egyptians that belong to the middle-class purchased low-end range faucets, and a significant share of Egyptians that belongs to the low-class purchased middle-end range faucets. Considering the size of these two social classes, we can presume that the middle segment is more driven by Egyptians with a limited purchasing power, than the Egyptian middle-class.

New Housing

In 2019, sales of faucets to the new housing segment increased in Egypt, thanks to the strong residential construction output.

The declining interest rate, the lower inflation and the strengthening Egyptian currency contributed to improve the economic environment. More money was available in the country and, after years of measures of austerity, investors were returning to the country.

The construction sector in Egypt constitutes a pillar of the economy, considered to be the most secured yet highest ROI (return on investment) rate.

Some Egyptians with low incomes preferred to install a quality product from GROHE, especially when they move to a new home. They believe that it will be cheaper in the long term to purchase a better-quality product rather than to go for a local or a Chinese model that would need to be replaced more often. Many dwellings that belong to the low-end segment were delivered unfinished (without sanitary ware products nor sinks). The finishing was up to the head of the family who had to install faucets.

In term of faucets by application, washbasins captured most of the faucets installed in new housing, where most of the time they were a one head mixer. Washbasins have the most concentration of one head mixer. For kitchen sinks, 2019 experienced a shift from two head mixers to one head mixer. With regards to baths and showers, the two head mixer continued to have a significant share, despite an increasing preference for the one head and a dynamic growth, but still limited in terms of volume, of the thermostatic mixer.

On average, only three faucets are needed in a basic Egyptian house: washbasin, kitchen, and bath.

Housing RMI

In 2019, sales of faucets captured by the RMI market continued to be the highest share of all segments, thanks to a market largely driven by the economy and low-end range products. These low-quality products tend to be replaced more often.

However, the limited purchasing power of the population constituted a negative driver for the sales of faucets to the RMI segment. Egyptians preferred to spend their money on basic needs, postponing the replacement of faucets. A higher number of Egyptians living in dwellings where good quality faucets were installed preferred to repair their faucets rather than replacing them, this is particularly true for low-income Egyptians. As mentioned in the *Prices and Market Values* section, low quality faucets are often not reparable and when they are, the cost of purchasing new cheap faucets does not justify spending on repair.

Non-Housing

In 2019, sales of faucets to the non-housing segment increased.

The return of tourists boosted the construction of new hotels, along with a clear improvement of the economic climate in Egypt, bringing investors back to the country.

Other hotels were refurbished, while many shut down during the economic crisis of the past few years.

Also, the new capital city that is currently being built contains many offices as it will become the new administrative capital of the country and different administrations/ministries are slowly moving there.

Sales of faucets increased in all types of application, apart from bidets, due to the decline of this sanitary ware product, and the popularity of a hand spray or “shattaf”.

Supply Structure

The massive development of social houses, the inflation and the cut of energy subsidies led to some changes in the supply structure.

As the production cost for faucets in Egypt increased, they lost some of their price competitiveness against imports from Asia. Furthermore, their limited production capacity constituted a break for further cuts in production cost, as they cannot realise economies of scale as the Chinese, Indian or Turkish manufacturers can do: their economies of scale is sufficient to offset the cost of shipment to Egypt and cover the duty tax.

As a result, the share of Asian imports in the faucet supply increased in 2019.

According to the chairman of the Chamber of Industries in Egypt, there are around 35 factories producing mixers in the country. It is believed that these factories could cover all the demand for faucets in the country, and a call for the non-export of scrap copper (that could be used by these factories to make faucets) was made but not heard.

Among Western brands, GROHE continued to be the market leader in 2019. This is due to their low production cost as most of their supply is imported from Asia (and because of its size, economies of scale are huge), and they enjoy a strong reputation worldwide.

Among Western brands, GROHE was followed by ROCA and IDEAL STANDARD in terms of volume sold. Locally, SPHINX and GAWAD MIXERS are the two largest players.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Sales of faucets in Egypt should increase at a positive CAGR by the end of the forecast period.

However, the pandemic of the coronavirus (COVID-19) will affect the market for 2020. Shortage of faucets, (which depends on imports from countries that experienced cuts in their production activities due to the quarantine put in place by the governments), curfew imposed by the Egyptian authorities (which disturbs the retail market), and lower construction activities constitute the main reasons for the faucet market to shrink in 2020.

In the coming years, the strengthening Egyptian pound should allow local manufacturers, that depend on imports of spare parts, to reduce their manufacturing cost.

In line with the stratification of the population, in terms of social classes, sales of faucets in Egypt should continue to grow and should continue to be mostly represented by the economic and low-end ranges. The population is structurally poor, huge, and constant and long-term GDP growth is needed to restructure the social classes. However, the growing middle class, along with the control of the inflation should, in the coming years, lead to a growing medium-end range, which constitute real sales opportunities for Western manufacturers, (along with the high-end and luxury end range of course), rather than the overall market size.

Pharaonic construction development, such as the current construction of a new capital, should lead the market for faucets to grow again during the forecast period.

Sales of faucets should continue to be equally spread among the different applications, but for bidets, the growth should be very limited, due to the increasing presence of the *shattaf* (*a hand spray fixed next to the WC*).

The Egyptian economic growth expected in the forecast period, may not be sufficient to absorb the demographic growth in terms of employment and in terms of an overall amelioration of the purchasing power of the population. While massive housing construction is happening in the country, these houses need to match with the purchasing power of the population and, despite advantageous conditions (low price and a long-term re-imbursement period), many Egyptians still cannot afford them. A too high share of empty dwellings may create a crisis in the real estate, slowing down the construction activities until these houses are absorbed by the market.

Without doubt, the huge shortage in housing and the large and old dwelling park represent the main key drivers for faucets. Sales of faucets should continue to be mostly led by the replacement market, due to a large and old dwelling park and a low quality of faucets available.

Many investors prefer to invest in high-end dwellings, those that are not the most in demand. However, Western manufacturers should find sales opportunities here for medium to high-end faucet products.

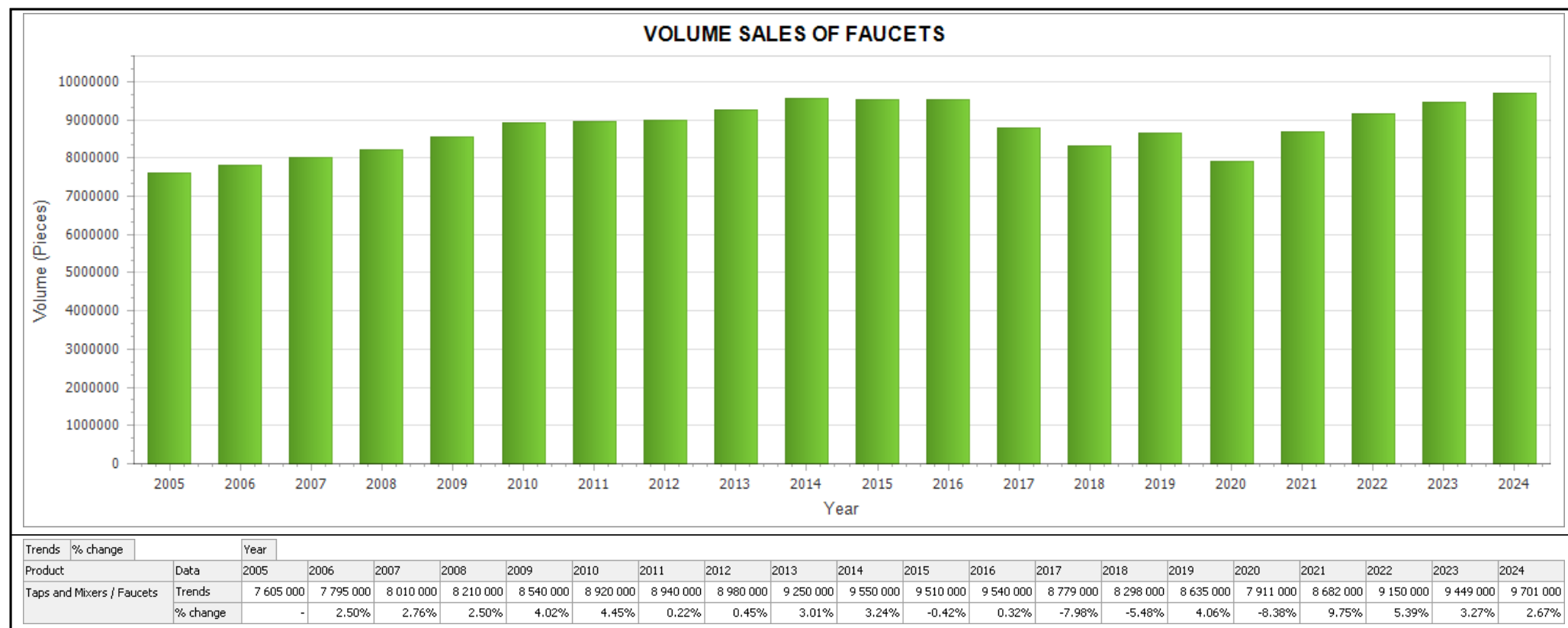
Most dwellings that should be completed in the coming years concern social houses, with low-end products mostly coming from local manufacturers and imports from China and Turkey. Western manufacturers (at least those that do not have a manufacturing plant in Egypt) may not be able to compete in the largest segment of new construction.

The tourism industry in Egypt should continue to be the main driver behind further sales of faucets to the non-housing segment. However, the recovery in this industry remains uncertain and depends largely on the capacity of the government to secure the country from political violence, and to lead recovery of tourism after the COVID-19 pandemic, which should have a direct impact on the level of investments for new and refurbishment projects and, consequently, on the sales of faucets in the country.

The economic situation in Egypt is promising, with many foreign investors bringing huge amounts of money to the country. Since the 2013 coup d'état which brought General el-Sisi to power in Egypt, investors and governments from the Arabian Gulf countries have come with multi-billion US dollar projects to support him in stabilising the country and have launched several projects in residential construction.

3.2 Historical Trends and Forecasts : Faucets

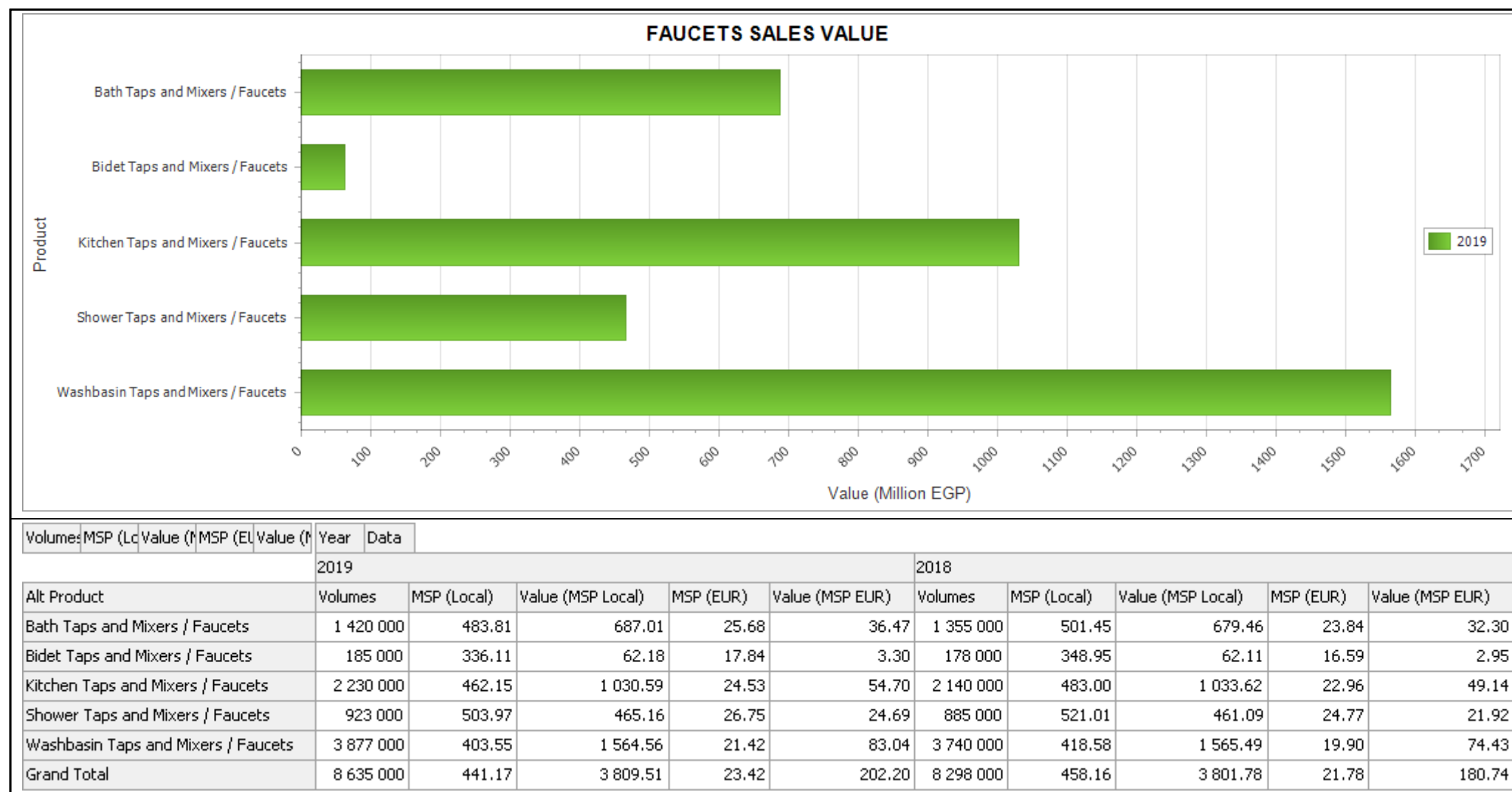
EG - SUMMARY OF TRENDS IN THE FAUCETS : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Faucets

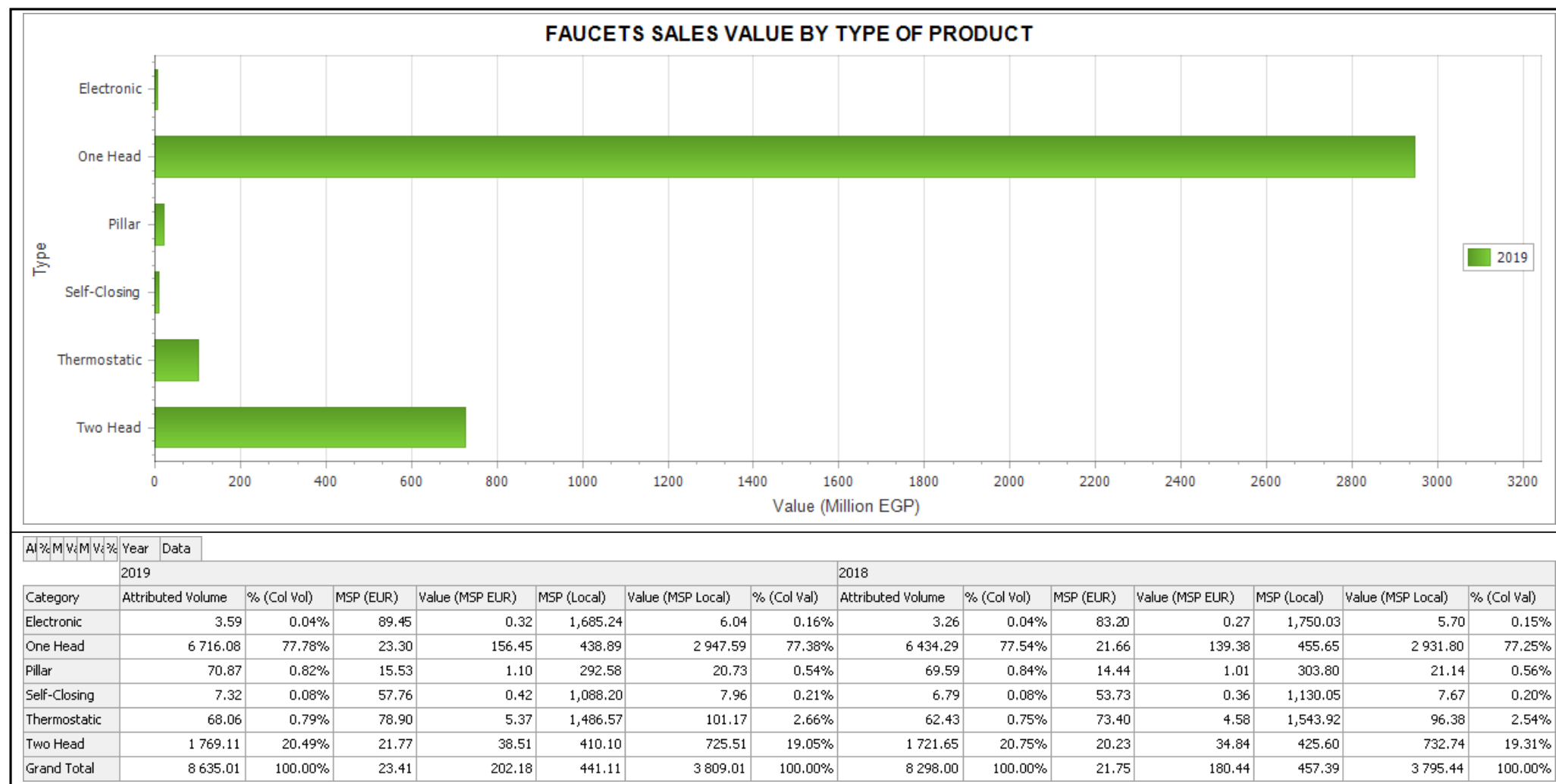
EG - ESTIMATED VALUES OF THE FAUCETS MARKET



Source: BRG based on industry interviews. Local Prices in EGP. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Faucets

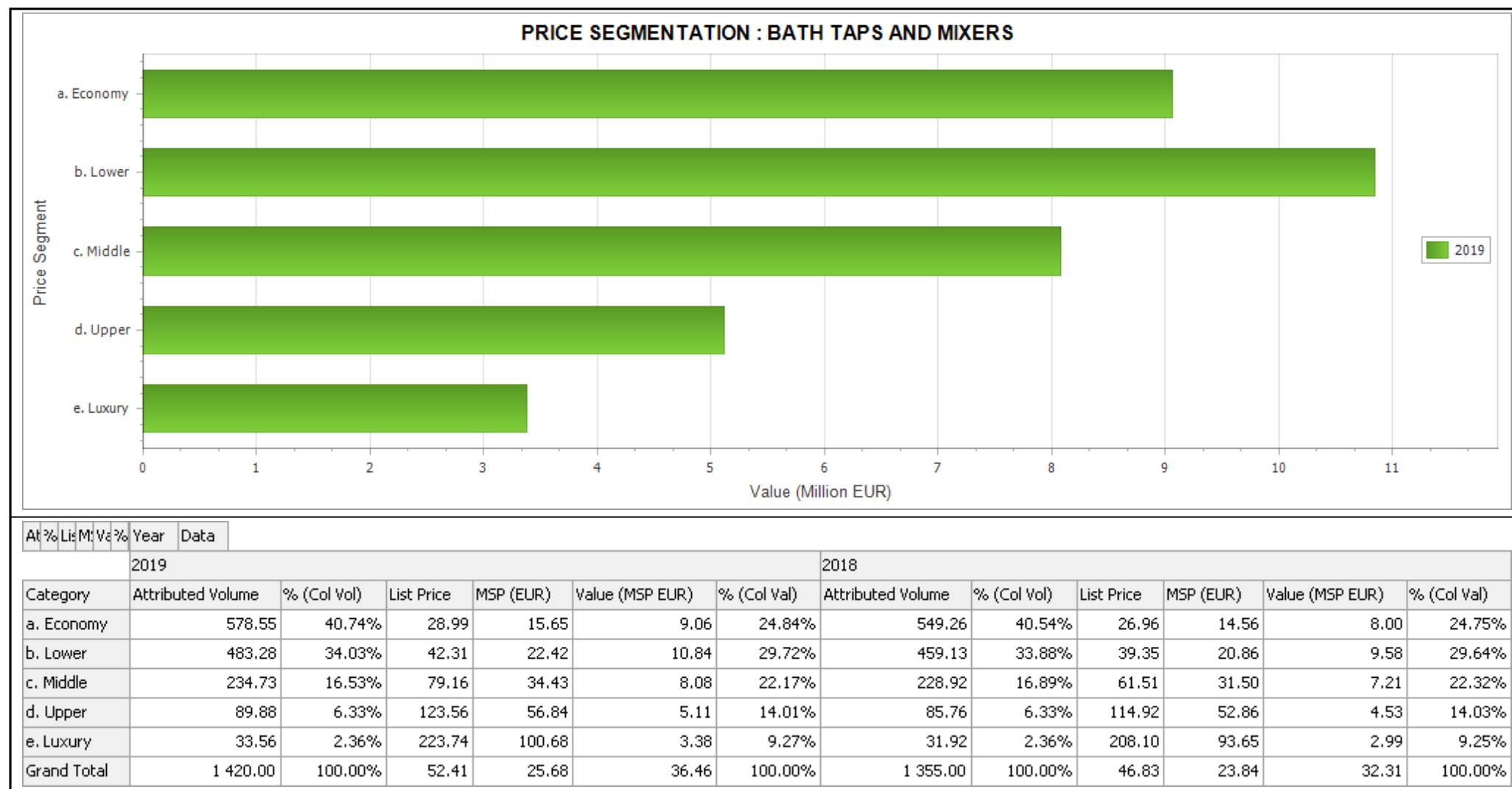
EG - ESTIMATED VALUES OF THE FAUCETS BY TYPE OF PRODUCT



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands, Local Prices in EGP and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Faucets

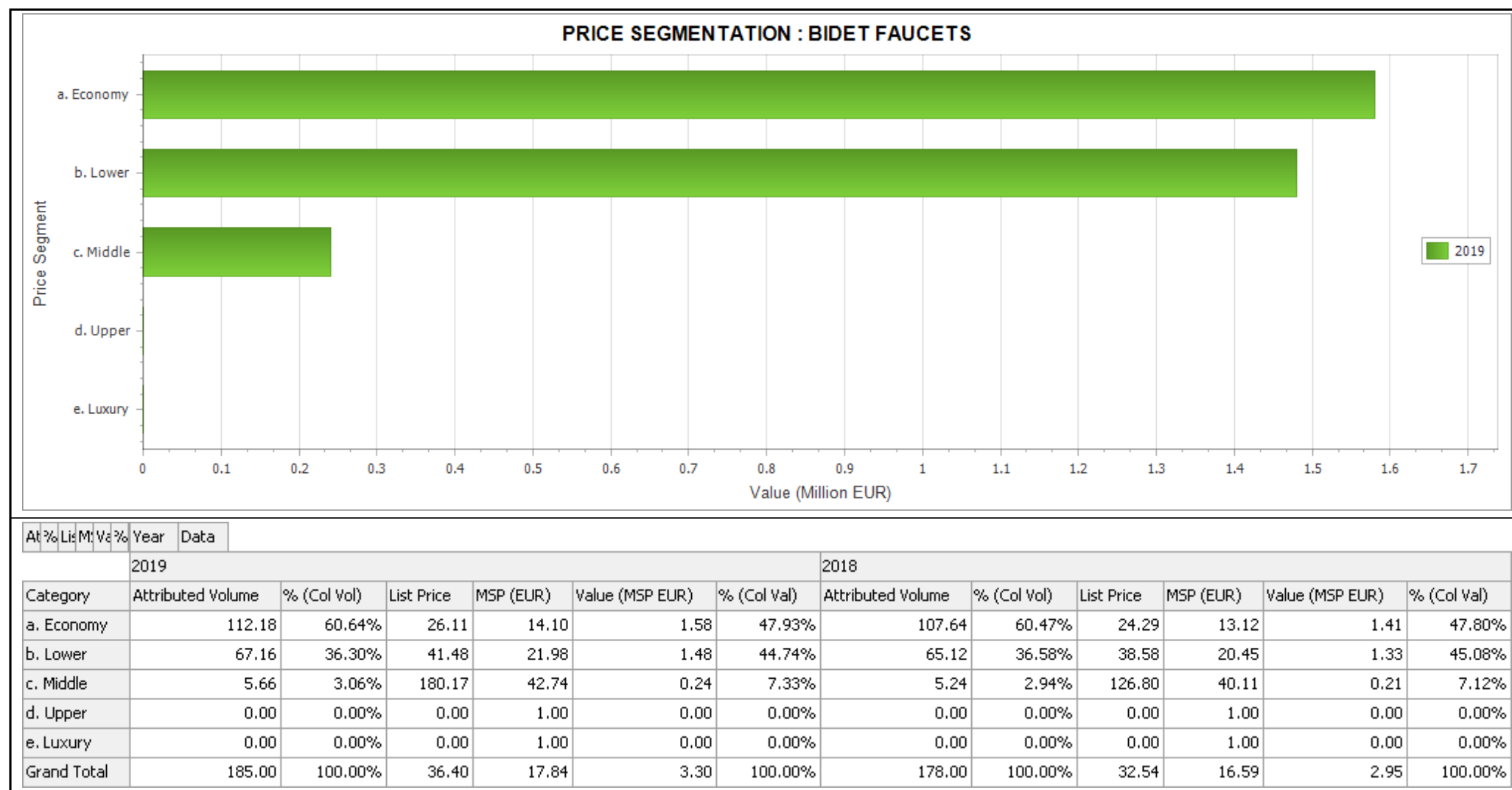
EG - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.4 Price Segmentation : Bidet Faucets

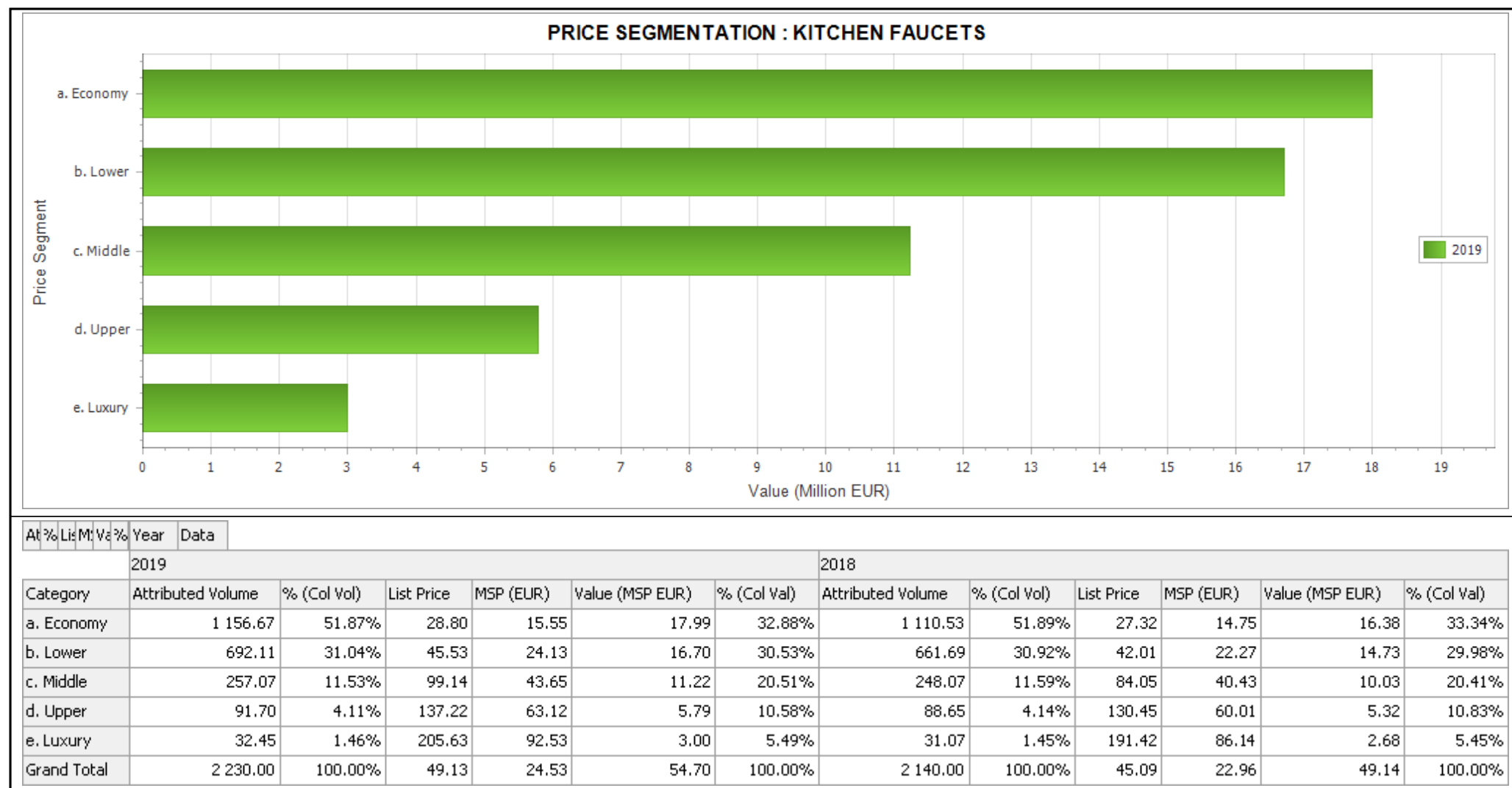
EG - ESTIMATED PRICE SEGMENTATION FOR BIDET FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.5 Price Segmentation : Kitchen Faucets

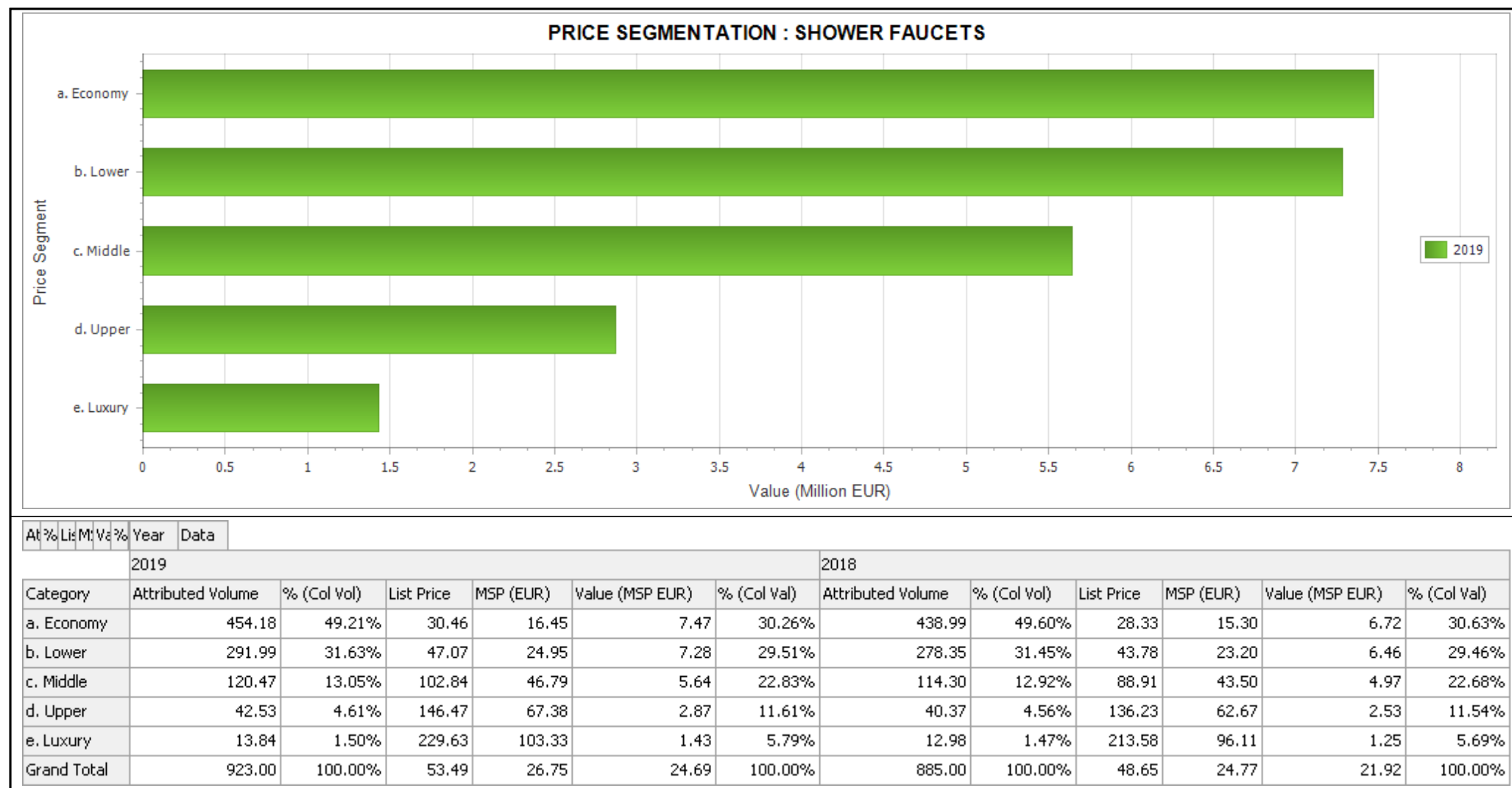
EG - ESTIMATED PRICE SEGMENTATION FOR KITCHEN FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€80 and Luxury >€80

3.3.6 Price Segmentation : Shower Faucets

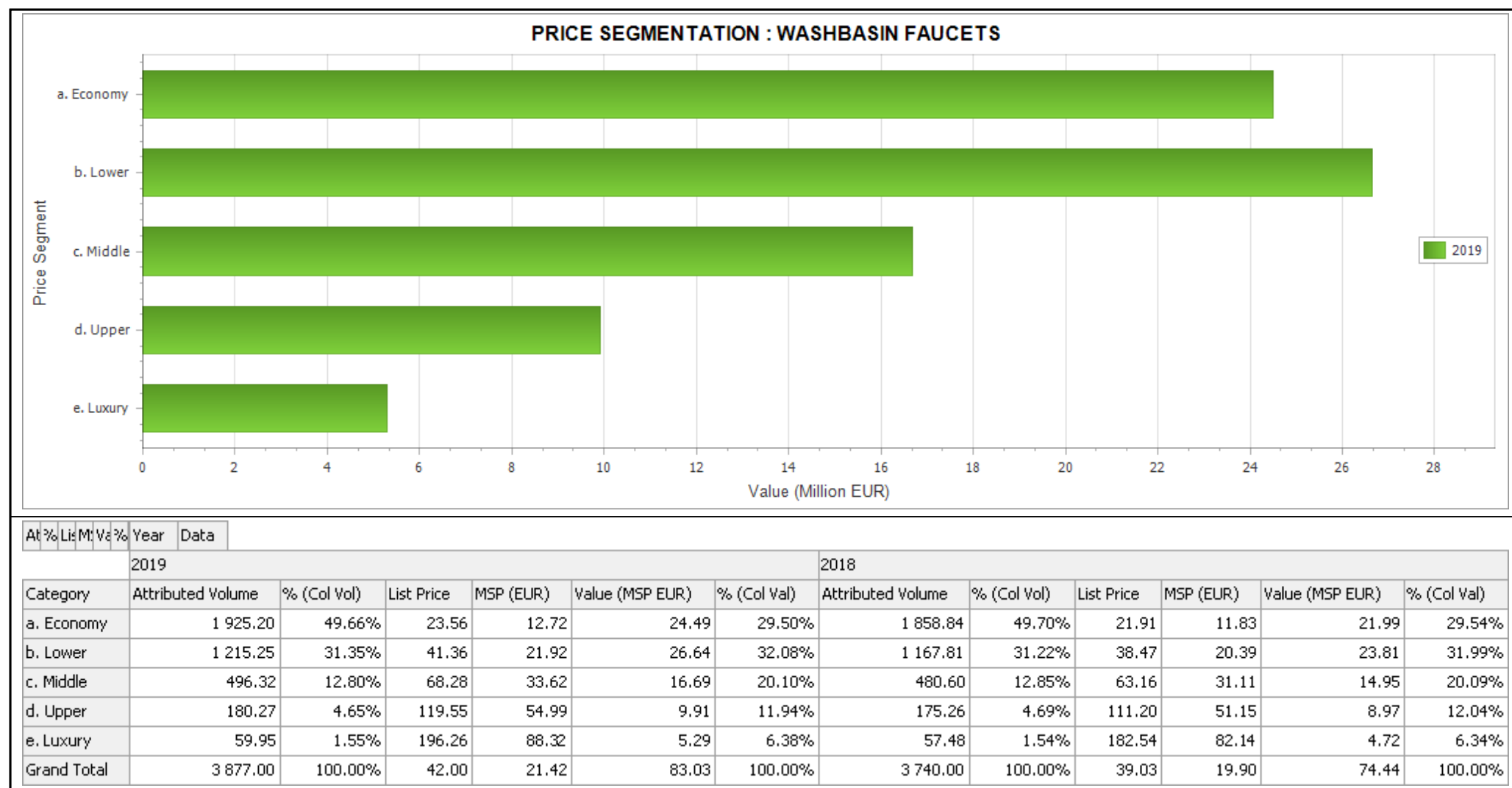
EG - ESTIMATED PRICE SEGMENTATION FOR SHOWER FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€80, Upper €60-€80 and Luxury >€80

3.3.7 Price Segmentation : Washbasin Faucets

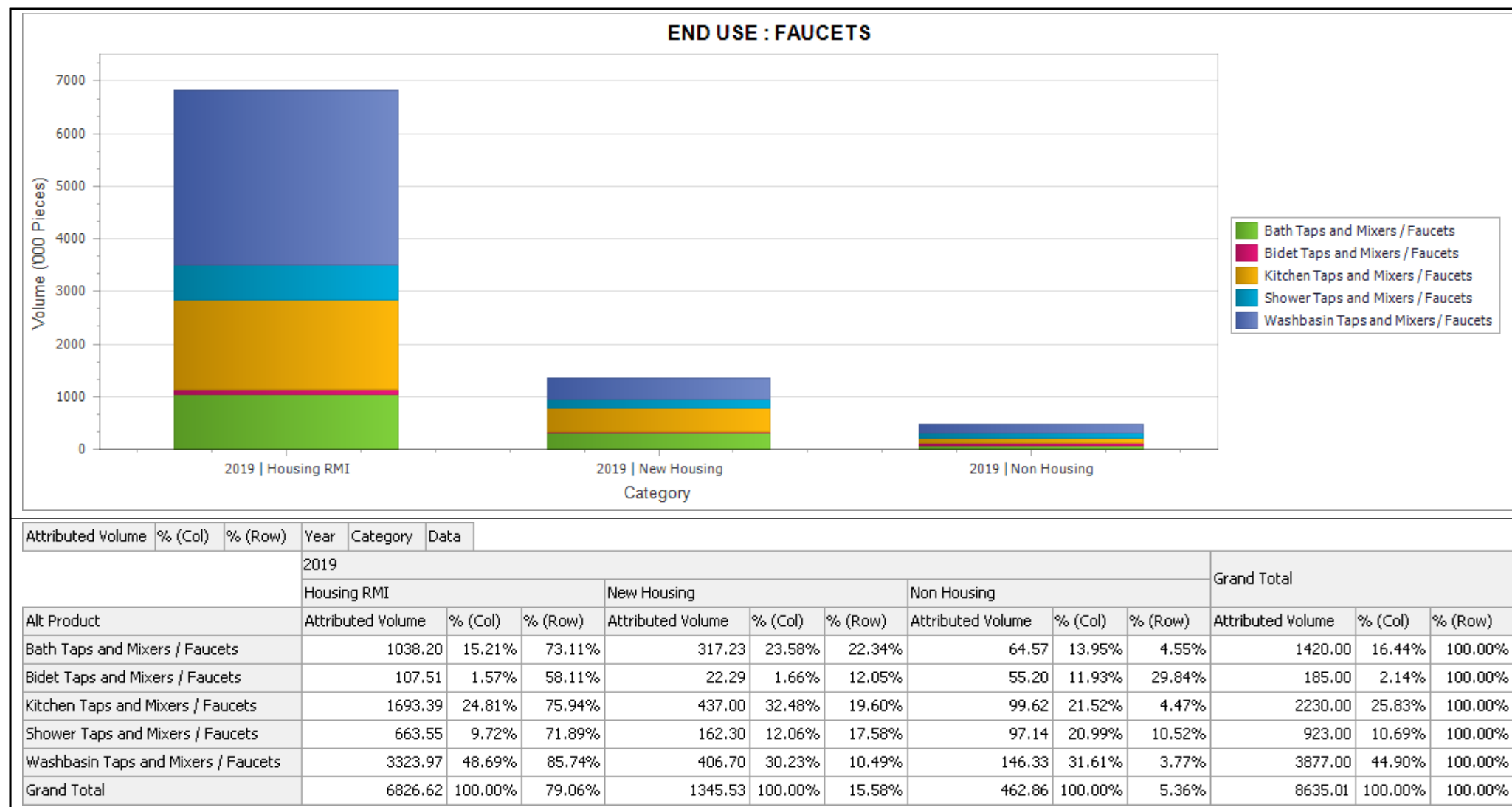
EG - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN FAUCETS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.4.1 End Use : Base Year

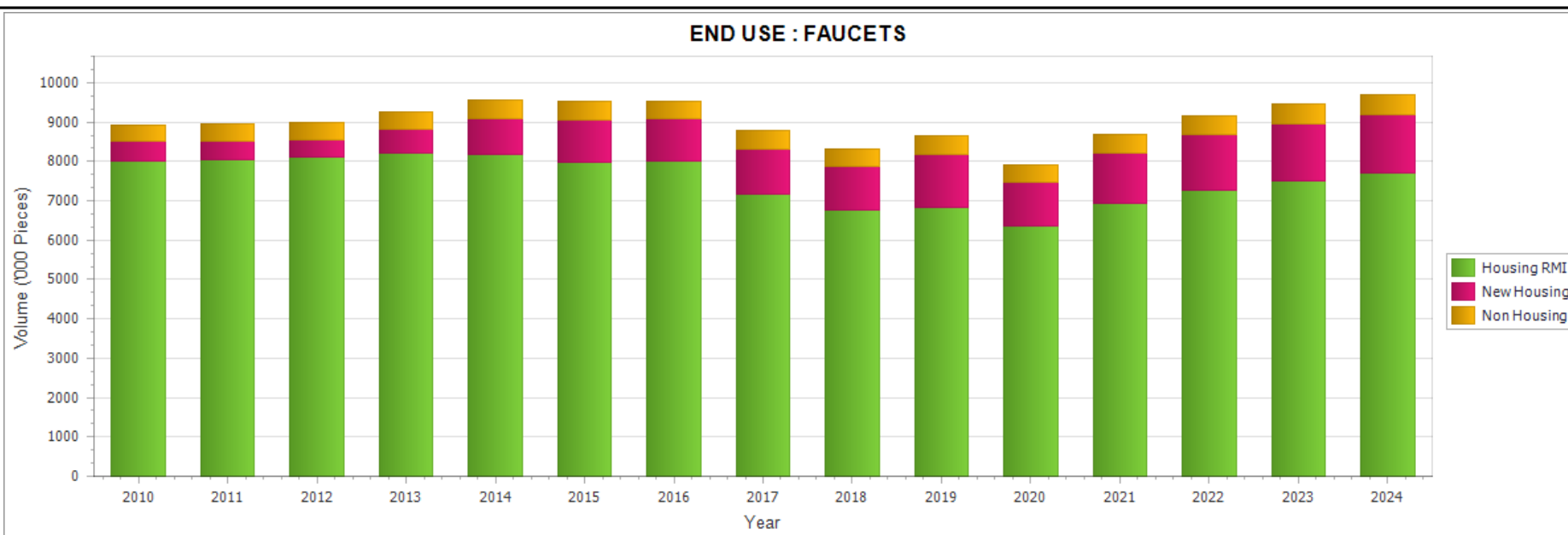
EG - SALES OF FAUCETS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

EG - SALES OF FAUCETS BY END USE SEGMENT ('000 PIECES)

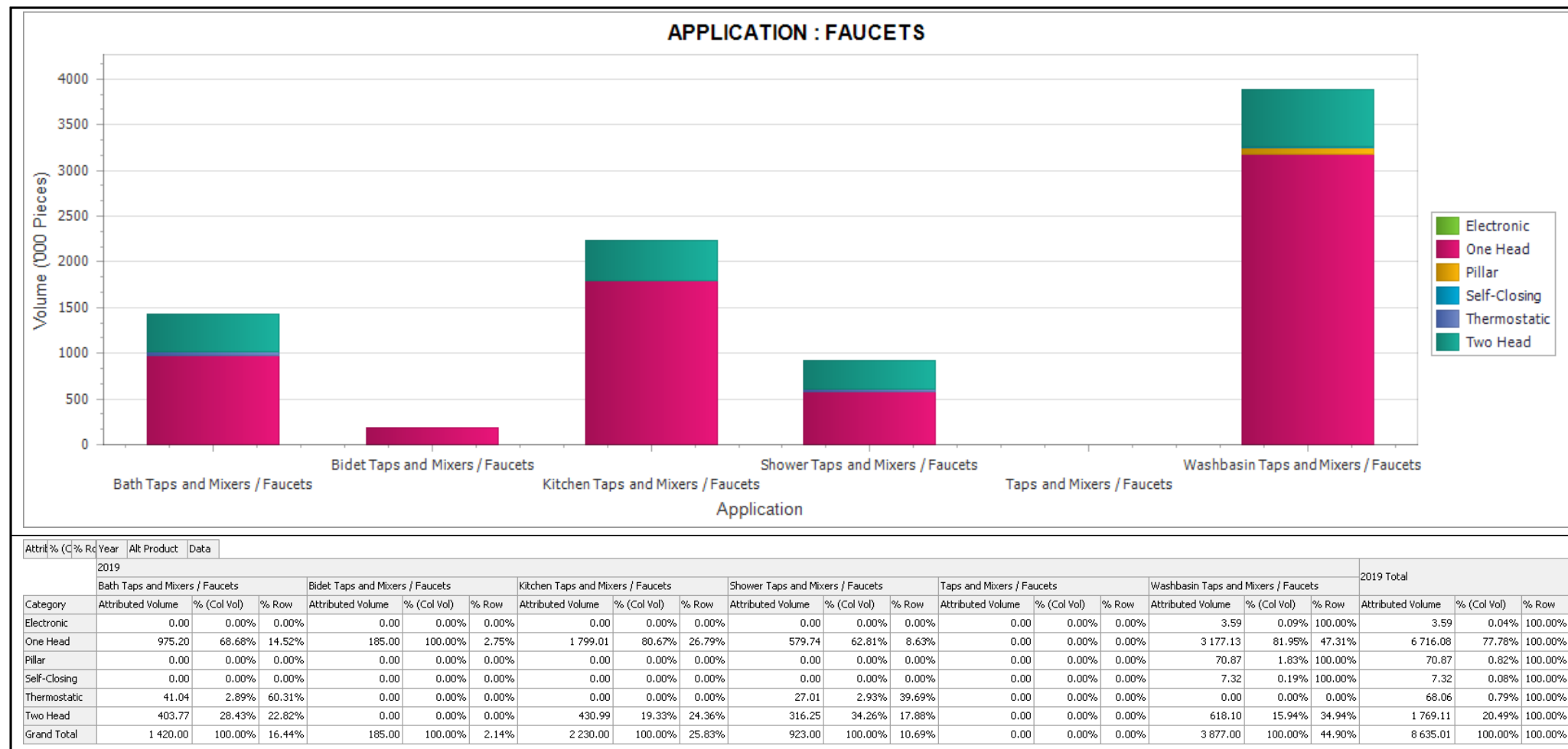


Attributed Volume		% (Col)	Year														
Category	Data		2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Housing RMI	Attributed Volume		8005.80	8045.15	8101.73	8197.27	8175.90	7965.23	8020.06	7165.49	6761.02	6826.62	6369.77	6932.83	7281.91	7515.93	7714.42
	% (Col)		89.75%	89.99%	90.22%	88.62%	85.61%	83.76%	84.07%	81.62%	81.48%	79.06%	80.52%	79.85%	79.58%	79.54%	79.52%
New Housing	Attributed Volume		504.92	483.12	457.72	618.74	927.09	1091.41	1071.01	1162.47	1099.35	1345.53	1102.39	1289.51	1389.28	1435.07	1477.77
	% (Col)		5.66%	5.40%	5.10%	6.69%	9.71%	11.48%	11.23%	13.24%	13.25%	15.58%	13.93%	14.85%	15.18%	15.19%	15.23%
Non Housing	Attributed Volume		409.28	411.73	420.55	433.99	447.01	453.36	448.94	451.05	437.64	462.86	438.85	459.67	478.82	498.00	508.81
	% (Col)		4.59%	4.61%	4.68%	4.69%	4.68%	4.77%	4.71%	5.14%	5.27%	5.36%	5.55%	5.29%	5.23%	5.27%	5.24%
Grand Total	Attributed Volume		8920.00	8940.00	8980.00	9250.00	9550.00	9510.00	9540.01	8779.01	8298.01	8635.01	7911.01	8682.01	9150.01	9449.01	9701.01
	% (Col)		100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Faucets

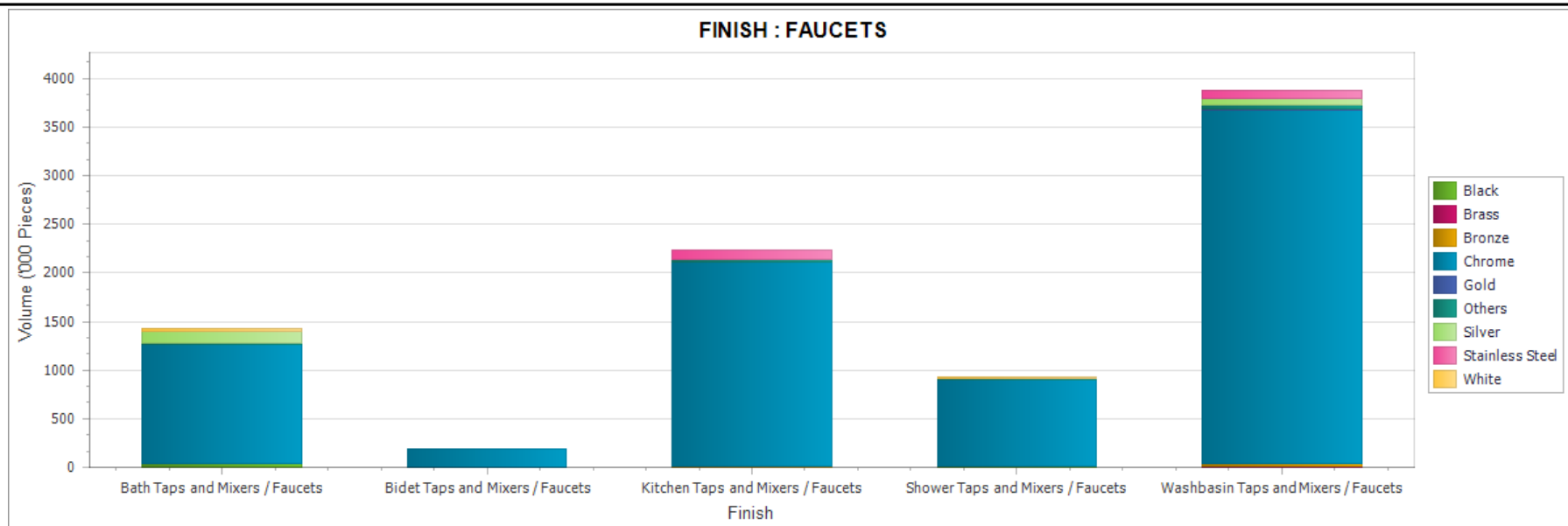
EG - FAUCETS SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Faucets

EG - FAUCETS SALES BY FINISH AND APPLICATION ('000 PIECES)

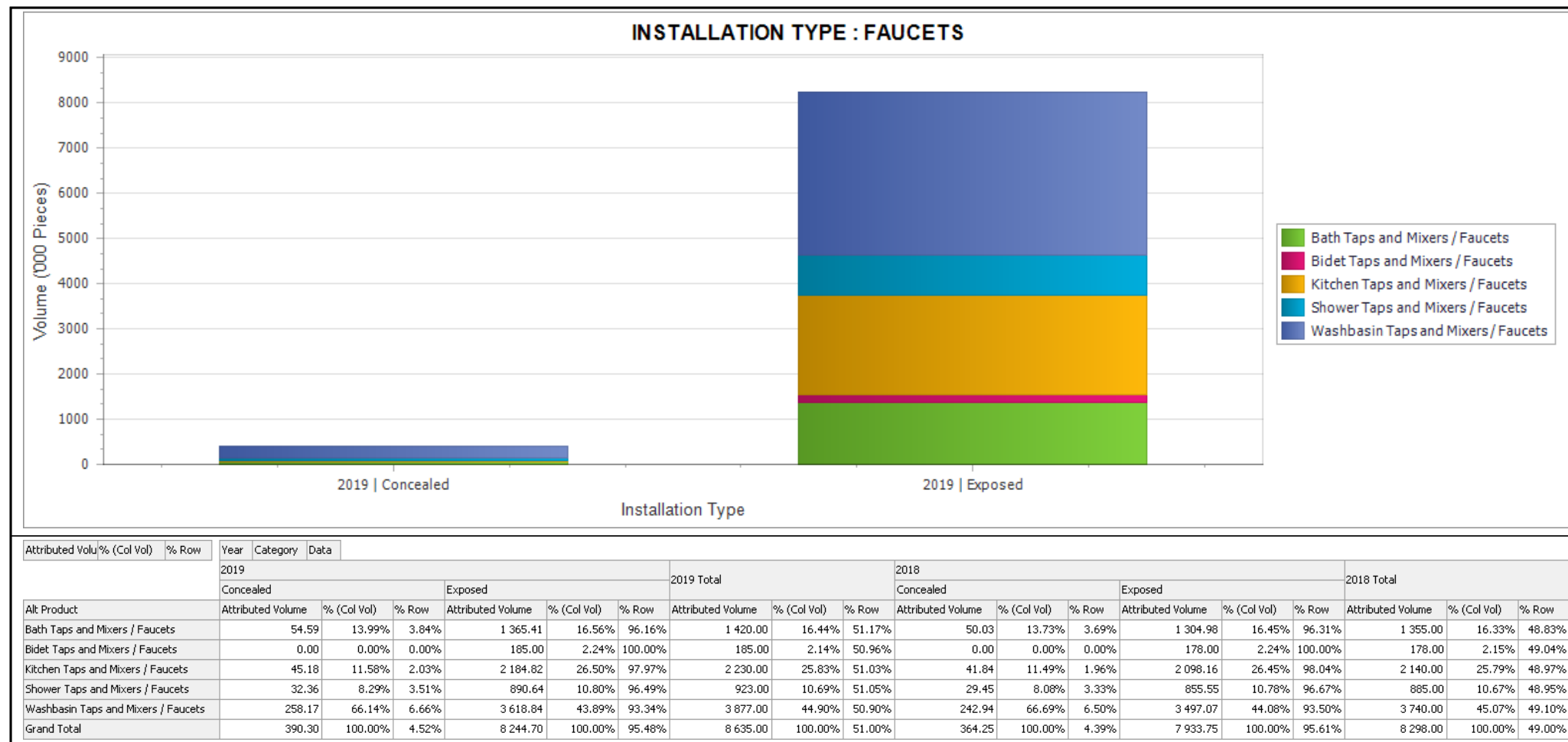


Attribt % (C) % Ro	Year	Alt Product	Data															
	2019														2019 Total			
	Bath Taps and Mixers / Faucets				Bidet Taps and Mixers / Faucets			Kitchen Taps and Mixers / Faucets			Shower Taps and Mixers / Faucets			Washbasin Taps and Mixers / Faucets				
Category	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row
Black	42.60	3.00%	79.37%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	11.08	1.20%	20.63%	0.00	0.00%	0.00%	53.68	0.62%	100.00%
Brass	0.00	0.00%	0.00%	0.00	0.00%	0.00%	2.23	0.10%	10.32%	0.00	0.00%	0.00%	19.39	0.50%	89.68%	21.62	0.25%	100.00%
Bronze	1.42	0.10%	3.73%	0.00	0.00%	0.00%	13.38	0.60%	35.15%	0.00	0.00%	0.00%	23.26	0.60%	61.12%	38.06	0.44%	100.00%
Chrome	1 218.36	85.80%	15.16%	185.00	100.00%	2.30%	2 102.89	94.30%	26.16%	896.23	97.10%	11.15%	3 634.69	93.75%	45.22%	8 037.17	93.08%	100.00%
Gold	2.84	0.20%	32.81%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	5.82	0.15%	67.19%	8.66	0.10%	100.00%
Others	7.10	0.50%	9.40%	0.00	0.00%	0.00%	22.30	1.00%	29.52%	7.38	0.80%	9.77%	38.77	1.00%	51.31%	75.55	0.87%	100.00%
Silver	126.38	8.90%	61.98%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	77.54	2.00%	38.02%	203.92	2.36%	100.00%
Stainless Steel	0.00	0.00%	0.00%	0.00	0.00%	0.00%	89.20	4.00%	53.50%	0.00	0.00%	0.00%	77.54	2.00%	46.50%	166.74	1.93%	100.00%
White	21.30	1.50%	71.94%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	8.31	0.90%	28.06%	0.00	0.00%	0.00%	29.61	0.34%	100.00%
Grand Total	1 420.00	100.00%	16.44%	185.00	100.00%	2.14%	2 230.00	100.00%	25.83%	923.00	100.00%	10.69%	3 877.00	100.00%	44.90%	8 635.00	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Faucets

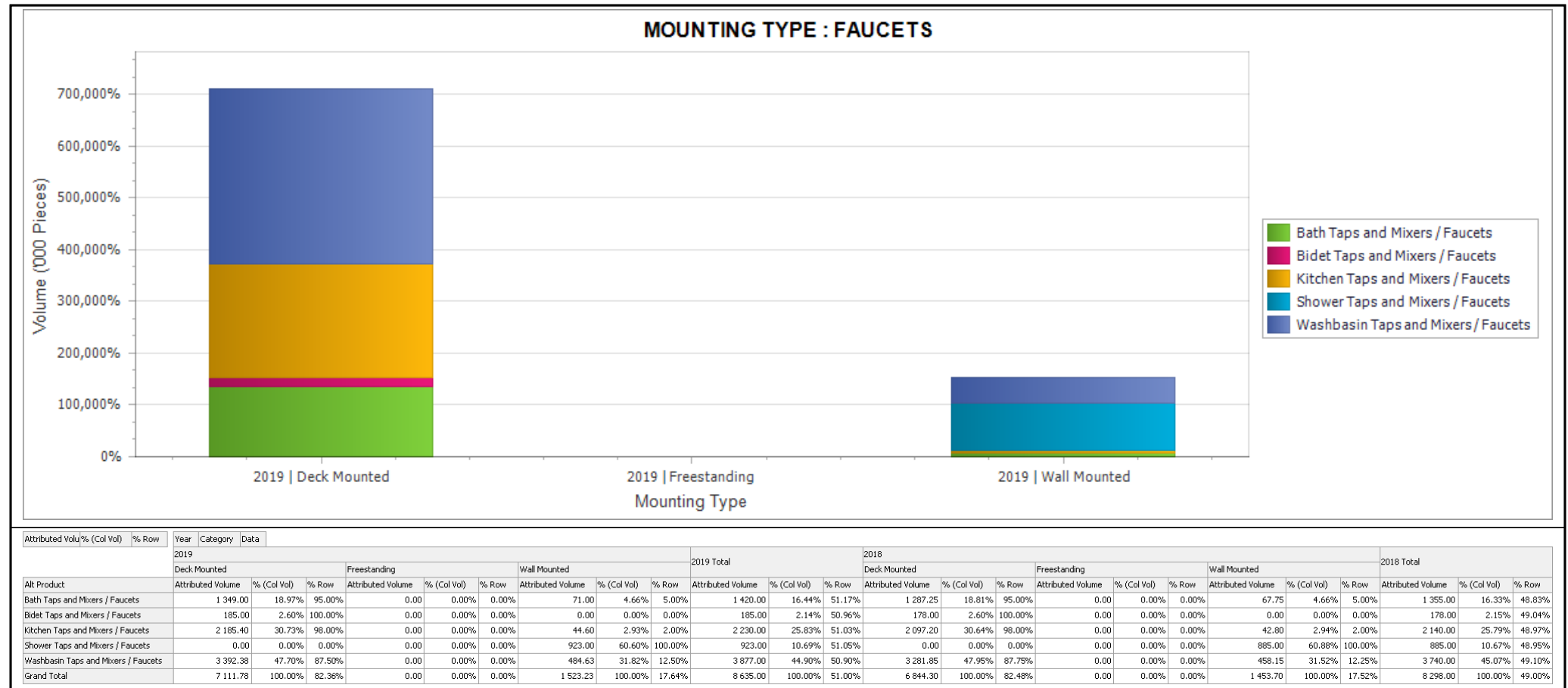
EG - FAUCETS SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Faucets

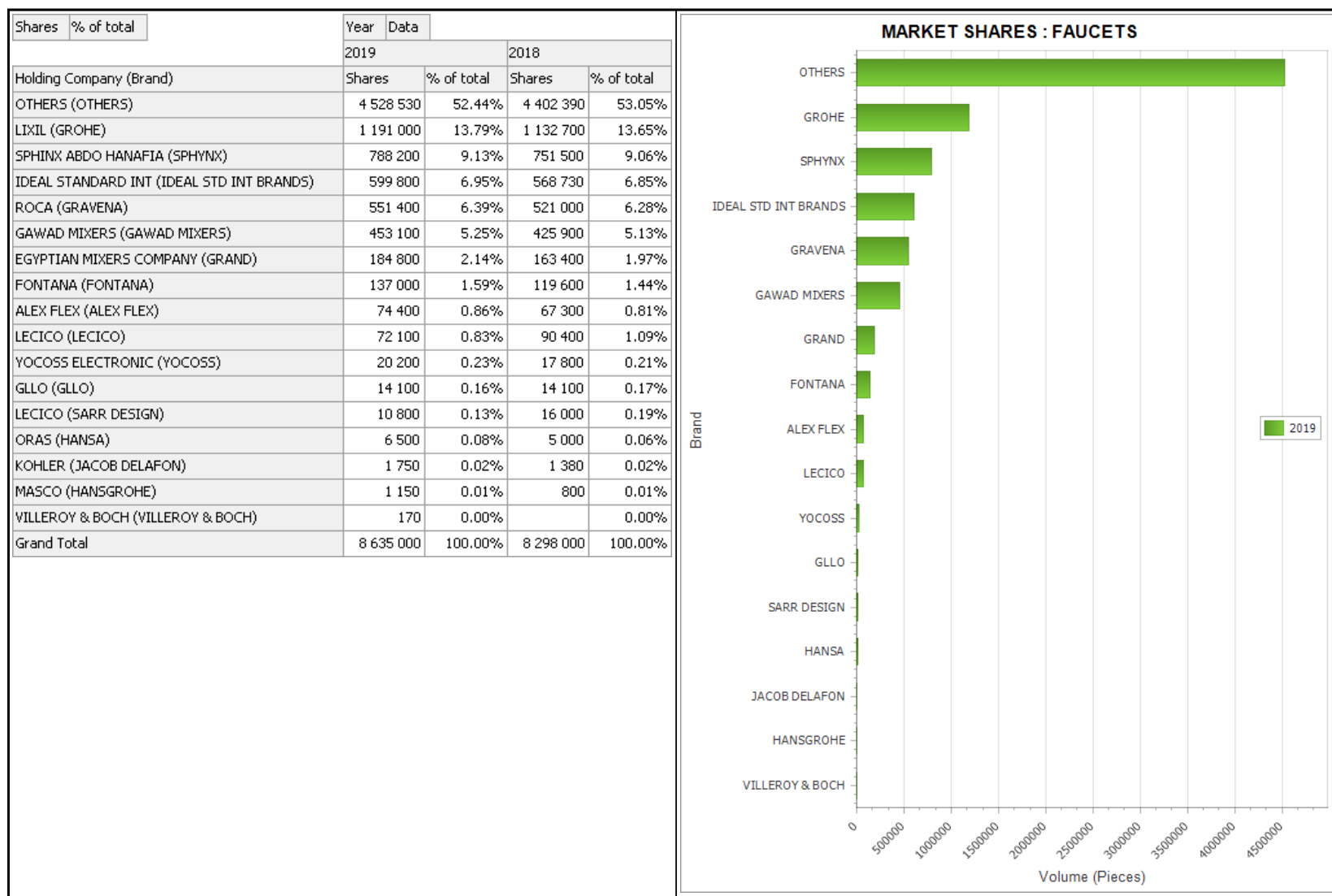
EG - FAUCETS SALES BY MOUNTING TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Faucets

EG - ESTIMATED MARKET SHARES FOR FAUCETS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 Route to Market: Taps & Mixers / Faucets
EG - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	54.0%
	Wholesalers / Merchants
	54.0%

Retail Level	Manufacturer 0.0%	Wholesaler 2.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 30.5%	Wholesaler 22.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.0%		0.0%		52.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	19.0%	1.0%	0.0%	9.9%
Installers				
29.9%				

End Use Level	Manufacturer 14.2%	Wholesaler 11.0%	Internet 1.0%	DIY 0.0%	Specialist 42.0%	Installer 26.5%	Manufacturer 1.4%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 0.6%	Installer 3.3%
	Residential						Non-Residential					
	94.6%						5.4%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	15.6%			79.1%			1.0%			4.4%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	11.0%		4.6%	9.0%		70.1%	0.8%		0.2%	0.7%		3.7%

3.6.2 Route to Market: Taps & Mixers / Faucets
EG - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	52.0%
	Wholesalers / Merchants
	52.0%

Retail Level	Manufacturer 0.0%	Wholesaler 3.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 31.0%	Wholesaler 21.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.0%		0.0%		52.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	18.0%	2.0%	0.0%	9.0%
Installers				
29.0%				

End Use Level	Manufacturer 15.5%	Wholesaler 10.0%	Internet 1.0%	DIY 0.0%	Specialist 42.0%	Installer 26.3%	Manufacturer 1.5%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 1.0%	Installer 2.7%
	Residential						Non-Residential					
	94.8%						5.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	15.2%			79.5%			1.5%			3.7%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	10.0%		5.2%	8.2%		71.3%	1.2%		0.3%	0.3%		3.4%

Source: BRG Based on Industry Interviews. N.B. Include both Kitchen and Sanitary Taps & Mixers / Faucets - Totals may vary due to roundings

3.6.3 Route to Market - Consolidated View : Faucets

EG - ESTIMATED DISTRIBUTION FOR FAUCETS : 2019

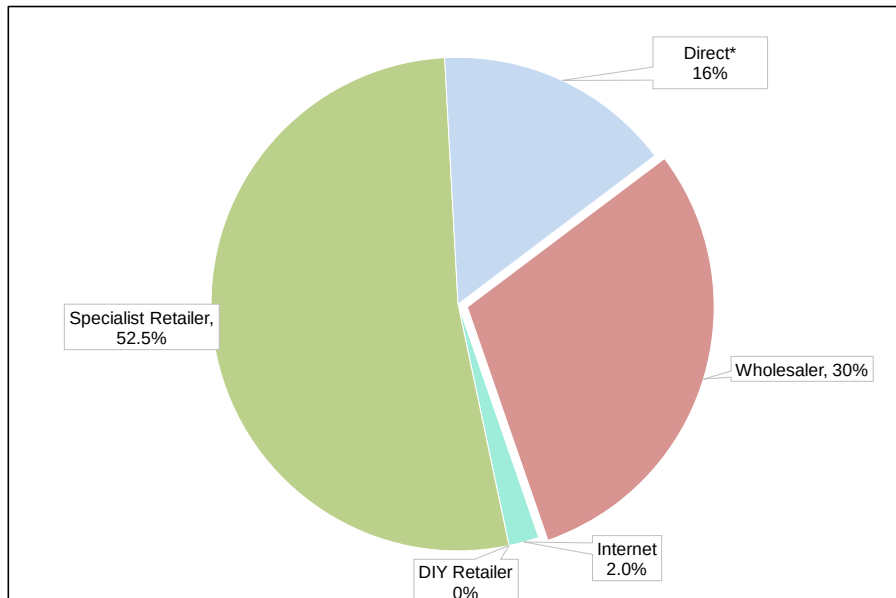
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
30.0%	2.0%	0.0%	52.5%	15.6%	20.0%	1.5%	74.6%	3.9%
100%					21.5%		78.5%	

3.6.4 Route to Market - Consolidated View : Faucets

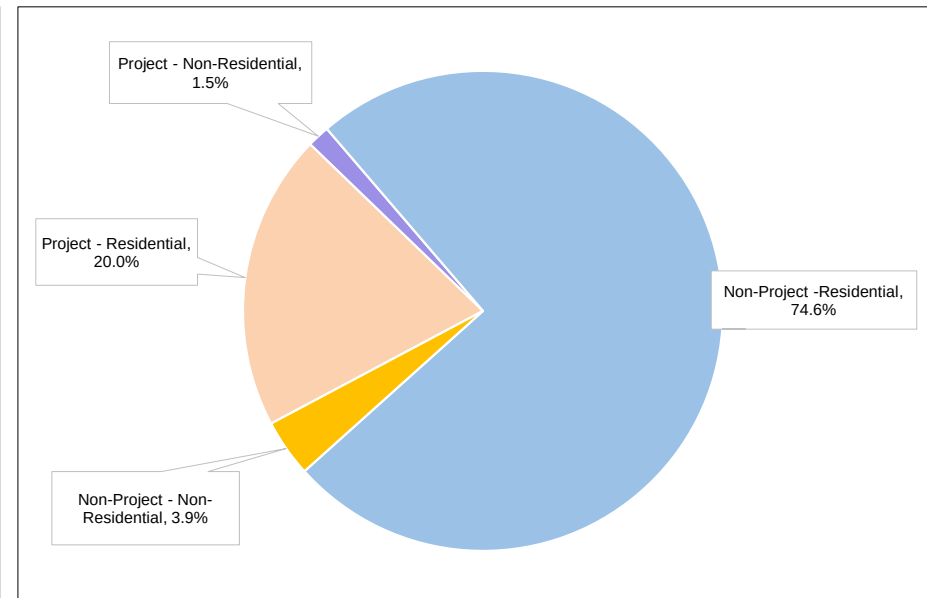
EG - ESTIMATED DISTRIBUTION FOR FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
28.0%	3.0%	0.0%	52.0%	17.0%	18.2%	1.5%	76.6%	3.7%
100%					19.7%		80.3%	

EG - SALES OF FAUCETS BY DISTRIBUTION CHANNEL: 2019



EG - SALES OF FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



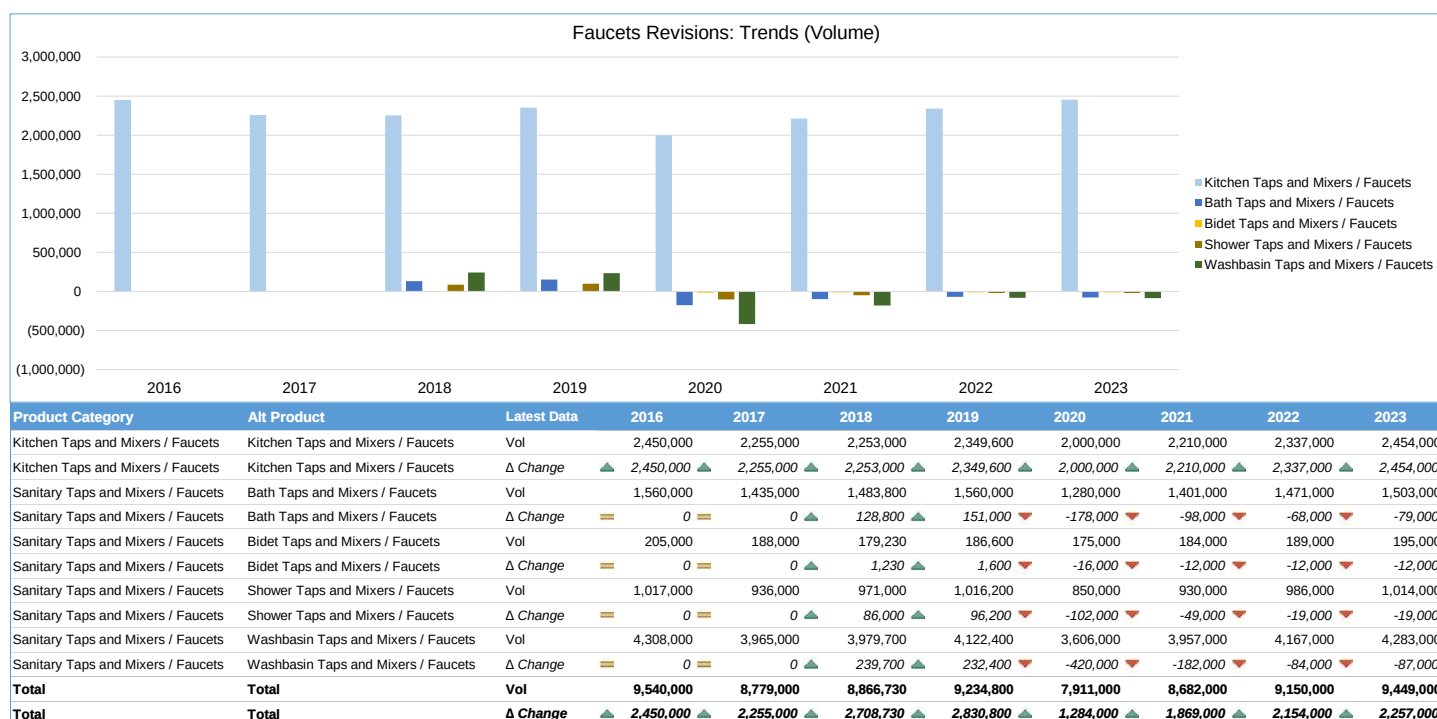
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7 Revisions in the Egyptian Faucets Market (April 2020)

EG - REVISIONS IN THE EGYPTIAN FAUCETS MARKET

Data Comparison: April 2019



The trends for all type of faucets were revised upward for 2018 and 2019. This was due to a higher construction output during these two years, but also a higher performance of sales made in the RMI segment due to the short lifespan of faucets sold in the country.

The MSP for all type of faucets were revised downward from 2009 to 2018, due to a share of low-end range products more important than previously thought. However, and exception were made for washbasin mixers and shower mixers for the year 2017: prices were revised upward due to a higher number of medium to high end mixers sold during that year, as well as electronic mixer and thermostatic mixers.

EGYPT

SHOWER WALL

THE AFRICAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

New construction activity mainly drives the shower wall market, as in Egypt there is a huge housing shortage – estimated to amount to c. 3.5 million units – and young adults struggle to find a decent place to live. Housing projects are historically led by the government, but foreign companies are increasingly present in Egypt.

In the last decade, the evolution in volume sales of shower wall products has been linked to the number of dwellings completed every year. From 2004 to 2006, the market experienced a double-digit growth rate, thanks to the economic reform put into place by the government in 2004. The global economic crisis slowed down the overall shower wall market during the course of 2007, before sales of shower wall products resumed growth.

In Egypt, bathrooms are generally equipped with a drain dedicated to push out water from the floor, and most of the time entering a bathroom is rarely done with shoes on (a pair of sandals is often used). The bathroom floor in Egypt is indeed often wet due to the ablutions (the ritual washing for religious purposes) and mopping the bathroom floor several times a day is common. This explains partially why, in Egypt, the market for shower wall products is relatively small considering the size of the baths and shower trays market. These products are seen as an accessory; a simple curtain is most often used to prevent water being splashed around too much.

Narrowing the market even further is the fact that these products are mostly sold to the middle class, which reduces the potential of the market as the bulk of the population is relatively poor. Bath screens are mainly used in luxury dwellings, and this explains the limited market size. Shower enclosures are mostly found in flats from all ranges. This explains why its market size is much more important than that of the bath screen market.

Most shower walls are made of glass rather than plastic, and the share of glass is constantly increasing.

With regards to shower enclosures, only a small share of the doors installed are pivoting, with most doors installed in dwellings being sliding units.

Despite the density of the number of dwellings, old constructions have large bathrooms where a walk-in shower is often installed without shower walls.

Recent Market Trends

The market for shower walls increased in 2019, thanks to the housing development, as well as new hotels.

Despite the fact that many social houses are not equipped with bath screens, a significant share of new dwellings were made of medium and high-end ranges, bringing more profit for developers (higher margins). These captured most of the bath screens sold in new dwellings in 2019.

It can take several months before a bath or a shower tray - and consequently, shower walls - are installed, as these dwellings can remain unoccupied for a long period. This can be down to the owner being based abroad, or because these dwellings are purchased as an investment, to be resold once the real estate prices go up.

Indeed, real estate agencies offer many houses semi-finished, and not necessarily part of the social housing programme. The reason why they are semi-finished is linked to the taxation (once a house is fully completed, the owner has to pay tax), but also linked to keeping the construction cost low while, giving the owners the possibility of customising its bathroom according to their preference or budget (this is for social dwellings).

Prices and Market Values

The MSP for shower walls in Egypt increased in 2019, but at a lower rate than inflation.

This was due to the significant share of shower walls sold in Egypt that were imported: positive fluctuation in the exchange rate for Egypt led to a cheaper cost of imports in 2019, offsetting largely the stronger price increase from local manufacturers (who were subject to inflation).

At the same time, more lower-end products were sold during that year due to changes in the stratification of the population in terms of social class, following years of major economic turmoil: the less well-established upper class stepped back to the middle class which stepped back to the lower-class.

New Housing

In 2019, the number of shower enclosures sold to the new housing segment increased. These sales were less correlated to the residential output, and more linked to a high number of houses that belong to the medium and high-end ranges for wealthier Egyptians and those living abroad (around 10 million, with a much higher purchase power than the average Egyptian).

While a significant share of new houses built in 2019 having a bath rather than a shower tray, most of them were not equipped with a bath screen. Building dwellings at a very low cost, led many dwellings to be delivered semi-finished, offering Egyptians the freedom to install the products they want. Some Egyptians just prefer to install a shower system only, above a tiled floor (walk-in shower).

A significant share of these dwellings was subject to speculation and was sold more than once, unoccupied, delaying even further the installation of shower walls.

Housing RMI

Sales of shower walls to the RMI were positive again in 2019, thanks to lower inflation, after two years of double-digit rate.

Sales of bath screens increased more than shower enclosures during that year. This was due to the fact that those who had a bath screen to replace are generally considered to be wealthier.

In absolute volume, most shower walls sold in the RMI segment were shower enclosures. The replacement of bath screens was limited and often a curtain was installed instead.

Non-Housing

In 2019, sales of shower walls continued to increase in the non-housing segment, driven by a strong performance registered in the hospitality sector, in line with the increasing number of tourists. Indeed, new hotels were completed during that year while others re-opened and some were refurbished, following the combination of the economic crisis and security threats that previously led the tourism sector to decline.

Supply Structure

In 2019, the supply structure remained unchanged.

The stronger Egyptian currency as well as more money available in the country has boosted the imports as they became cheaper.

The marketing around shower walls in Egypt does not really exist. IDEAL STANDARD is among the main players in the market. It supplies different types of products including bath enclosures, a mixture of shower enclosures and bath screens. With low brand sensitivity in Egypt for this type of product, Chinese companies selling unbranded products are the main suppliers.

There are also regional manufacturers of glass who play a certain role in the bathroom sector, but they are mostly focused on other sectors not related to bathrooms, and BRG was unable to identify the part dedicated to shower walls (such as DR GREICHE GLASS).

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has

attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section. Given the fluidity of circumstances at this time, we expect that these forecasts are likely to be superseded by events, and therefore BRG will be updating them, as required, in any subsequent update of our estimates scheduled during 2020.

Sales of shower walls in Egypt should increase clearly by the end of the forecast period.

A positive CAGR is expected despite a slowdown for 2020 due to government measures to limit the spread of the COVID-19 pandemic as well as the disturbance in the supply side due to exporting countries that are also affected by the pandemic.

Sales of bath screens should continue to be limited to the construction of high-end dwellings as well as the replacement market.

The non-housing segment is largely dependent on tourism activity and the occupancy rate in hotels. The fast return of tourists should lead many hotels to be refurbished, including those that have shut down in the last two years.

The growing upper class in Egypt should represent the main driver for the sales of shower enclosures and bath screens in the coming years.

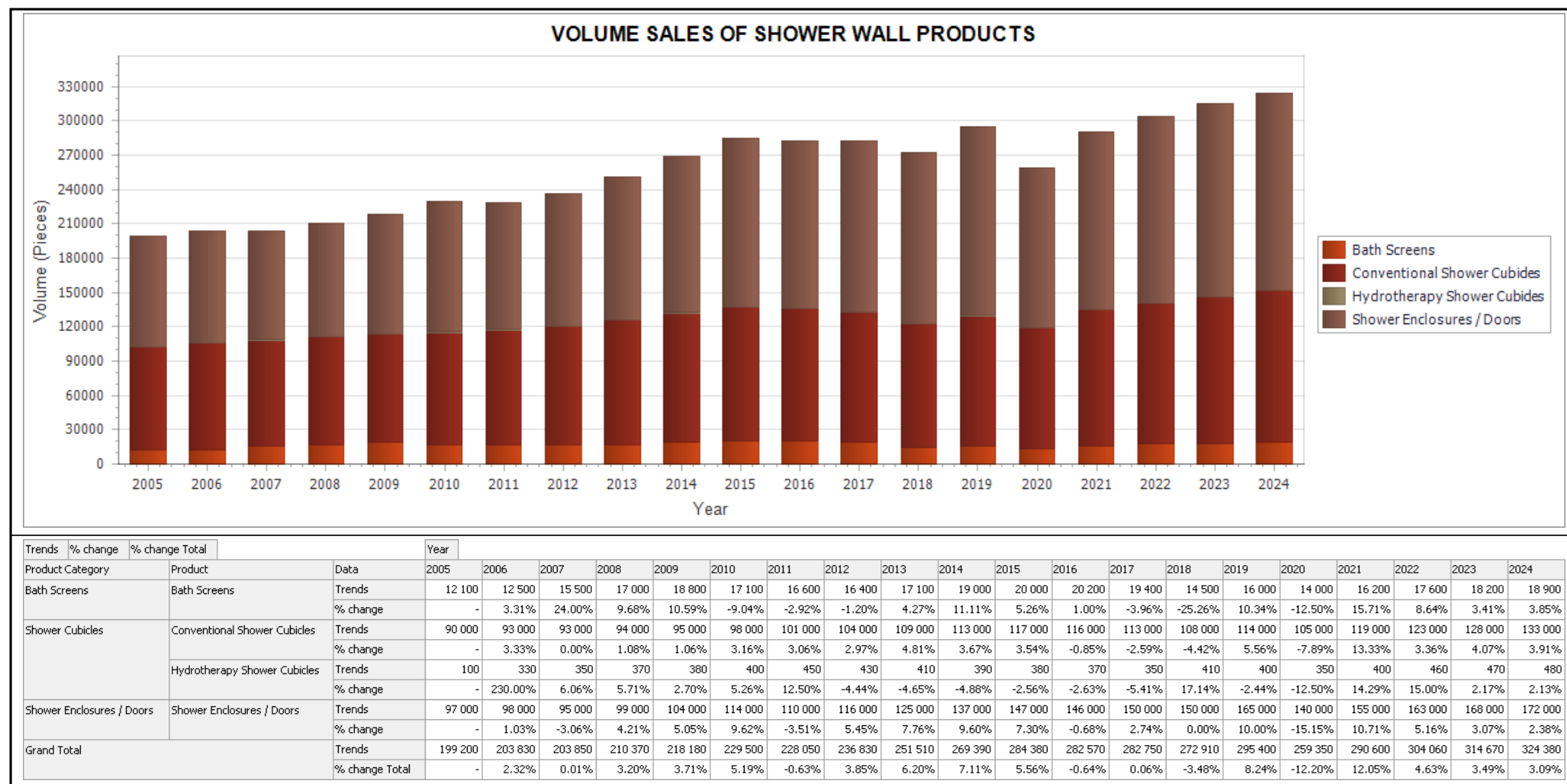
Egypt is currently facing multiple challenges in terms of economic development, along with demographic pressure. Economic measures taken by the government, along with strong financial support from international institutions, should lead the country to tackle these issues, mostly through the construction industry. The huge demand for housing constitutes the main factor for the shower wall market to grow further.

Sensitivities are constituted by massive poverty in Egypt, fuelled by high inflation, unemployment, and cuts in government subsidies. The ability of the government to tackle these economic difficulties, which should lead to an increasing purchase power of the population, constitutes the main driver for the sales of shower walls to the replacement market.

BRG expects the sales of shower wall products in Egypt to continue to grow at a respectable rate over the forecast period, being largely driven by the new housing segment.

4.2 Historical Trends and Forecasts : Shower Wall

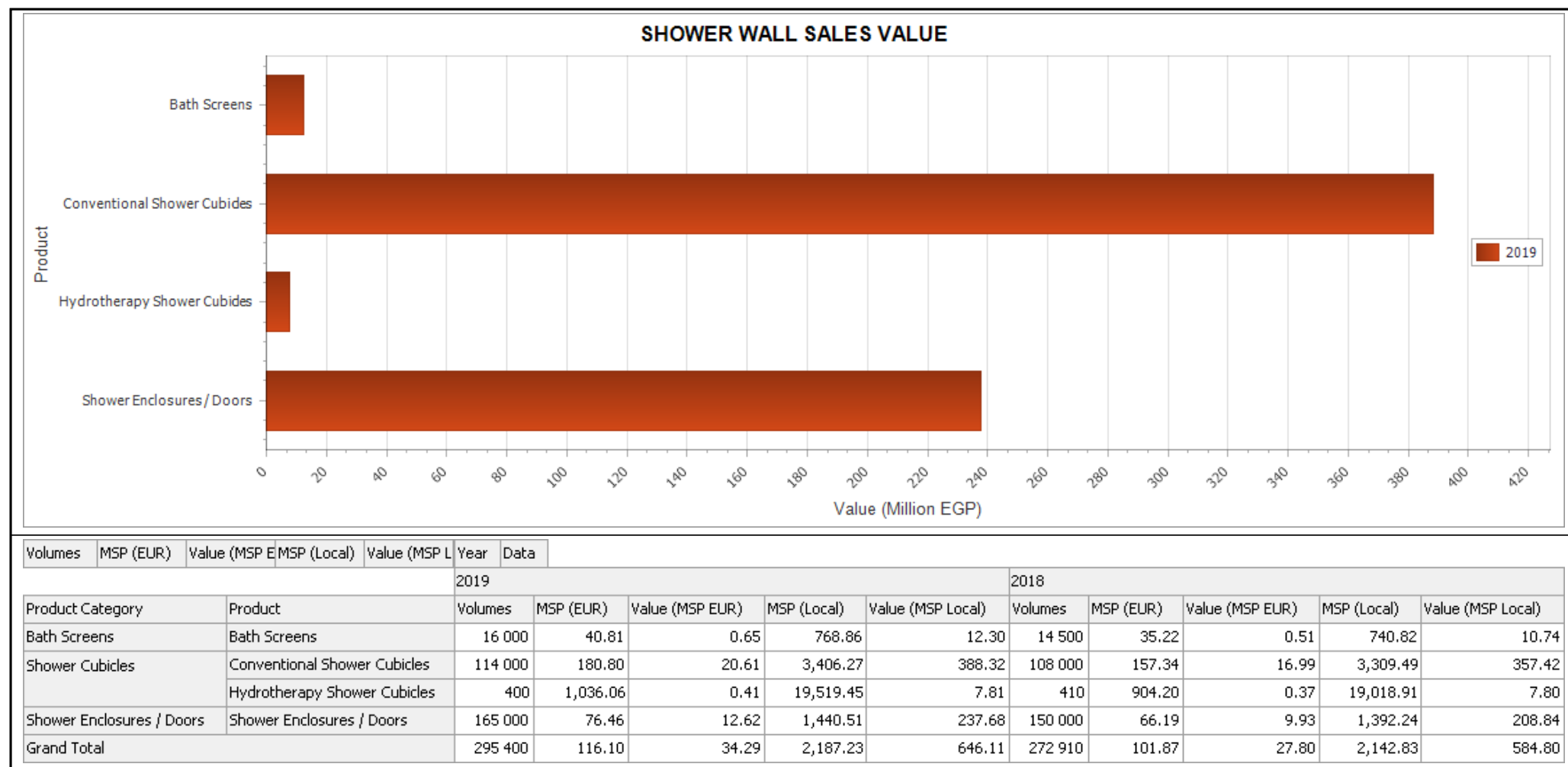
EG - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

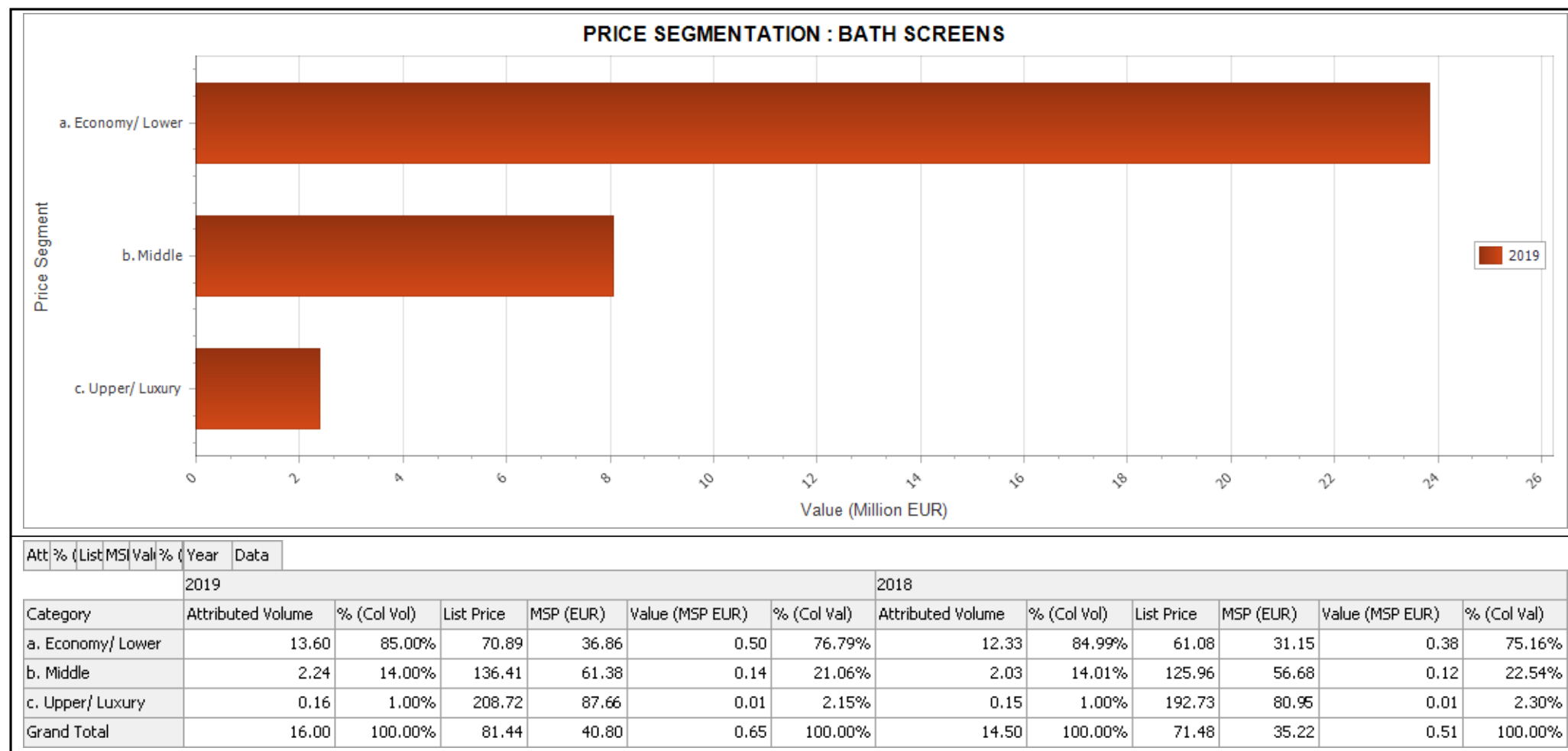
EG - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Local Prices Shown in EGP. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

EG - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

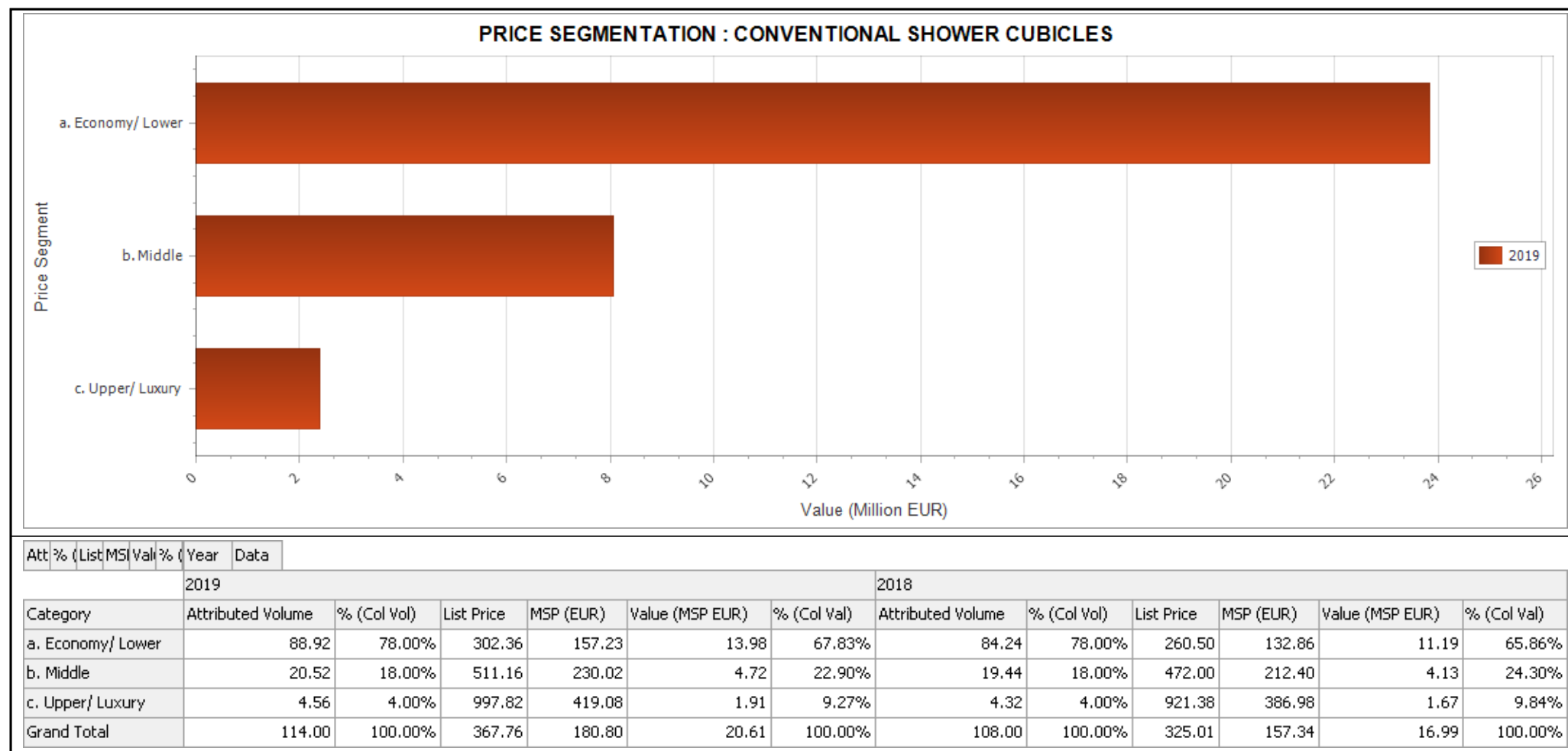


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€80, Upper/ Luxury >€80

4.3.3 Price Segmentation : Conventional Shower Cubicles

EG - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

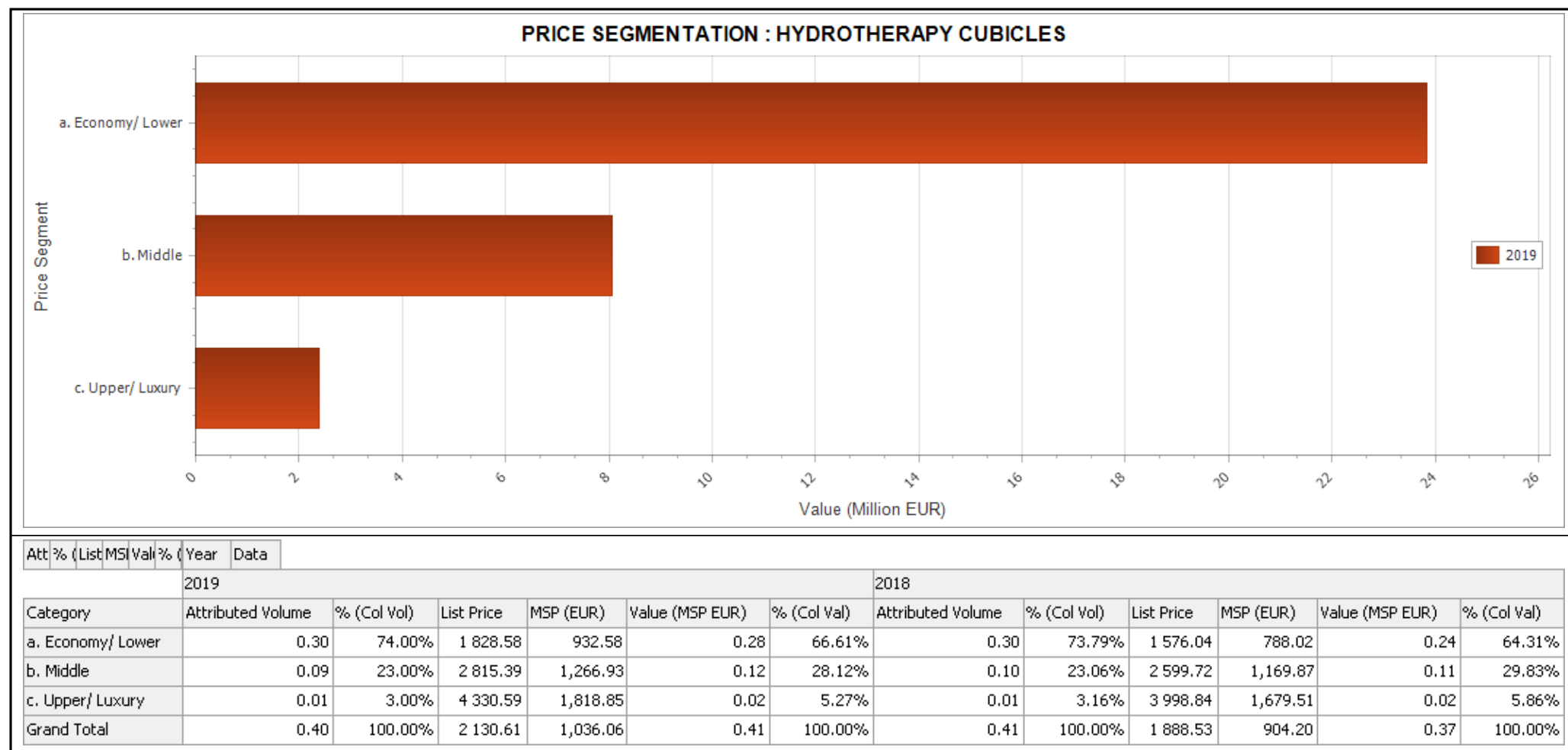


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€350, Upper/ Luxury >€350

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

EG - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

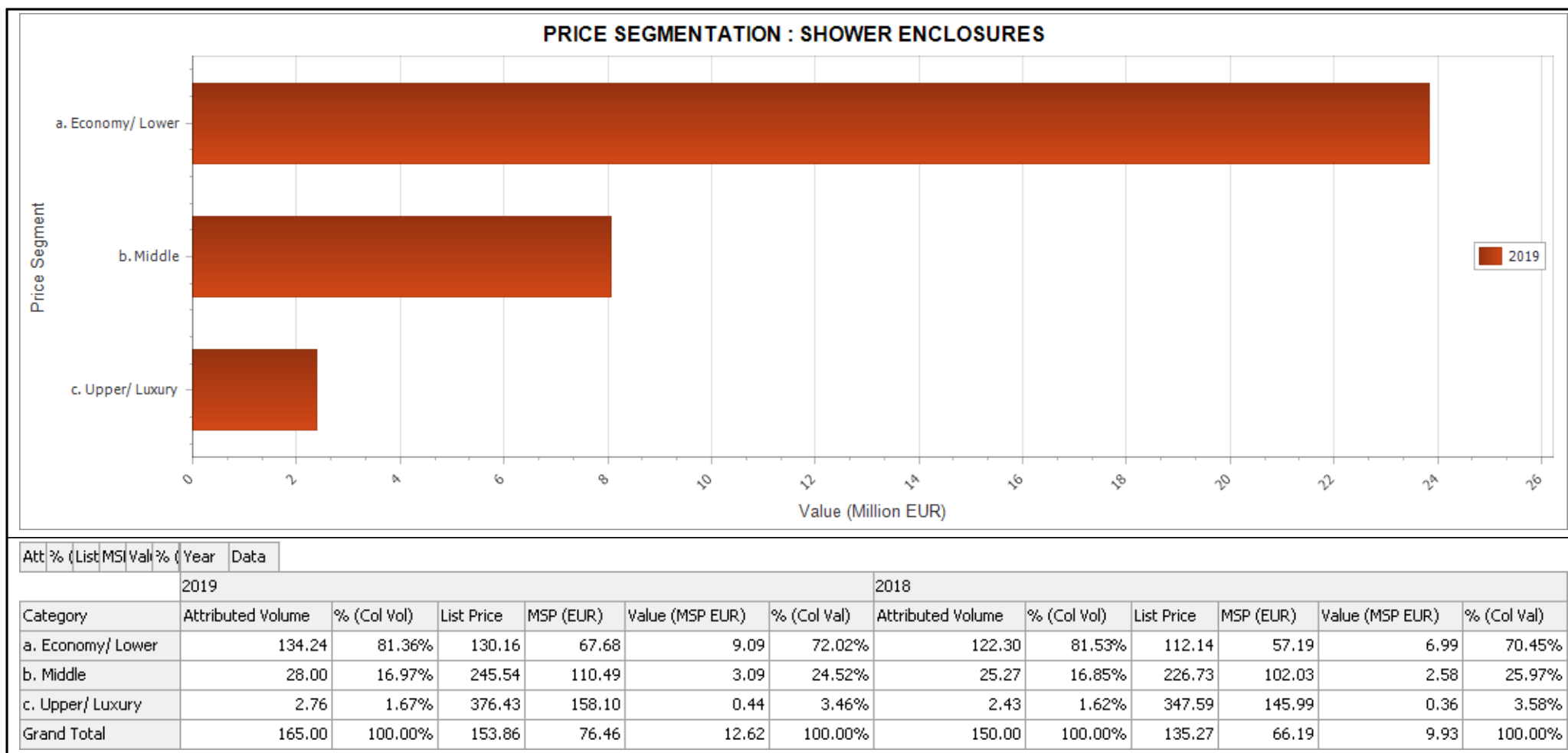


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€1,000, Middle€1,000-€1,500, Upper/ Luxury >€1,500

4.3.5 Price Segmentation : Shower Enclosures

EG - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

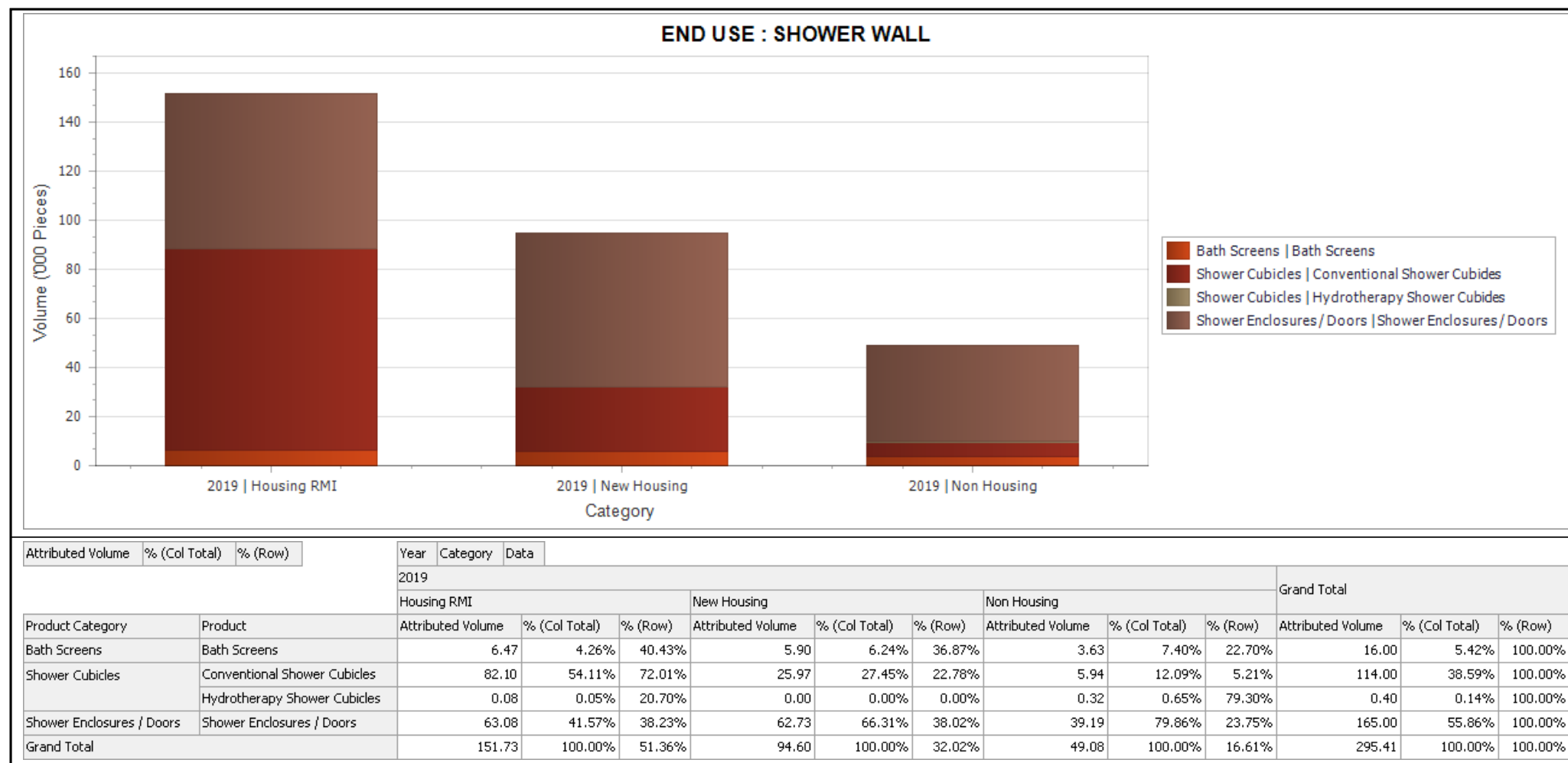


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€130, Upper/ Luxury >€130

4.4.1 End Use : Base Year

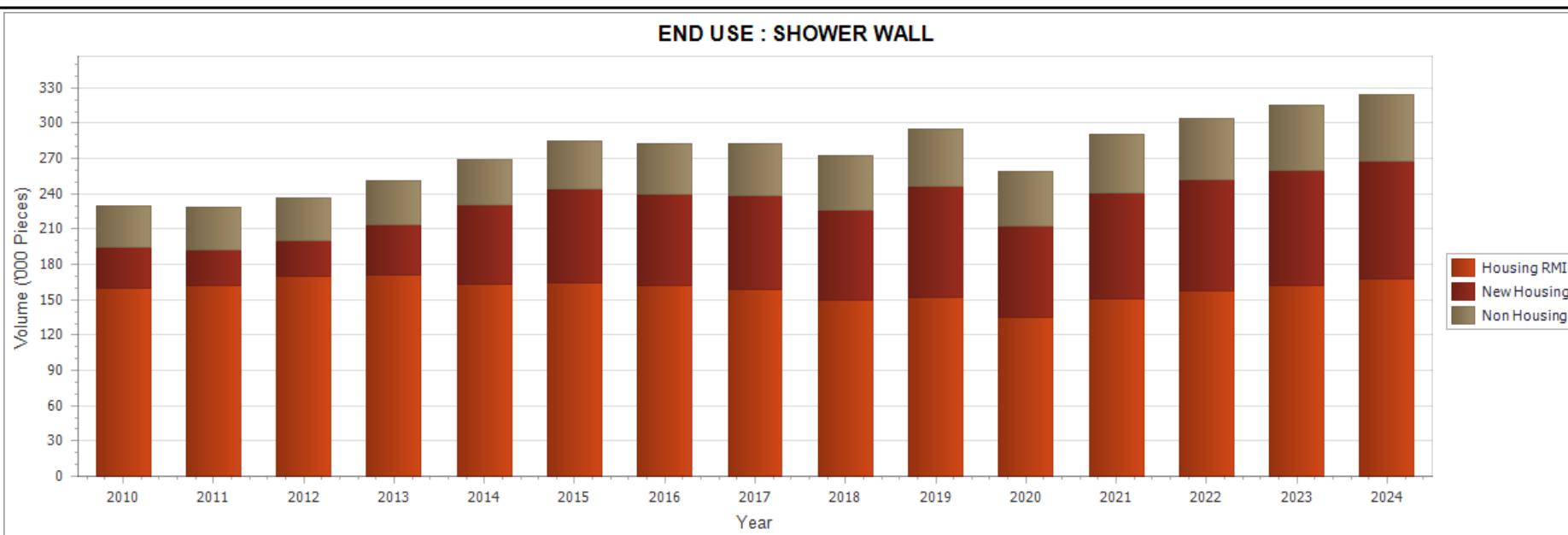
EG - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

EG - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)

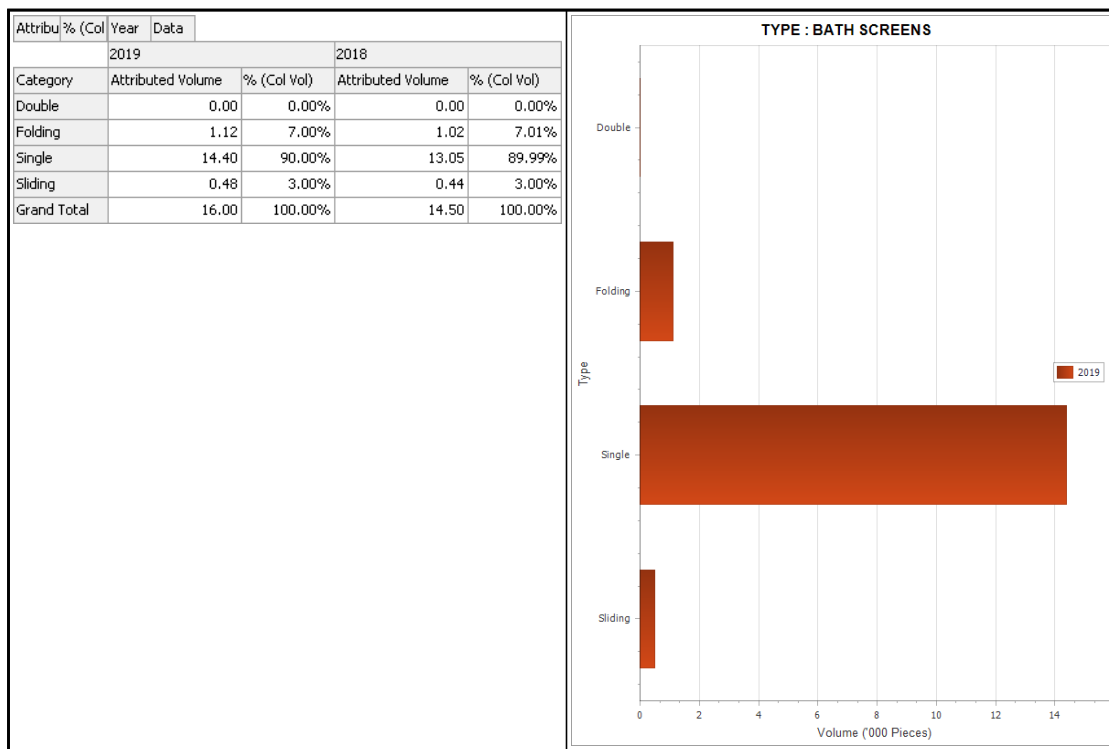


Attributed Volume		% (Col Total)		Year													
Category	Data	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	
Housing RMI	Attributed Volume	160.00	162.27	170.03	171.09	163.61	164.32	161.96	158.82	149.26	151.73	135.24	151.37	157.11	162.46	168.08	
	% (Col Total)	69.72%	71.15%	71.79%	68.03%	60.73%	57.78%	57.32%	56.17%	54.69%	51.36%	52.15%	52.09%	51.67%	51.63%	51.81%	
New Housing	Attributed Volume	34.31	29.98	30.19	42.59	66.84	79.42	78.21	79.75	77.14	94.60	77.04	89.58	94.80	97.71	100.15	
	% (Col Total)	14.95%	13.15%	12.75%	16.93%	24.81%	27.93%	27.68%	28.21%	28.27%	32.02%	29.70%	30.82%	31.18%	31.05%	30.87%	
Non Housing	Attributed Volume	35.19	35.81	36.62	37.83	38.94	40.64	42.40	44.18	46.52	49.08	47.07	49.66	52.15	54.51	56.16	
	% (Col Total)	15.33%	15.70%	15.46%	15.04%	14.45%	14.29%	15.01%	15.63%	17.04%	16.61%	18.15%	17.09%	17.15%	17.32%	17.31%	
Grand Total	Attributed Volume	229.51	228.06	236.84	251.52	269.40	284.39	282.58	282.75	272.91	295.41	259.36	290.61	304.06	314.68	324.39	
	% (Col Total)	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

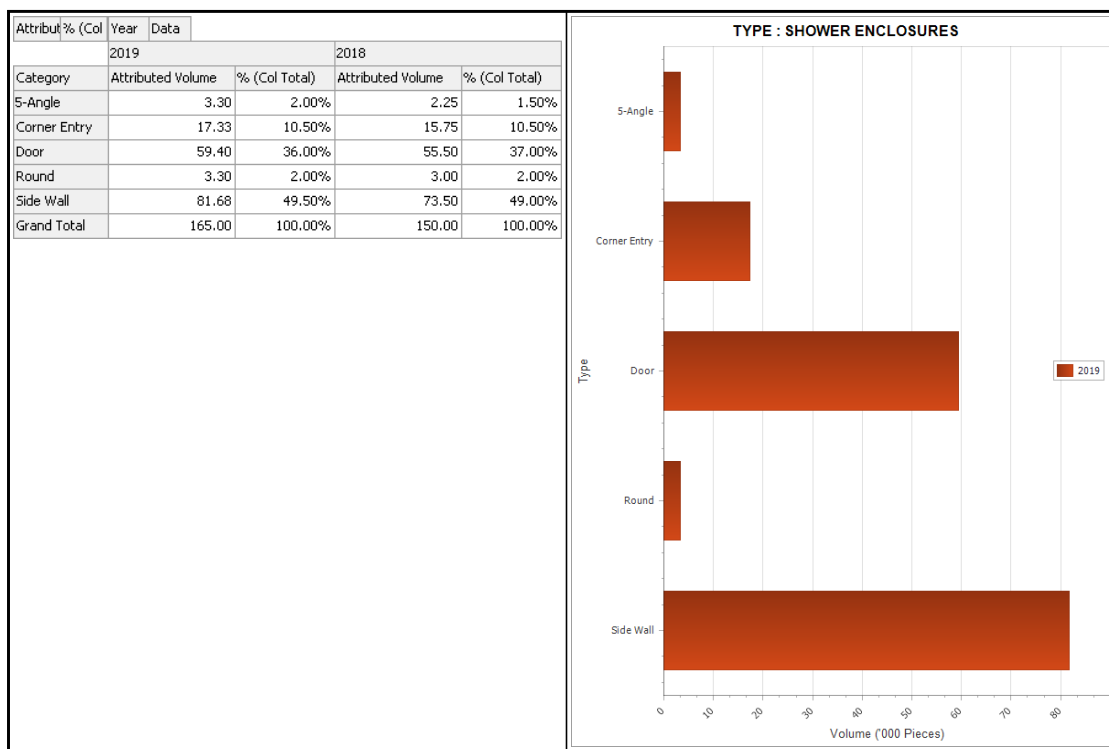
EG - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

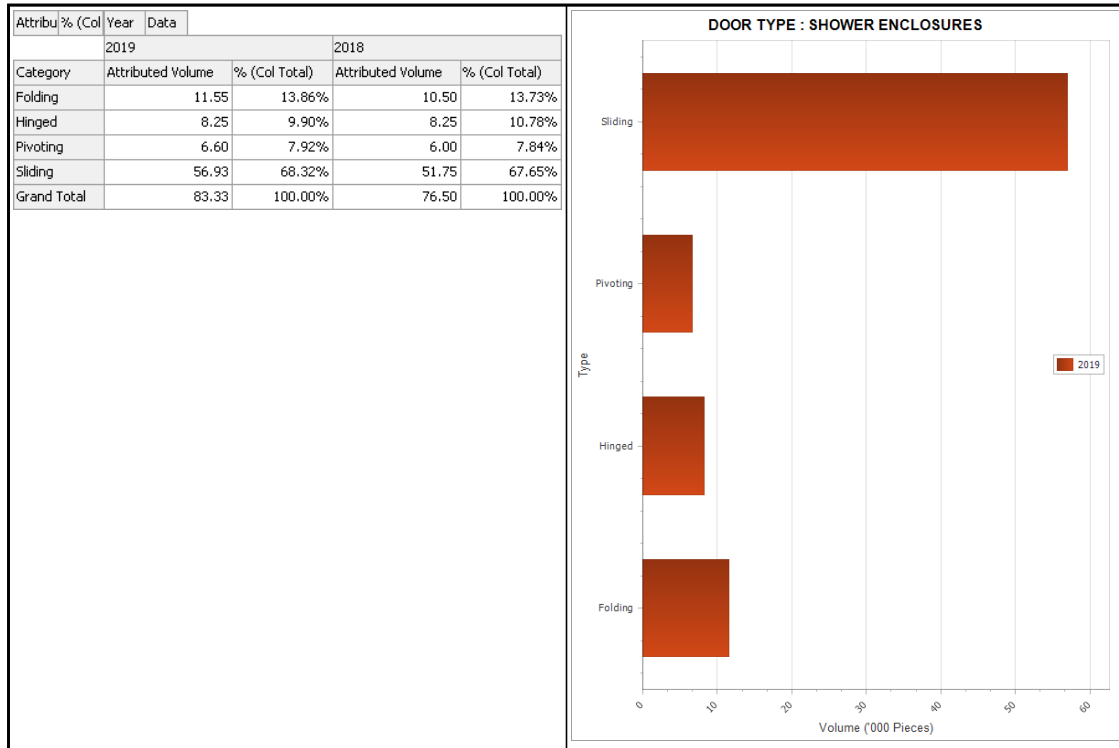
EG - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

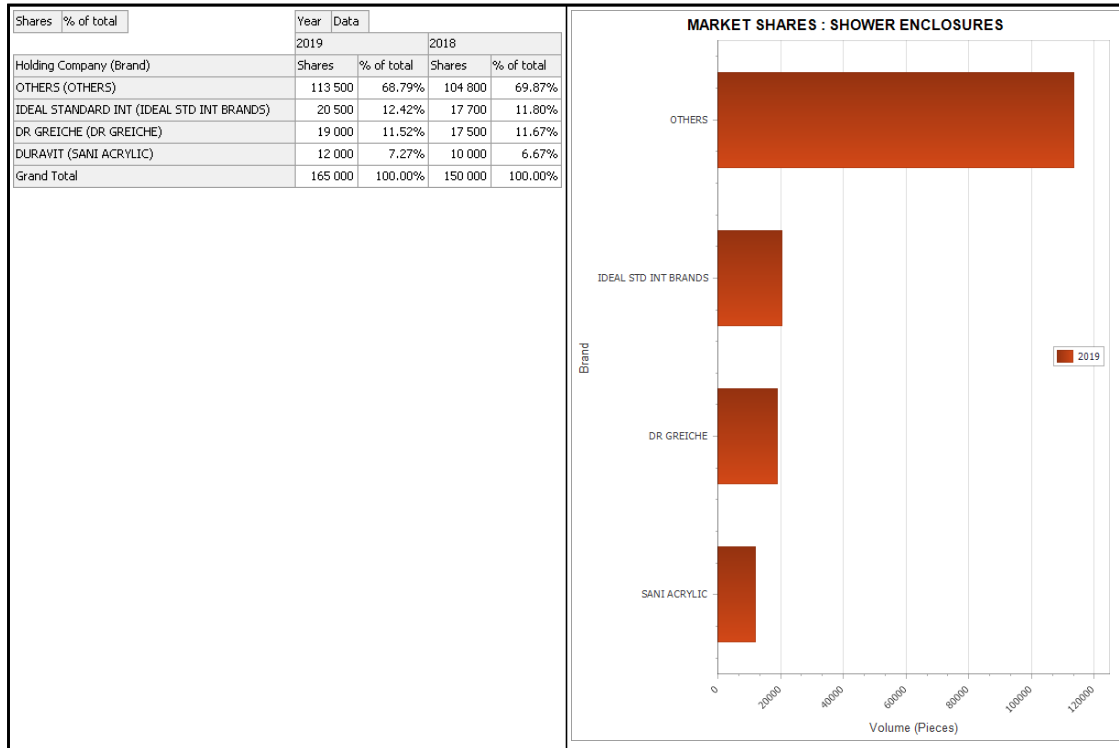
EG - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Shower Enclosures

EG - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
EG - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	70.9%
	Wholesalers / Merchants
	70.9%

Retail Level	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 15.0%	Wholesaler 31.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		46.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.8%	23.0%	0.0%	0.0%	24.0%
Installers				
50.8%				

End Use Level	Manufacturer 10.2%	Wholesaler 16.9%	Internet 0.0%	DIY 0.0%	Specialist 18.0%	Installer 38.2%	Manufacturer 0.0%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 4.0%	Installer 12.6%
	Residential						Non-Residential					
	83.4%						16.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	32.0%			51.4%			8.0%			8.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	11.0%		21.0%	7.0%		44.4%	6.5%		1.5%	2.0%		6.6%

4.6.2 Route to Market: Shower Wall
EG - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	66.0%
	Wholesalers / Merchants
	66.0%

Retail Level	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 0.0%	Wholesaler 0.0%	Manufacturer 13.0%	Wholesaler 33.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	0.0%		0.0%		46.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.0%	19.0%	0.0%	0.0%	25.0%
Installers				
48.0%				

End Use Level	Manufacturer 13.0%	Wholesaler 14.0%	Internet 0.0%	DIY 0.0%	Specialist 16.0%	Installer 39.7%	Manufacturer 4.0%	Wholesaler 0.0%	Internet 0.0%	DIY 0.0%	Specialist 5.0%	Installer 8.3%
	Residential						Non-Residential					
	82.7%						17.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	30.9%			51.8%			9.5%			7.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	13.0%		17.9%	8.0%		43.8%	8.5%		1.0%	1.3%		6.5%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

EG - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

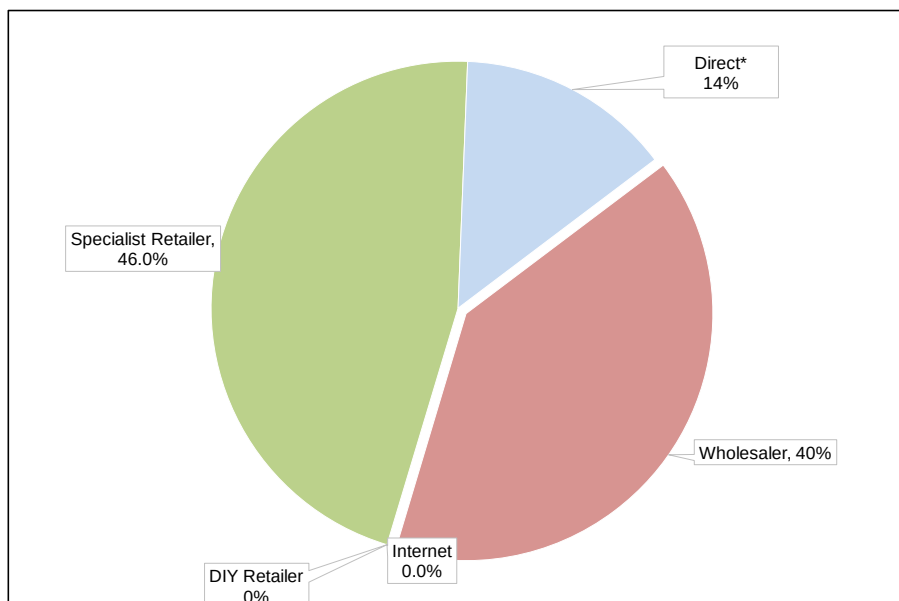
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
39.9%	0.0%	0.0%	46.0%	14.1%	18.0%	8.5%	65.4%	8.1%
100%					26.5%		73.5%	

4.6.4 Route to Market - Consolidated View : Shower Wall

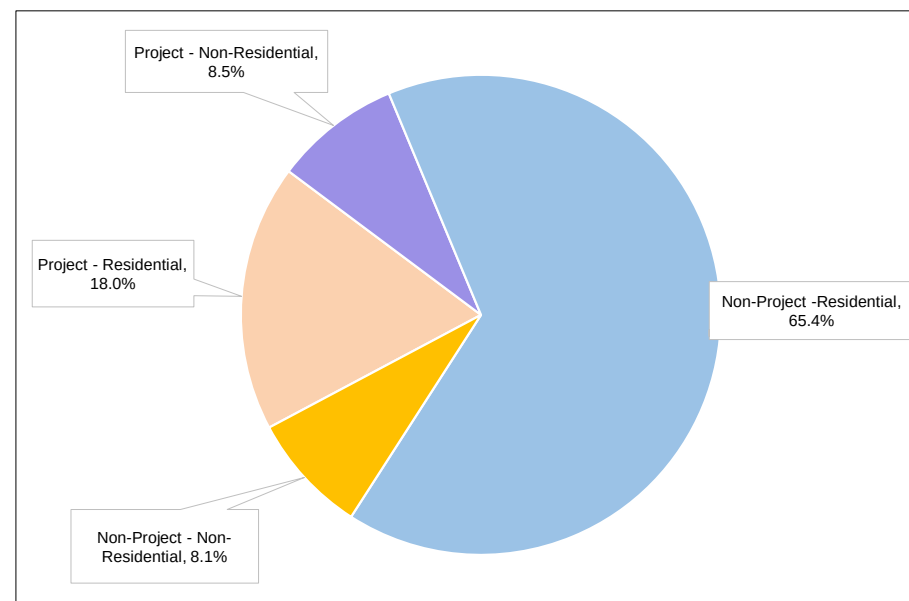
EG - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
33.0%	0.0%	0.0%	46.0%	21.0%	21.0%	9.8%	61.7%	7.5%
100%					30.8%		69.2%	

EG - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



EG - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



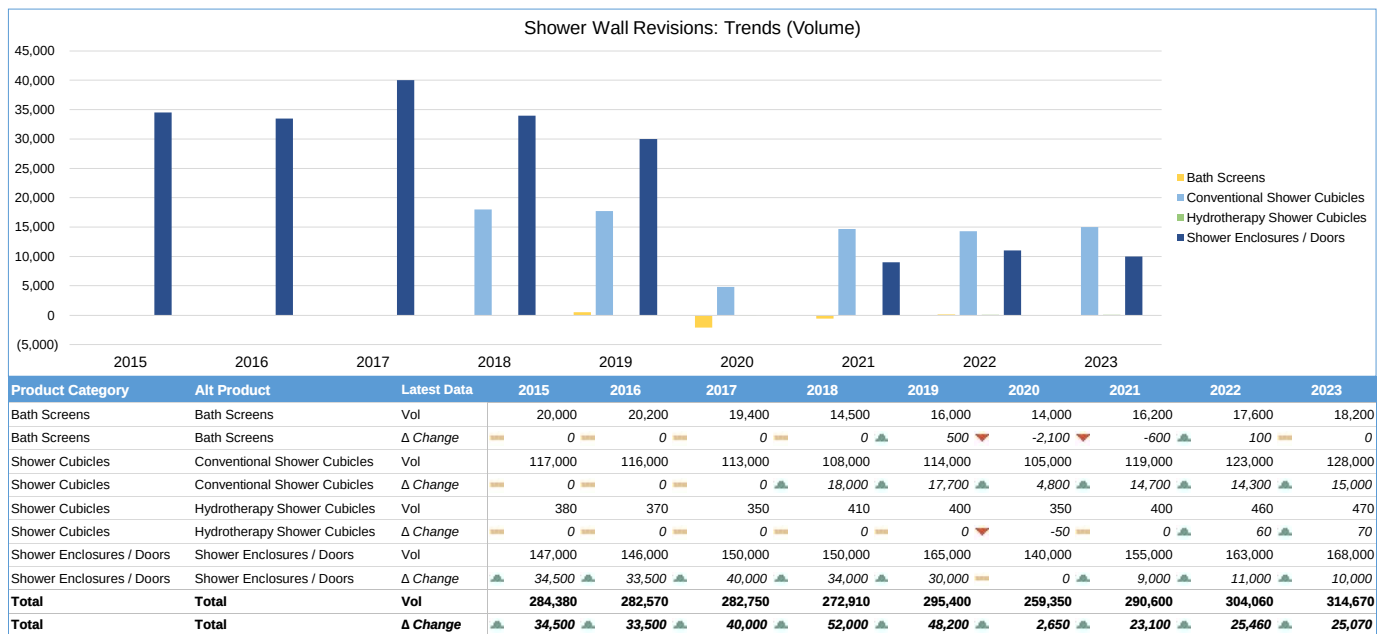
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Egyptian Shower Wall Market (April 2020)

EG - REVISIONS IN THE EGYPTIAN SHOWER WALL MARKET

Data Comparison: April 2019



Sales of bath screens, conventional shower cubicles and shower enclosures were revised upward for 2019, thanks to the good performance of the residential construction, higher than expected, particularly the high-end sector, which was underestimated. Indeed, more premium apartments were built in Cairo, which led to more sales of bath screens.

The historical trends for conventional shower cubicles (2018) and shower enclosures (2017-2018) was revised upwards, due to the displacement of baths for these two products that took place in the hospitality sector (hotels).

The MSP for shower enclosures was revised downward in 2018, following a higher share of low-end range products that were sold during that year.